

What's News Business & Finance

◆ **An agreement that** would give the U.S. an ownership stake in Venezuelan oil came after months of secretive talks and frequent trips to Caracas by U.S. officials and negotiators. **A1**

◆ **Comments by Fed Chairman** Kevin Warsh at the Jackson Hole policy meeting pointed toward the central bank's raising interest rates next month, which investors now think is more likely than not. **A2**

◆ **KKR is close to** selling insurance brokerage and consulting firm USI to Aon for roughly \$17 billion, including debt, divesting itself of an asset that it acquired alongside CDPQ in 2017. **B1**

◆ **Profits are booming** at the biggest U.S. companies, boosted among other things by tariff refunds, federal spending and red-hot AI investment—and corporate leaders say the bonanza is unlikely to slacken soon. **A1**

◆ **The company that** developed a drug to treat pancreatic cancer by targeting a common genetic mutation opted to remain independent rather than solicit a takeover and is intriguing Wall Street analysts as it pursues its own path. **B1**

◆ **Since 2025, Indianapolis-**based burger chain Steak 'n Shake has embraced MAGA endorsed products and techniques such as soda flavored with cane sugar and fries cooked in beef tallow rather than vegetable oil. **B3**

◆ **Canadian small businesses** are expected to bear the brunt of new U.S. tariffs, with one Alberta-based honey producer calling the worst-case scenario "very ugly." **A8**

Worldwide

◆ **U.S. forces attacked** two Iranian rocket launchers in the Strait of Hormuz, U.S. Central Command said, marking the first American strike in weeks in the conflict with Tehran. **A9**

◆ **Russian President Vladimir** Putin and Chinese leader Xi Jinping were set to meet Monday in Kyrgyzstan on the sidelines of a summit of a 10-nation security-focused group that includes Iran. **A9**

◆ **NASA launched** a new flagship telescope, a powerful instrument that will study dark matter and search for other planets. **A3**

◆ **A Russian drone attack** on an ammunition depot in the Kyiv region caused an explosion that killed at least 38 people and injured dozens more, Ukrainian officials said. **A9**

◆ **Russia has turned up** the heat on Kyiv's allies in Europe with a string of so-called gray-zone activities aimed at sowing fear as it struggles to advance militarily on the ground in Ukraine. **A9**

◆ **New York City Mayor** Zohran Mamdani and the United Federation of Teachers split on the issue of one-time bonuses for school aides, payments the union endorses. **A3**

◆ **At least seven people** died after a ferry carrying nearly 270 passengers and crew capsized off the coast of northern Cyprus, Turkish media reported. **A7**

◆ **Icelanders voted** against restarting negotiations on joining the EU in a nationwide referendum despite Trump's threats against the sovereignty or integrity of other nations and territories. **A7**

CONTENTS

Opinion.....	A15-17
Arts in Review.....	13
Personal Journal A11-12	
Box Office.....	B2
Business & Finance B2-3	
Technology.....	B4-5
Crossword.....	A12
Ticker.....	B4
Heard on Street.....	B8
U.S. News.....	A2-5
Market Data.....	B6
World News.....	A7-9



Nepal Clings to Hope for the Many Missing in Flood



SWEPT AWAY: The names and faces of some of the 2,500 people missing in the floods that struck Nepal and Tibet last week fill a wall in Kathmandu on Sunday. The death toll in the disaster, likely caused by a glacier collapse, stood at 770. **A7**

Deal for Venezuela’s Oil Rights Followed Months of Secret Talks

President Trump spent months declaring his ouster of Venezuela's leader had secured the country's oil for the

By Vera Bergengruen, Drew FitzGerald, Collin Eaton and Juan Forero

U.S. When U.S. energy companies resisted investing at the speed and scale he wanted, his administration devised an ex-

traordinary solution. The agreement announced Friday evening would transform the U.S. government from a broker of U.S. oil investments in Venezuela to an investor itself. It would give Washington a direct financial stake in a private company that would be granted centurylong rights to some of the world's largest proven oil reserves—and tie the U.S. more closely to an un-

elected government. The private company, led by controversial Venezuelan businessman Alejandro Betancourt, would have the opportunity to develop 17 oil fields said to contain 65 billion barrels of oil, or one-fifth of the country's reserves. The Pentagon, in a striking expansion of its remit, would help finance the oil venture and reap the rewards of its future output.

"If this deal can survive subsequent Venezuelan governments, then Trump will have secured strategic oil reserves for the U.S. that go beyond the shale revolution," said Schreiner Parker, a partner at consulting firm Rystad Energy. "Now, there's a lot of uncertainty as to how these barrels go from reserves to actual production, and who's going to invest the time, effort

Please turn to page A10

Employers AI-Proof Their Job Interviews

By KATHERINE BINDLEY

There's a new frontier in job interviews and it goes something like this: Remove your Zoom background and pan your camera around the room. Now, could you please wave your hand in front of your face?

The ubiquity of AI-assisted answering—not to mention the risk of hiring candidates who might be lying about where they live, or even working for North Korea—has companies upping their screening tactics. They want to ensure the people they're hiring really know what they're talking about and are who they say they are. Heather Wilcox, who has worked as a quality engineer, is actively job hunting now. She says she has been subject to interviews conducted by AI in which software monitors where her eyes are looking to ensure she's not glancing at an AI-generated script. She also has been told by interviewers that virtual video-call backgrounds are a no-no. But as a former hiring manager herself, she gets it. "There is a lot of person-swapping and cheating that goes on," she says. "AI has made hiring super difficult because everybody's résumé is super perfect. Everybody has the right answer."

While many companies want to see how adept job seekers are at using artificial intelligence and might encourage its use, there are certain questions they still want candidates to answer without help: how they think through a particular problem, specifics of their prior work experience or how they got through a

Please turn to page A11

INSIDE

U.S. NEWS

Young New Yorkers who nabbed rent-stabilized apartments live the dream. **A3**

SPORTS

Filipino tennis prodigy is drawing fan interest in Manila—and at the U.S. Open. **A14**

College Enrollment Crisis Hits Brand-Name Schools

Syracuse illustrates spreading problem of falling enrollment

By DOUGLAS BELKIN AND ROSHAN FERNANDEZ

When he was the director of international student services at Syracuse University, Juan Tavares received a regular Saturday email from the dean of admissions reporting the tally of student applications, acceptances and enrollment deposits. During the pandemic the numbers began to slide, so Tavares offered the admissions team seven suggestions to improve recruiting, he said. The recommendations centered on the idea that Syracuse was failing to recruit aggressively enough. "The problem with Syracuse is that the school thinks of itself as like an Ivy, but it's not," Tavares said. Tavares, who no longer works at the school, said his recommendations went nowhere. In 2025, the weaknesses he had pointed out collided with President Trump's high profile crackdown on student visas. Syra-

cuse's international enrollment numbers declined by half for undergraduate and graduate students. Syracuse also failed to draw enough students overall—prompting it to offer emergency financial-aid packages to lure freshmen. This school year, which began Aug. 24, enrollment fell short, sending the school into a 1.5% budget shortfall. Syracuse also added nearly half a billion in debt to build desperately needed new dorms, which brought on a bond market reprimand. And it recently cut programs it said weren't popular. A national brand-name institution with a \$2.5 billion endowment and a storied 150-year tradition is suddenly beginning to flail. The problems that have long buffeted the nation's smaller schools are now spreading to the nation's bigger, richer universities—with midsize private schools such as Syra-

Please turn to page A10

One of Asia’s Most Liveable Cities Tackles a New Threat: Cicadas

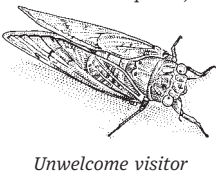
Singapore, not known for half-measures, has gone all out to control what’s bugging it

By MIKE CHERNEY

SINGAPORE—As the equivalent of a deputy minister for defense, Desmond Choo helps oversee this city-state's military in a tough geopolitical neighborhood. This year he's taken on another fight: Defending constituents against swarms of cicadas never before seen here. "When the cicada surges escalate to a point where it starts to significantly disrupt home life across a neighborhood, we had to act deci-

sively," said Choo, who represents the hardest-hit area in Singapore's parliament. Built on a jungle island roughly 85 miles north of the equator, Singapore is no stranger to cicadas. Until recently, there were 10 known species living there. But residents were perplexed when tens of thousands appeared, annoying locals with their loud songs and haphazard flying. Scientists determined they were orange-winged cicadas

Please turn to page A12



Unwelcome visitor

Short-Term Loans Put Walter in a Tight Spot

By MARGOT PATRICK AND JOE WALLACE

Dodgers owner Mark Walter's insurance empire made investments in an unusual way compared with peers: It invested a lot in the short term. Around \$20 billion in insurance investments at Walter's companies are under scrutiny in a federal investigation. That probe is studying how Walter-controlled insurers helped fund his other businesses, known as affiliated lending, and whether there was fraud. The federal probe prompted Walter's insurers to conduct a review and reclassify more than a third of their assets as connected to their owner, the insurers said. The highest concentration of affiliated lending was in

short-term investments, a little-used category at most insurers. Almost all of the \$5.2 billion of short-term loans Walter's insurers made last year turn out to have gone to affiliates. Walter's TWG Global conglomerate and its insurance arm have said they plan to cut most affiliated investments by the end of 2026. Most of those billions in loans were due to mature by the end of this month, which is Monday. That could ratchet a funding squeeze on Walter and TWG, which recently sold a controlling stake in the Los Angeles Lakers a year after buying it. "It's very unusual," said Alton Cogert of Strategic Asset Alliance in Washington state, who advises insurers on their investment mix.

Please turn to page A5

U.S. NEWS

Warsh Makes the Case for Higher Rates

Coming data such as inflation report will help guide Fed’s call at Sept. 15-16 meeting

By Nick Timiraos

JACKSON HOLE, Wyo.—Fed Chairman Kevin Warsh put to rest some concerns raised about his inflation-fighting strategy but set up a potentially bigger test three weeks from now. If the Fed raises interest rates, he risks infuriating the White House weeks before the midterm elections. If he holds, he could revive the doubts that Friday’s speech here quieted.

The central bankers gathered in the Tetons this weekend arrived unsure how much the Fed’s new chairman would tell them about how he reads the economy. Warsh had been criticized after last month’s meeting, including by several conference attendees, for not explaining how the Fed’s current stance would bring inflation down.

He gave a fuller account on Friday. Two observations in particular from Warsh’s speech pointed toward raising rates next month, which investors now think is more likely than not. One was that Warsh would be hard-pressed to call financial conditions restrictive.

The other was that the summer’s better inflation readings hadn’t convinced him the underlying trend was improving. Rates are supposed to bring inflation down by making borrowing costly. If borrowing isn’t costly and infla-

tion isn’t falling, rates aren’t high enough.

Before Friday, the Fed’s default was to hold unless the data made a case to move. Warsh’s speech reversed it, said Donald Kohn, a former Fed vice chairman. “He’s changed the presumption to they’ll raise rates unless the data suggests it’s not necessary,” said Kohn, whose reading was shared by others at the Kansas City Fed’s annual symposium.

That means the decision will turn on developments before the Sept. 15-16 meeting, especially the August consumer-price index on Sept. 11. Warsh has said he doesn’t put much weight on any single reading, but cooler data could turn two prior encouraging months into a trend.

A weak enough report would settle it, Kohn said. If the data say a move isn’t necessary, the Fed shouldn’t move, and investors shouldn’t object. A firm reading, on the other hand, could undercut the argument that inflation is on its way to the central bank’s 2% target. If the Fed held steady anyway, it would revive the doubts about Warsh’s willingness to act that Friday’s speech had quieted.

While this is the kind of data-point dependence Warsh criticized before he ran the place, it is also a natural outcome for a chairman who wants every meeting to be decided in the room rather than in advance.

Some professional forecasters, including at Barclays and Société Générale, revised their expectations for Fed policy on



Fed Chairman Kevin Warsh was in Jackson Hole, Wyo., last week with other central bankers.

mer Fed Chair Jerome Powell. Trump has suggested in recent months that Warsh would prefer to leave rates alone and is being pushed by others on the committee, and the president’s top economic advisers have said inflation, excluding volatile energy prices, has improved.

Hoenig said it would be naive to think political pressure doesn’t register. “I don’t care who you are. It’s unavoidable,” he said. “We all put it aside, but it’s always there.” Warsh and his colleagues have said they don’t take politics into consideration.

Warsh leads a committee that is split. Three officials dissented from last month’s decision and at least two others without a vote said they also thought rates should rise. These officials are worried that inflation is likely to fester regardless of what the August data show, in part because tariffs, the conflict in the Middle East and the scale of AI investment will keep pressure on prices. They also see a risk that elevated inflation and strong growth will sustain higher price growth.

Others aren’t opposed to raising rates eventually but see a mistake in moving if monthly price readings continue to break in a more favorable direction, as they did in June and July.

A third group sits somewhere in between. A few who supported July’s decision could now lean in favor of hiking, leading to more dissents than the three last month if the Fed holds steady in September.

the basis of Warsh’s speech on Friday, and now expect hikes in September and December.

Other investors and analysts treated the speech as an inkblot test that reinforced their prior views. Those who thought the Fed should have raised rates in July heard a chairman laying the groundwork to move and identifying himself with the Fed’s most hawkish contingent. Those who think a hike would be a mistake heard a chairman repairing July’s communications confusion and reassuring markets he takes inflation seriously, without committing to a decision the data don’t yet demand.

Kristin Forbes, a former Bank of England policymaker who moderated a panel at the conference, said investors should be careful reading the speech as a signal. Warsh has been explicit that he isn’t pre-committing, she said. “The door is open either way, and he’s been very clear that’s how people should be pricing it,” she said.

A chairman determined to show he isn’t offering guidance might have reason not to move next month, if only to stop investors parsing every speech for a signal, said Forbes.

On Friday, Warsh defended July’s decision with reasons to postpone a call—awaiting new information on supply chains, investment flows and geopolitics—rather than make the ar-

guments some of his colleagues did to say why the current stance is appropriate. Absent soft August data, holding in September would put him back where July left him, explaining a decision without a satisfying rationale.

“If he doesn’t explain it well, he will lose credibility,” said Thomas Hoenig, a former president of the Kansas City Fed.

A rate increase next month would fall just weeks before the midterm elections in early November and would undercut the administration’s message that inflation has been brought under control. President Trump hasn’t put the same public pressure on Warsh that he applied to for-

U.S. WATCH

GRAND CANYON

Flooding Forces Evacuations

A major flash flood at the Grand Canyon forced the evacuation of dozens of people and swept large boulders, metal structures and other debris into the Colorado River that runs through it, the National Park Service said. Flooding also knocked out the sole water pipeline that serves tourists and residents at the national park, officials said late Sunday.

Starting Monday, tourists won’t be able to stay overnight at lodges and hotels within Grand Canyon National Park. The park is also asking residents who live there year-round to conserve water.

As the park service tries to account for everyone in the area, it is asking asked anyone with details about people hiking or camping there to get in touch.

—Associated Press

NEW ORLEANS

Yiannopoulos Gets Deported to U.K.

Immigration and Customs Enforcement deported British media provocateur Milo Yiannopoulos to the United Kingdom after detaining him for choosing to “overstay his welcome,” the Department of Homeland Security said.

ICE agents arrested Yiannopoulos at the Louis Armstrong New Orleans International Airport Thursday, a Department of Homeland Security spokesperson said. Yiannopoulos was deported on Friday.

A judge issued the British conservative commentator a deportation order July 22 after he missed an immigration hearing, the DHS said. In a 2025 social-media post, he urged Trump to deport millions of people from the U.S., saying “nothing else matters.”

Yiannopoulos and his representatives didn’t respond to requests to comment.

—Jack Morphet

SOUTH CAROLINA

Officer Killed in Gunfight in a Park

A South Carolina police officer died and a second was injured in a gunfight Saturday in a park following a call about a domestic dispute, the police chief in Columbia said.

The suspect, a 33-year-old man with a lengthy criminal record, also died, Chief W.H. “Skip” Holbrook said.

The deceased officer, 29-year-old Christopher DeLong, had been with the police department for two years, Holbrook said. The second officer, David Dymock, was in stable condition, the chief said.

The shooting unfolded after a woman called police around 9:30 a.m. Saturday saying a man who she had a restraining order against was destroying property at her home.

The suspect was Adam Tyler Dowdy, a man with a history of arrests across at least four states, the chief said.

—Associated Press



Grand Canyon National Park in Arizona on Sunday after it was hit by heavy flooding a day earlier.

Earnings Growth Continues

Continued from Page One performed above our expectations,” Chief Financial Officer Robert Ball said on the conference call.

Across S&P 500 companies, per-share earnings soared 53% in the second quarter from a

year earlier, while sales rose nearly 16%, according to data from LSEG. Investment gains from tech giants Amazon.com and Alphabet added fuel to the big earnings surge.

Even without those gains, S&P 500 earnings rose the most since fall 2021. Quarterly sales also climbed more than they have in years. By a nearly 2-to-1 margin, more companies raised their profit guidance for the current quarter than lowered it—a turnaround from a year ago, when more were lowering their outlooks.

Tariff refunds are providing a big, temporary tailwind. They are likely to account for more than 4% of third-quarter economic growth—or add about 0.2 percentage point to the Atlanta Fed’s growth forecast of between 4% and 5%—according to a mid-August estimate from Apollo Global Management.

Improved full-year financial estimates came from a diverse set of companies, including healthcare companies McKesson and Charles River Laboratories International and jelly giant Smucker. At many of them, the refunds flowed primarily to the bottom line, rather than into lower prices for shoppers.

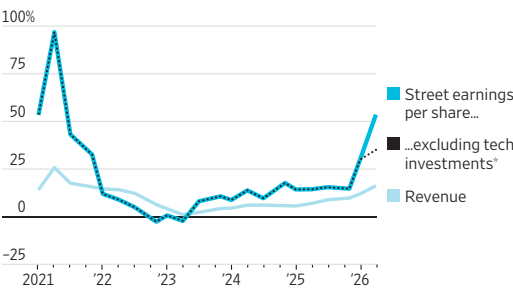
At fitness-watch maker Garmin, \$21 million in tariff refunds boosted profit margins in the quarter that ended in late July, executives told investors late last month. Strong demand for its fitness products helped, too, leading the company to raise its full-year financial guidance.

Even without the refund, “our gross margin performance was impressive by any historical comparison,” Chief Executive Clifton Pemble told investors.

Retailers generally reported strong quarterly sales figures in recent weeks, noting that consumers are spending on new appliances, toys and clothing even as they navigate higher fuel prices and long-term inflation.

Dollar General, known for drawing cash-strapped shop-

S&P 500 results as adjusted by analyst consensus, change from a year earlier



*Omits investment gains at Amazon and Alphabet. Note: Street earnings reflect analyst estimates for 17 companies and Wall Street consensus adjustments to reported results for the rest. Source: LSEG

pers to its mostly rural stores, posted a fifth consecutive quarter of higher traffic and a 3.5% increase in comparable sales. Electronics retailer Best Buy said its shoppers were buying up computers, TVs and AI-enabled glasses, lifting its most recent quarterly sales and profit. Target also reported higher sales, profit and a benefit from tariff refunds in the most recent quarter, noting shoppers pushed up sales of toys, food and beauty products.

The reports of robust spending run counter to some recent economic indicators. Government retail-sales data

for July showed overall softening, partly driven by Amazon and other retailers moving online summer sales to June this year from July last year. A widely watched measure of consumer confidence slipped in August as consumers fretted about future economic conditions, the Conference Board said this past week.

Some retailers did report sluggish sales. Gap said its most recent quarterly sales fell, hampered by performance at its Old Navy and Athleta brands, even as its flagship Gap brand did well. The company still raised its earnings estimates for the full year.

The consumer environment is softer, but shoppers are still spending.

Dollar General and other retailers catering to mainstream America said they used part of their tariff refunds to lower prices, hoping to further juice sales. “Our core customers continue to be financially constrained,” said Dollar General’s CEO Todd Vasos on a conference call.

Sales at Walmart stores and digital channels operating at least a year rose at their slowest pace in more than six years. Yet it was enough for the retailer to raise full-year estimates earlier this month. It used some of its roughly \$2.9 billion in tariff refunds to lower prices, which its executives said should boost sales later this year.

Shoppers are cautious, but still spending, they said. It’s “arguably a softer consumer environment than in February,” said Walmart Chief Financial Officer John David Rainey on the retailer’s earnings call this month.

So far, there are few signs that the factors driving growth will wane in the near future, said Torsten Slok, chief economist of Apollo Global Management.

“As long as the AI boom continues and the stock market continues to be elevated, and we continue to have strong consumer income growth, the consumer will continue to be in good shape,” he said. But if the promise of AI fails to justify the massive investment, “we will be having a different conversation.”

THE WALL STREET JOURNAL

(USPS 664-880)

Eastern Edition ISSN 0099-9660

Central Edition ISSN 1092-0955

Western Edition ISSN 0193-2241

Editorial and publication headquarters: 1211 Avenue of the Americas, New York, N.Y. 10036

Published daily except Sundays and general legal holidays. Periodicals postage paid at New York, N.Y. and other mailing offices.

Postmaster: Send address changes to The Wall Street Journal, 200 Burnett Rd., Chicopee, MA 01020.

All Advertising published in The Wall Street Journal is subject to the applicable rate card, copies of which are available from the Advertising Services Department, Dow Jones & Co. Inc., 1211 Avenue of the Americas, New York, N.Y. 10036. The Journal reserves the right not to accept an advertiser's order. Only publication of an advertisement shall constitute final acceptance of the advertiser's order.

Letters to the Editor: Fax: 212-416-2891; email: wsjletters@wsj.com

Need assistance with your subscription? By web: customercenter.wsj.com; By email: support@wsj.com; By phone: 1-800-JOURNAL (1-800-568-7625)

Reprints & licensing: By email: customreprints@dowjones.com; By phone: 1-800-843-0008

WSJ back issues and framed pages: wsjshop.com

Our newspapers are 100% sourced from sustainably certified mills.

GOT A TIP FOR US?

SUBMIT IT AT WSJ.COM/TIPS

U.S. NEWS

NASA, SpaceX Launch Telescope

By MICAH MAIDENBERG

The National Aeronautics and Space Administration launched a new flagship telescope, a powerful observatory device that will study so-called dark matter and hunt for other planets.

A SpaceX rocket took off with the device, called the Nancy Grace Roman Space Telescope, just before 7:30 a.m. ET Sunday from a launchpad in Florida. The launch went smoothly, setting up the telescope to fly out to an orbit about one million miles from the planet.

During the course of a mission designed to last at least five years, the observatory, which weighs about 18,000 pounds and measures more than 42 feet long and over 14 feet wide, will take sweeping surveys of the cosmos. The telescope's main scientific sensor is essentially a giant, infrared camera dubbed the Wide Field Instrument.

The WFI camera has 300 megapixels, giving it a much bigger field of view than NASA's Hubble observatory, according to the agency, and will gather data much faster than that device. The camera should allow the telescope to capture extremely high resolution images in space.

"It's the instrument that allows us the panoramic imagery that makes Roman so iconic," Dominic Benford, a NASA scientist working on the telescope program, said Sunday during a NASA livestream of the launch.

The telescope also includes what is called a coronagraph, a system that includes mirrors and optical sensors to try to image other planets.

It will study dark matter, a mysterious form of matter that scientists think will help them understand the nature of the universe. The telescope will track hundreds of millions of stars, searching for light that could indicate the presence of so-called exoplanets.

Named after a pioneering female astronomer at NASA, the telescope nearly didn't get to space. The Trump administration proposed canceling the device in budget pitches, but Congress continued to support funding the device and having it launched. The administration has sought significant cuts to many NASA science programs.

During a post-launch media briefing Sunday, President Trump called in to praise the flight, giving NASA kudos for the mission. "Boy, it looks beautiful on television," he said.

NASA has said the total cost of the device, including development and operations, is expected to be roughly \$4.3 billion.

The telescope uses mirror technology originally developed for the National Reconnaissance Office, a U.S. intelligence agency that operates powerful spy satellites that monitor Earth. The NRO donated the gear to NASA more than a decade ago, allowing teams at NASA to repurpose the technology.

SpaceX launched the device using a Falcon Heavy rocket, a more powerful variant of its workhorse Falcon 9 vehicle.

Liftoff on Sunday in Florida.

◆ SpaceX, rivals dodge traffic in low-Earth orbit..... B1



Young New Yorkers Living the Dream

They scored the ultimate deal: A rent-stabilized apartment that comes with minimal annual rent increases

By REBECCA PICCIOTTO AND LILY BELLE POLING

New York City is home to about one million rent-stabilized apartments, roughly half of its rental housing stock. Under Mayor Zohran Mamdani's new rent freeze, landlords of these apartments will have to keep rents flat for one- and two-year leases starting in October.

The people who rent these apartments range from low-income families to wealthier residents who inherited the lease from a family member. The tenants

vary so widely because there are no income limits or special qualifications. Whoever is lucky enough to find one can benefit from the stability that comes with minimal annual rent increases at a time when market-rate rents are around record highs. It takes luck, connections, grit—and sometimes a broker's fee.

Fewer Gen-Z and millennial renters have been able

to break into this coveted housing stock, according to an analysis by the city comptroller. Baby-boomer and Gen-X renters are loath to give up their deals. And old rent-stabilized properties are getting torn down for development projects, shrinking the pool of such apartments.

The young rent-stabilized tenants of New York City represent a rare breed of their generation. A few of them opened their apartment doors. Here's a look.



Zach Mauer
Chelsea, Manhattan
Age: 33
Rent: \$2,000
Occupation:
Manager at media company
Apartment Size:
300 square feet | Studio

After nine years in the city, Zach Mauer knows the mere mention of a rent-regulated unit holds a kind of power. "I've seen it turn heads in rooms," he said.

A 33-year-old manager at a media company, Mauer is getting a roughly 60% discount in one of the most sought-after coves of the city. He found his apartment through "a woman who knew a woman" whom he met on Craigslist.

Raised in Montana, Mauer sees his apartment as proof



that he is making it as a New York City renter. "The brag for me is the stability of it," he said. "Stability in a crazy system like New York City—any kind of stability—that is a flex."

Evan Rugen
East Village, Manhattan
Age: 31
Rent: \$2,000
Occupation: Real-estate and financial services
Apartment Size:
575 square feet | Studio

The only downside of Evan Rugen's East Village loft is the yearslong feud with his neighbors.

After a rowdy party at Rugen's apartment, his neighbors, mostly in their 70s and 80s, left a note on his front door: "Who raised you??? You are not the only people in this building."

At the time, Rugen was in his early 20s trying to establish himself in the real-estate industry. Now 31 at the helm of a financial-services firm, Rugen is in the pool of wealthy rent-stabilized tenants that New Yorkers whisper about as urban legend.



Lower Manhattan prices have more than doubled in the 10 years that Rugen has lived there. Meanwhile, his rent is 25% higher and he says he makes 10 times more than he used to. Bad blood with the neighbors, he said, is a small price to pay for that stability.

And at times, he admits, he helped stir the drama. The weekend after that ominous door note, Rugen threw another party. This time, he left 20-some free T-shirts outside his door. They read: "Who raised you??? You are not the only people in this building."

Emma Handte
Bushwick, Brooklyn
Age: 32
Rent: \$2,100
Occupation:
Adjunct Librarian
Apartment Size:
300 square feet | Studio

When Emma Handte moved into her studio apartment in Bushwick, she put bookshelves on the walls. A funky one hangs in the corner, some simpler ones float above the dark-green tufted couch. Each shelf is stocked with paperbacks like "Moby-Dick" and "The Bell Jar."

"I've never put in shelves in an apartment before because I was like, 'I'm probably gonna move out in like one or two years,'" she said. "I was moving every few years because the rent would go up in one place or whatever, but now the rent stabilization of this apartment allows me to think more long term."

Handte, 32, previously



shared a four-bedroom apartment with three other people. Once she turned 30, she realized it was time to find her own place.

By a stroke of luck, Handte found her rent-stabilized apartment the day it was posted on StreetEasy. She was the first person at the open house and sent in her deposit as soon as she had seen the place to get ahead of the competition, she said.

Shedika Williams
The Bronx
Age: 29
Rent: \$1,259
Occupation:
Administrative Assistant
Apartment Size: 800 square feet | 1 bed, 1 bath

Shedika Williams had that well-known stomach pang that New York City apartment hunters get when they stumble on a good deal: "I thought it was a little bit of a scam at first."

Williams has experienced her fair share of housing battles. She was already getting ready to take her previous landlord to court. So when she found an apartment of this size, at this price, she was skeptical.

But a large rent-stabilized one-bedroom all to herself? It would be a game changer. Wil-



liams suspended her disbelief and moved in January.

Now free of surprise rent hikes, she is breathing a sigh of relief and cleaning up her financial habits. She saves more now; she pared back on im-

pulse shopping; most of her leftover income goes toward healthcare costs like orthodontics to help her breathe better.

"I feel more responsible because this is my apartment long-term," she said.

Mamdani, Union Split on Bonuses to School Aides

By JAMES FANELLI

As the start of the school year approaches, Mayor Zohran Mamdani is locked in an unlikely showdown with a powerful classroom ally: the New York City teachers union.

Mamdani filed a lawsuit to stop a law passed by the City Council to provide one-time \$10,000 bonuses to low-paid school aides who typically work with students with special needs. The lawsuit marked a surprising rift between the Democratic socialist mayor and the United Federation of Teachers, the influential labor group that represents the aides, as well as teachers in the nation's largest school system.

It was also an about-face for Mamdani, who had the endorsement of the union in last year's mayoral election and said during his campaign that he supported the bonuses.

The legal fight carries broad implications for a mayor who focused his campaign on affordability and has walked picket lines for workers seeking better wages. It has an-

gered the teachers union and could complicate his relationship with unions representing other city workers who helped sweep him into office.

Michael Mulgrew, the president of the 200,000-member teachers union, threatened an "all-out war" if Mamdani tried to stop the legislation in a New York Times interview earlier this summer.

"It's always surprising when you see a big rift between the teachers unions and Democratic politicians, especially a pretty far-left Democratic politician," said Michael Petrilli, president of Thomas B. Fordham Institute, an education reform think tank. "Conventional wisdom would say that Democratic politicians try not to get sideways with important parts of their constituency and the teachers unions are such an important base."

The fight has also exposed the realities Mamdani faces now that he is in office to follow through on campaign promises when faced with fiscal constraints.

The city has about 25,000

school aides, who are known as paraprofessionals and whose salaries start at about \$32,000. In late July, the City Council unanimously passed the legislation granting the \$10,000 payments. Mamdani didn't veto the bill, allowing it to automatically become law. Days later, he sued the council in state court, saying the bonuses would cost the city an estimated \$325 million.

In taking legal action, the mayor was asserting his executive authority in labor-contract negotiations. The lawsuit said that the bonuses violate a decades-old law that stipulates collective bargaining between unions and the mayor—not legislation—determines compensation. Allowing the bonus legislation to stand sets a bad precedent, the lawsuit says, giving unions a path to seek pay increases that circumvent the give-and-take of the traditional bargaining process.

City Council Speaker Julie Menin, a Democrat, said the council had hoped that the mayor would have negotiated pay raises for paraprofession-

als or included salary bumps in the budget passed earlier this year. When that didn't happen, the council went forward with the legislation, she said, adding that the school aides are underpaid. Increasing their salaries would help fill the 1,600 vacancies the city currently has for the role and lower education costs in the long run.

"We believe that it is not only the right thing normatively to raise a paraprofessional's salary, but it is the right thing fiscally," she said.

Mulgrew said in a statement the council's legislation addresses chronic workforce shortages. "The council took this action because it was necessary, and they did it in a way that legally protects collective bargaining," said Mulgrew, whose union filed a motion to intervene in the court case recently.

A mayoral spokesman said the Mamdani administration filed the lawsuit "to ensure that negotiations between the city and its workforce remain at the bargaining table rather

than being decided through political intervention." He added that the mayor's office has been in talks with the teachers union to address the need for fair compensation for school aides.

Evan Stone, chief executive of teacher-led advocacy group Educators for Excellence, said the council's legislation left the mayor in a "really tricky place." Mamdani agrees that school aides deserve pay hikes, Stone said, but he needs to hold the line on the traditional process for setting compensation. Historically, mayors have used pattern bargaining to set a standard percent raise across city union contracts and avoid one group getting a much larger pay hike than another, he said.

"I think it would throw the historical process into question at a time when there are very tight budget constraints," Stone said of the bonuses. He added that the legal fight could hurt Mamdani's relationship with many of the teachers who supported him in the mayor's race.

JOE SKIPPER/REUTERS

MATHYDA DULIAN FOR WSJ (5)

U.S. NEWS

Talarico Goes on Offensive in Texas Race

Senate candidate is out-fundraising Republican Paxton, flooding airwaves

By Maggie Seaverns
And Elizabeth FindeLL

Senate candidate James Talarico began August in Massachusetts, standing beside a swimming pool on tony Nantucket, where more than 100 curious islanders gathered in sunglasses and sports coats to see what the bright-eyed Democrat on a hot streak in Texas was all about.

The event, held at the cedar-shingled home of a former Biden administration ambassador, came as Talarico made a private East Coast swing that included August stops in Martha's Vineyard, another Massachusetts vacation spot, and New York City, according to invitations that priced tickets between \$500 and \$13,500.

Guests left the sold-out fundraiser impressed by Talarico and his sincerity, said former Texas Lt. Gov. Ben Barnes—which no doubt has helped the campaign raise \$68 million from both big- and small-dollar donors, dwarfing Republican opponent Ken Paxton's \$9 million.

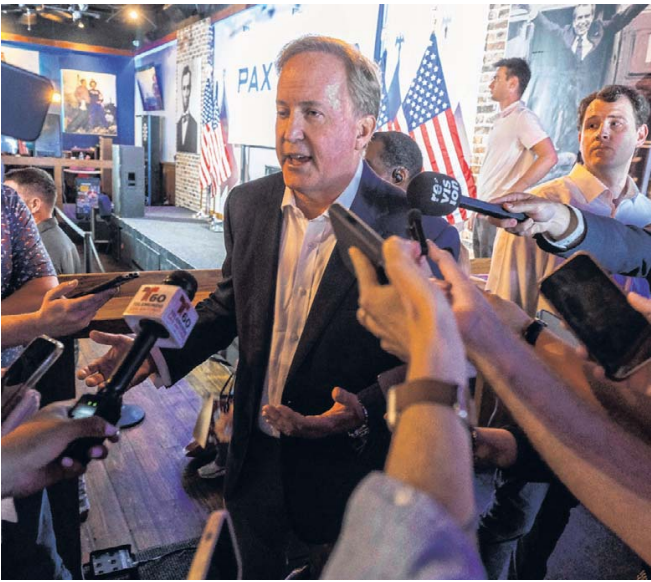
"I do think Talarico has a chance to win this race," said Barnes, a Democrat who co-hosted the Nantucket event.

The Talarico campaign is still considered a long shot in red Texas, but the candidate is giving Democrats hope that they can fulfill the elusive dream of winning statewide office there for the first time since the 1990s. Race raters at Fox News, Cook Political Report and the Center for Politics all recently have moved the contest from "leans R" to "tossup."

Throughout August, Talarico



Senate candidate James Talarico posed at an Austin, Texas, rally. Right, his Republican opponent Ken Paxton speaking in San Antonio, Texas, in August.



has been on offense. His ads are ubiquitous in the state, thanks to his fundraising advantage, and have included digs against Paxton including one accusing his opponent of stealing a \$1,000 pen. His campaign recently hired a top aide to Republican Sen. John Cornyn, whom Paxton defeated in a tight primary.

Republicans have branded Talarico, a state representative and seminary student, as a far-left progressive who doesn't reflect Texas values. They have assailed his prior remarks that "God is nonbinary" and attacked his masculinity.

But Texas Republicans have challenges in the race. They are managing fury over the Trump administration bulldozing sensitive habitats in Big Bend National Park for border-wall infrastructure planned in the park. They have been navigating rising

voter opposition, especially in rural areas, to construction of new data centers. They have seen backlash to a new state ban on some THC products. And they have continued to have to defend the state of the economy under Trump.

Meanwhile they have had to defend the scandal-tarred Paxton, who was impeached by his own party in 2023 after he was accused of abusing his position as attorney general to benefit political allies. He was acquitted after a dayslong trial before the Texas Senate.

Paxton's greatest strength is his support from Trump, which got him through the nasty primary against Cornyn. The president traveled to Texas last week to campaign, telling reporters that "we want to win that race." But money from a Houston fundraiser Thursday featuring Trump will go to the Republi-

can National Committee, not directly to Paxton.

Paxton needs the money. As the state attorney general, he has a record of suing businesses in the state—putting him on the wrong side of some wealthy Texans who could donate to his campaign. Super PACs with names such as "Preserve Texas" have reserved more than \$4 million in pro-Paxton advertising in the state, while Talarico's campaign has reserved upward of \$30 million.

Talarico has held flashy rallies across the state, including in a rural town for an event with Tejano music star Bobby Pulido, who is running for a South Texas congressional seat. Paxton plans to hold rallies in coming days at Corpus Christi and Willow Park.

In connection with the ad accusing Paxton of stealing a \$1,000 Montblanc pen, his

campaign is selling "Not Ken Paxton's Pen" pens, which it said it quickly sold out.

A Paxton spokesperson said Talarico has resorted to "childish attacks that have already been thoroughly litigated. This was nothing more than a mix-up at security."

Talarico sat down Saturday for a live podcast taping to discuss healthcare with Texas celebrity businessman Mark Cuban. Talarico last week took legal action to try to compel the unsealing of two depositions Paxton gave in 2019 and 2022, rare cases of the attorney general answering questions under oath, in connection to a lawsuit involving two former friends and business associates. The Wall Street Journal previously reviewed and reported on the first of the depositions, which shed light on his conduct as a lawyer, past business dealings and

blind trust that shielded his rapidly expanded assets.

Still, Talarico faces difficult odds. It has been more than three decades since Texas elected a Democrat to serve in the Senate. And Trump won Texas by a margin of more than 1.5 million votes in 2024, a sign of strength that Trump has thrown behind Paxton.

But the political terrain in Texas is fertile for Democrats. Talarico has for months spoken out against a border wall through Big Bend, has supported legalizing THC and has called for tighter regulation of data centers.

Paxton has made fewer public comments on these issues. He said in a statement after the Big Bend construction was paused that "destroying one of our state's greatest natural treasures with unnecessary roads and barriers is not smart border security."

Trump Focuses on Legacy as GOP Frets Over Midterms

By Philip Wegmann
And Meredith McGraw

WASHINGTON—President Trump last week offered his 13 million Truth Social followers an assessment of how he hopes history will remember him.

On Thursday, he posted an AI-generated image that ranked the U.S. presidents. Trump's name was at the top of the list, above George Washington and Abraham Lincoln, with the words "The Greatest" emblazoned above his portrait.

As his approval ratings sag, Trump is on a mission to burnish his legacy, his advisers said. But Republicans privately worry that Trump's focus on himself is backfiring with voters, complicating their efforts to keep control of Congress and giving Democrats plenty of ammunition for attack ads.

Trump's senior advisers have for months tried to shift the president's focus to the economy, according to people familiar with the matter, in a bid to show voters that the president is focused on the issue they care about the most. While the president has touted his economic record in speeches and Oval Office events, his attention frequently shifts to other issues, from his construction projects to attacks on his perceived enemies.

Trump has seen firsthand how quickly a president's policies can be wiped away by

their successor, so he is trying to leave behind a legacy that will be more difficult to erase. He spends much of his time, said those close to him, working on a list of construction projects, from the White House ballroom to a proposed triumphal arch. And he is putting his name and face on limited-edition passports, national park passes and a soon-to-be released commemorative \$1 coin.

One senior administration official said the president has entered "legacy mode." He is fixated on how he will be remembered by future generations, according to aides, conscious of avoiding the fate of past occupants of the White House he views as weak.

"He is one of the handful of presidents who thinks on an entirely historic scale," said Newt Gingrich, the former House speaker and current Trump confidant. "He wants to be consequential. He wants this to matter. He wants to be the kind of president who people say, you know, it mattered that he was president."

White House spokesman Davis Ingle said Trump is "solely focused" on delivering prosperity and peace to the country.

This month, Trump showed off a new helipad that is being built on the White House's South Lawn. Republicans, meanwhile, are concerned with more immediate matters. They face an uphill battle to



President Trump signs a piece of granite that will be part of the new White House helipad.

maintain their congressional majorities and have urged him to turn his attention—and money—to the midterms.

A super PAC aligned with Trump has amassed more than \$400 million. But the group hasn't started spending on a large scale, frustrating many in the president's party.

It recently spent more than \$800,000 on get-out-the-vote calls and text messages in support of Republican Sen. Darline Graham, who bested a GOP challenger in South Carolina last week. Trump encour-

aged Graham to run to succeed her late brother, Lindsey Graham, and a loss in the state would have been an embarrassment for the president, who takes pride in the success of candidates he endorses.

Some Republicans privately grouched that the group's first significant spending in months was in a runoff between two Republicans in a state that Trump won in 2024 and that isn't seen by either party as competitive in November.

Despite his low approval ratings, Trump plans to put him-

selves at the center of the midterms. As the president's team debates how to spend the fund-raising haul, Trump has told advisers he wants to produce a series of television ads centered on his agenda, said people familiar with the matter.

The president, his allies said, is confident the tax cuts he signed into law will resonate. And he contends he is still the party's most powerful political force, arguing he can motivate Republicans to show up in November's elections.

To turn out the MAGA base

ahead of the midterms, he urged his supporters during a recent Fox News interview to "pretend I'm on the ballot."

Some Republicans worry Trump isn't concerned about the blowback they could face from his actions. When Republican leadership struggled to build consensus around legislation he is pushing that would impose new voter-eligibility rules, a senior administration official said Trump didn't care about how the debate would affect members running for reelection because he was focused on his legacy.

His international rivalries have, at times, distracted from his domestic agenda. While Republicans were campaigning around the country last week, Trump was escalating his trade feud with Canada. The president called the media into the Oval Office last week for an executive-order signing. He directed the government to change the name of Lake Ontario to "Lake America."

"Now picture the American voter who was on the sidelines Tuesday, arms folded, undecided about the midterms, who read that headline and thought, 'Well, now I'm voting Republican,'" conservative talk-radio host Erick Erickson, who has increasingly criticized Trump in recent months, wrote on social media. "You cannot picture him because he does not exist."

If children are the future, their now matters.

Their health matters now. Their education and their path toward a livelihood matter now. Above all, their safety matters now.

ChildFund has always brought together people who care about children to help them grow up healthy, educated, skilled and safe. **And that matters for all of us.**

ChildFund.
Because we need each other.

ChildFund.org



Walter’s Lending Scrutinized

Continued from Page One

The industry as a whole had 0.6% of its assets in short-term investments in 2024, according to an American Council of Life Insurers factbook. The category can also include some Treasury bills dated for more than three months that don’t count as cash. Life insurers sometimes hold assets with maturities of under a year to help meet payouts that are about to come due.

Walter’s Delaware Life had 8.6% of its overall investments in short-term loans at the end of 2025. His other main insurer, Clear Spring, had almost 14%, according to an analysis of their filings.

A spokesman for TWG Global didn’t return requests for comment. In a statement on Wednesday, TWG said it “stands firmly behind the integrity of its business” and that its insurance companies invested in “real assets that are performing well.” It said “there has been no fraud.”

Insurers tend to buy longer-dated bonds and mortgages that pay out cash for years, matching liabilities that stretch out decades. Walter’s insurers have obligations from selling annuities, a type of policy in which individuals pay upfront for retirement income later on.

Most of the short-term loans went to black-box limited-liability companies, or LLCs, with little public footprint, leaving a partial picture of what exactly Walter’s insurers invested in.

Many were made through vehicles whose paperwork was filled out by representatives at four businesses. The Wall Street Journal has reported this group is a focus of the Justice Department probe.

One is Hudson Trading, based in Chicago. The firm’s president registered LLCs named after places in New York state such as Dobbs Ferry, Hannacroix and Schuylerville. A lawyer for Hudson declined to comment.

The largest loan listed at the end of 2025 at Delaware Life was for \$140 million. It came due in May. The borrower was Cypress Park Financial MP, registered in Delaware by a senior managing director at TWG, who previously worked for a Walter family office administrator.

Annual interest rates for the overall short-term lending ranged from 6% to 12%.

Walter has long done business with a network of other executives who also have owned insurance companies. Several of the borrowers from Walter’s insurers are controlled by a Dodgers co-owner, Bobby Patton, corporate filings show. The Patton companies owed around \$180 million at the end of 2025.

Personnel from ABS Capital, a Miami investment firm, set up at least nine of the LLCs that received short-term financing from Walter’s insurance companies. The Journal previously reported that ABS made investments with Walter, including to buy an \$85 million house in California in 2017. The investment firm was founded by two former executives at Guggenheim Partners, Walter’s financial firm.

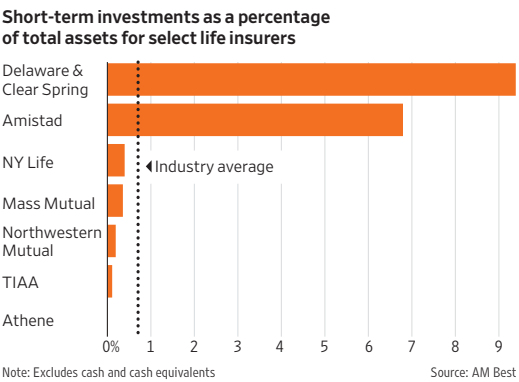
ABS Capital didn’t respond to a request for comment. Patton didn’t respond to a request for comment.

Short-term investments that aren’t cash require insurers to hold more capital as a buffer, said Erik Miller, senior director at AM Best. When it assesses the financial health of insurers, the credit ratings company penalizes the assets compared with holdings of corporate bonds or money-market funds.

Only a few other big life-insurance groups report large holdings of short-term investments, AM Best data show. In recent years, state insurance regulators tightened rules around the investment category, after finding that some unnamed insurers rolled over loans to conceal longer-term assets.

One group reporting large short-term holdings is a set of Berkshire Hathaway life insurers, according to the AM Best data. Filings for one showed those were almost all risk-free Treasury bills that are too long-dated to count as cash.

Another group that accumulated short-term assets is Amistad Financial. The holding company owns EquiTrust, an insurer previously controlled by Guggen-



heim, and Heritage Life, also once operated by Guggenheim and until recently owned by Patton. Amistad acquired both of those insurers last year.

Short-term loans made up more than 6% of EquiTrust’s as-

sets in 2025. Many of the borrowers overlap with those at Delaware Life and Clear Spring, regulatory filings show.

Spokespeople for EquiTrust and Amistad didn’t respond to requests for comment.



Around \$20 billion in insurance investments at Mark Walter’s companies are under a probe.

PRATT PAPER =

PAPER BUBBLE



MAILERS

BOXES



BAGS



Remember when you felt this way about school supplies?



Through **Volunteers of America’s Operation Backpack®**, more than **59,000** children started school ready to learn this year. Scan to help the next child start strong.
voa.org/operation-backpack



WORLD NEWS

Icelanders Reject EU Membership Talks

Voters weighed the nation’s security in wake of Trump’s desire for Greenland

By Kim Mackrael

Icelanders voted against re-starting negotiations on joining the European Union in a nationwide referendum on Saturday, rejecting arguments that their small island nation should pull closer to Brussels after President Trump’s threats to annex Greenland.

Results published by national broadcaster RÚV on Sunday said 52.8% of voters didn’t want their government to reopen talks with the EU, compared with 47.2% who favored talks. The government said it would respect the outcome.

“The most important thing is that we come out of this united,” Prime Minister Kristrún Frostadóttir said on Sunday. She said her government would continue to cooperate with the EU but wouldn’t pur-



Prime Minister Kristrún Frostadóttir, center, said Iceland would still cooperate with the EU.

sue negotiations during its current term, which ends in 2028.

The vote marked the first time Icelanders have been asked about EU negotiations in a referendum. The government said previously that, had

the referendum resulted in a “yes” vote, it would have held a second referendum on whether to join the bloc once negotiations were complete.

The decision to reject EU talks comes more than a decade after Reykjavík walked

away from earlier negotiations with the bloc amid disagreements over control of the country’s fishing industry.

Iceland sits on the continental divide between North America and Europe, and its economy relies heavily on

trade and tourism. It has long been wary of ceding more power to Brussels—although it has adopted many of the EU’s rules as a member of the European Economic Area, which extends the EU’s single market to other countries.

Iceland’s debate over EU membership shifted during the past year, after U.S. tariffs sparked a breakdown in global trading norms and Trump amplified his talk of the U.S. acquiring Greenland, Iceland’s closest geographic neighbor. Advocates of reopening talks with the EU said Reykjavík should expand cooperation with like-minded partners as an insurance policy.

The country of 400,000 people doesn’t have a military of its own and depends on its membership in the North Atlantic Treaty Organization and a defense pact with the U.S. for security. Opponents of EU negotiations said during the campaign that they didn’t think the bloc could offer much additional protection.

This weekend’s result is a blow for the EU, whose lead-

ers are eager to show the 27-member bloc is still capable of absorbing new members after the U.K.’s 2020 exit. Iceland would likely have had an easier path to membership compared with other EU hopefuls because it is economically and politically stable.

A key point of contention in the referendum debate was control of Iceland’s fish stocks. Industry representatives said the EU’s common fisheries policy would interfere with Iceland’s ability to determine catch levels and fishing grounds, although EU officials had indicated before the referendum that their policies could be flexible.

Those in favor of EU talks said ahead of the referendum that joining the bloc and swapping the Icelandic króna for the euro currency could bring economic benefits such as easing inflation and the country’s high cost of living. Iceland’s annual inflation hit 5.6% in July based on EU methodology, much higher than the average levels in the EU and euro area.

Death Toll Climbs From Devastating Nepal, Tibet Floods

By Tripti Lahiri

The number of people dead in catastrophic flooding in Nepal and Tibet rose to nearly 770, as teams from China and India arrived in Nepal to help with rescue efforts for hydropower project workers trapped in tunnels by mud deposited by the deluge.

Scientists examining the causes of Wednesday’s flood believe it was sparked by part of a glacier on a Nepalese mountain collapsing along with some of its bedrock, sending an avalanche of ice and rock into the valley below where it turned into a debris-laden flood.

Scientists are working on calculating the volume of ice and debris in the avalanche, as well as looking at whether any advance warning signs could have signaled that the glacier and its bedrock were in danger of detaching.

At least 752 people are dead in Nepal, authorities there said, while 2,500 people are missing, many of them pilgrims who were visiting lakes in the area that Hindus and Buddhists consider sacred.

About 900 of the missing are workers from more than a dozen hydropower projects in operation or under construction, most of which appear to have been largely destroyed. Nepal has sought technical assistance and equipment in its rescue efforts, with both its giant neighbors dispatching



Deadly flash floods and mudslides left buildings and houses covered in mud in Devighat, Nuwakot district, Nepal, on Sunday.

teams to assess damaged hydropower project tunnels.

In Tibet, 16 people are dead, according to Chinese state-run news reports, and around 550 are missing. More than 100 Nepalese, some 49 Indians and 18 Americans are among the 261 foreign nation-

als missing, Tibetan authorities said.

The Isha Foundation, which had a number of pilgrim groups traveling in the Nepal-China border region, including 77 people who were at the Gyirong Port, on Saturday night said information on res-

cue operations at the Chinese border checkpoint had given “no encouraging indications of survivors at the immigration office area.”

“The mix of debris and water rose very high, probably as high as 150 [feet] with immense force, completely wip-

ing out the whole building complex,” the spiritual group said. “This is an unimaginable calamity.”

Video from the port area, as well as from other locations in Nepal, showed military personnel and rescue workers crawling across the mud to avoid

getting bogged down in it.

Experts said this year’s flood, as well as one in 2025 in the same region that was caused by a lake in Tibet that burst, point to the need for rapidly improving trans-boundary sharing of risk analysis of hazards such as avalanches and glacial lake bursts in the Himalayas, a challenging task.

China’s embassy in Nepal in recent days has responded to some Nepalese media reports and social-media comments that asked whether China had failed to provide Nepal with a warning. China said the country makes every effort to monitor Himalayan terrain for risks and share the information with its neighbor.

But the task is complicated by the fact that risks are dispersed across the Himalayas, while a 2015 earthquake destabilized many rock masses on the southern slopes, the embassy said.

“Furthermore, image errors on steep slopes and high-precision monitoring over vast and complex terrain remain an international challenge,” the embassy said.

Meanwhile, ice vanishing because of climate warming is steadily destabilizing mountainous regions like the Himalayas, scientists said.

Nepal’s government has said the nature of the disaster took time to understand, catching both countries by surprise.

WORLDWATCH

CYPRUS

Ferry Capsizes, Killing at Least 7

At least seven people died after a ferry carrying nearly 270 passengers and crew capsized off the coast of northern Cyprus on Sunday, Turkish media reported.

Some 237 people were rescued, Northern Cyprus Prime Minister Unal Ustel told Turkish state-run TRT news channel. He said a search was under way for another 24 people.

Ustel said the ferry faced adverse weather conditions and began taking on water 15 minutes after departure. A call for help was issued shortly after, he said.

The catamaran-style ferry was traveling to the Turkish port of Tasucu in Mersin province from the port of Kyrenia, also known as Girne, in the breakaway north of ethnically divided Cyprus.

Kyrenia Mayor Murat Senkul said the ship belonged to the Filo Denizcilik ferry company and sank off the coast of Diana beach on Cyprus’ northern coast.

The ferry started taking in water about 4 nautical miles off the coast, TRT reported.

Video footage from the scene shows people with life-vests floating in the waters around the capsized vessel.

—Associated Press



FEATHERED FINERY: A performer marched in the Children’s Parade at London’s Notting Hill Carnival on Sunday.

GERMANY

Man Is Arrested In Fatal Stabbing

A man suspected of fatally stabbing a 31-year-old British woman with a knife early Sunday in the southern German town of Rosenheim was detained, authorities said.

The woman, who was attacked at the Rosenheim train station, was taken to a nearby hospital where she died, Rosenheim police said.

Federal police officers, called to the scene, detained the suspect right after the stabbing. Police identified him as a 27-year-old German man from the nearby county of Fürstentfeldbruck.

They said they were still investigating the circum-

stances and motive behind the crime.

They asked any witnesses to come forward and asked whether anybody had witnessed “an argument or a physical altercation” at the train station.

Train operator Deutsche Bahn, which is also in charge of the country’s train stations, said on Sunday that “our thoughts today are with the family and friends of the young woman.”

Train service wasn’t significantly disrupted by the incident, police said, adding that the forensic investigation had been completed by the time the first trains began running again early on Sunday morning.

—Associated Press

PAKISTAN

Nurse to Be Lauded For Saving Infant

A nurse who rescued the sole surviving newborn from a hospital nursery fire that killed 14 infants will receive one of the country’s most prestigious civil awards.

Fire engulfed Pakistan Institute of Medical Sciences, a major government hospital in Islamabad, on Wednesday.

A 51-second segment of CCTV footage, widely circulated online, captured Razia Noreen running into the burning nursery and emerging seconds later with the newborn in her arms.

She tried to go back in, but couldn’t because of the flames and thick smoke.

Noreen told private broadcaster Samaa TV on Sunday, while in tears, that she had merely done her duty.

“I did not do it for a reward. I love children, and caring for them is my passion,” she said, adding that she wanted to save the others, but “the fire spread through the nursery within two minutes.”

Noreen will receive the Sitara-i-Khidmat, or Star of Service, which recognizes people who have rendered distinguished public service or made exceptional contributions to the nation, and about \$36,000.

—Associated Press

Income for life.
Impact for generations.

RATES CHANGING SOON!

A charitable gift annuity funded with Claremont McKenna makes clear financial sense.

• Leading rates

• Charitable tax deduction

• Fixed payments for life

• Reduced capital gains

• IRA-QCD options

Current Rates*

AGE	RATE
92+	14.5%
87	12.0%
82	9.7%
77	8.2%
72	7.2%

* Rates valid through 09/30/2026. Rates may vary by state.

Call today for a FREE personalized consultation.

888.311.4717

cmc.edu/annuities

CLAREMONT
MCKENNA
COLLEGE

WORLD NEWS

Brazil’s Right Is Reeling As Tariffs Hurt a Stronghold

U.S. levies undermine conservative backing in manufacturing hub as elections near

By SAMANTHA PEARSON

PIRACICABA, Brazil—President Trump is pressuring Brazil ahead of October’s presidential election, seeking to pull Latin America’s last major left-led nation back under U.S. influence.

But in Brazil’s conservative heartland, that strategy is backfiring. Piracicaba, a city of 440,000 that hosts one of the country’s key heavy-machine making sectors, is reeling from Trump’s tariffs—turning voters against the right and opening the door to Chinese investment.

Trump exempted many of Brazil’s biggest commodity exports from his latest tariffs, including coffee and orange juice—but not the machinery on which Piracicaba depends. It is the Brazilian city hardest hit by the new levies, said Simespi, a local industry group, which estimates the tariffs have affected 40 to 50 local companies that employ around 10,000 people.

Once known primarily for the sugar-cane fields that surround it, Piracicaba began making equipment for farms and sugar mills before developing into a heavy-machinery hub producing everything from harvesters and crop sprayers to construction equipment and hydraulic systems. It is home to one of the largest factories outside the U.S. of heavy-equipment giant Caterpillar and a dense network of machinery suppliers.

Caterpillar didn’t respond to requests for comment.

Of Piracicaba’s nearly \$1.3 billion in exports in the first half of this year, 51% went to



A bioenergy complex is seen in Piracicaba, Brazil, which a local industry group says is the city hardest hit by U.S. tariffs, estimating the levies have impacted 40 to 50 local companies.

the U.S.—and 80% of those were machinery, Mayor Helinho Zanatta said. “I can’t remember an external shock this severe in Piracicaba’s history.”

The economic pain is creating a problem for the very movement Trump supports.

Piracicaba should be an easy win for Brazil’s political right. The city, whose indigenous name—“the place where the fish stops”—comes from its river rapids, gave Brazil’s right-wing former president, Jair Bolsonaro, 79% of the vote in 2018.

With Bolsonaro barred from running and under house arrest for plotting a coup, his son Flávio was counting on strongholds like Piracicaba in his campaign to unseat President Luiz Inácio Lula da Silva.

In July 2025, Trump initially targeted Brazil with 50% tariffs on its exports to the U.S.—the highest he had leveled against any major trading partner—in retaliation for what he described as the persecution of Jair Bolsonaro, his friend and ally. The move fol-

lowed an intense lobbying campaign in the U.S. by another Bolsonaro son, Eduardo.

After the U.S. Supreme Court struck down Trump’s broader tariff regime this year, his administration picked Brazil as the first target in a new wave of tariffs. The move came shortly after Flávio Bolsonaro visited Washington and met Trump officials.

Many Brazilians came to a conclusion Trump likely didn’t intend: The Bolsonaros were to blame. A July poll by Quaest found 51% sided with da Silva’s argument that Flávio had supported the tariffs to hurt his government, compared with 30% who believed Flávio’s account that he had tried to persuade Trump not to impose them. The tariffs made 42% more inclined to vote for da Silva, versus 27% for Flávio, Quaest determined.

In Piracicaba, right-wing city councilman Fabrício Polezi fired off a message to a WhatsApp group of fellow conservative politicians:

“Man, we’re screwed.”

“We knew that this would create a monstrous political problem that the left would use in its favor,” Polezi said.

Job losses would put a strain on city finances, Zanatta said, with newly unemployed workers likely to rely more on public services just as falling sales and tax revenues leave the city with less money to provide them.

In the meantime, Piracicaba is doing what other places squeezed by Washington are doing: looking to China.

Laerte Bandeira, owner of Piracicaba-based machinery dealer Tratorex, said equipment makers have been cutting prices since Trump’s tariffs hit—the sharpest decline he has seen in 50 years in the business.

Trump has done the right no favors, Bandeira said, though he also blames Brazil’s politicians for disrupting business. “One idiot on one side does one thing, the other side does another,” he said. “And both end up helping screw Brazil.”

Levies on Canada Sting Small Firms

By AMANDA COLETTA

TORONTO—Canadian honey producers are feeling the sting from President Trump’s new tariffs. So are exporters of artwork, wool, cosmetics, flowers and hundreds of other goods that depend on the U.S. market.

The Canadian economy as a whole is projected to withstand the new tariffs of 50% on \$20 billion of Canadian goods, or about 5% of Canada’s U.S.-bound exports. But many small and midsize Canadian business owners are expected to bear the brunt of the pain, and some fear they could be put out of business without a resolution to the trade spat.

In a CFIB survey released this month, 40% of exporters reported they sold products targeted by the tariffs. Of them, nearly 80% said they expected revenue losses if the tariffs were imposed; more than one-third estimated revenue losses of at least 50%.

In the prairie province of Alberta, Lorne Prins fears the tariffs could send honey prices “into a free fall.” Canada’s agriculture department estimates 56% of Canada’s total honey exports by volume in 2025 were shipped to the U.S.

“The worst-case scenario is actually very ugly,” said Prins, who co-founded the Gull Lake Honey Company in 2018 after a career in oil and gas.

Honey producers bought themselves time by rushing exports to the U.S. after Trump threatened tariffs in July. But producers are now in wait-and-see mode, Prins said.

Since returning to the Oval Office, Trump has imposed several sets of tariffs on Canadian goods. They include duties imposed over unsubstantiated claims about an invasion of

fentanyl into the U.S. from the northern border—which have been struck down by the Supreme Court—as well as levies of up to 50% on steel, aluminum, lumber and autos.

Previous rounds of tariffs on Canadian goods have exempted goods compliant with the U.S.-Mexico-Canada Agreement, but the new ones don’t.

Economists at Desjardins Group estimate the unemployment rate could climb to 7% by year-end from 6.4% in July, if tariffs are kept in place on both sides of the border. Trevor Tombe, a University of Calgary economist, projects that the tariffs could cost 90,000 jobs.

The new levies predominantly target industries in Canada’s three largest provinces—Ontario, Quebec and British Columbia—with producers of plastics, machinery, chemicals and forest products among the most exposed.

U.S. sales make up almost half the business at Orchid Greens in Niagara-on-the-Lake, on the shores of Lake

Ontario at the U.S. border about 35 miles north of Buffalo, N.Y. Owner Guann Chen said raising prices would likely lead to losing customers. Some clients have already told him they might look elsewhere because of the tariffs, he said.

An industry group, Flowers Canada Growers, estimated tariffs could cost the floriculture sector \$151 million. Because a store-bought orchid can take two years to grow, Chen said he is wracked by uncertainty.

“You’re kind of guessing what’s going to happen in two years, and no one would have guessed that there’d be tariffs now” two years ago, Chen said. “We bring happiness to people’s homes and lives, and the fact the U.S. has targeted us is very odd.”

‘The worst-case scenario is actually very ugly’ for the tariffs.

DOW JONES
RISK &
COMPLIANCE

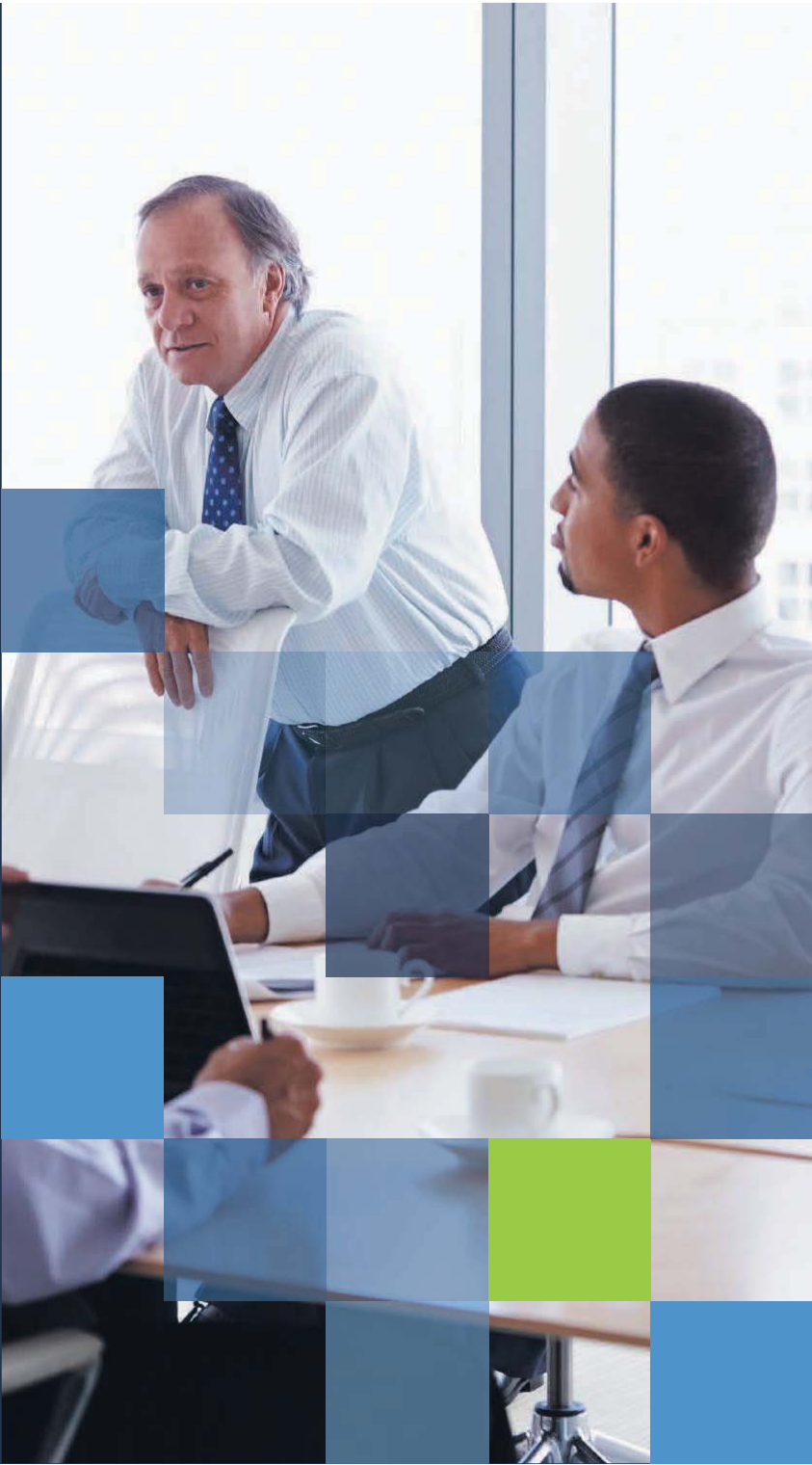
Streamline Third-Party Due Diligence

From onboarding and screening to continuous monitoring, RiskCenter Third Party helps compliance teams manage regulatory and reputational risk with a legally led workflow platform.

Unite best-in-class risk data, scalable due diligence and streamlined workflow technology in one web-based solution.



Connect with a
Dow Jones expert



WORLD NEWS

As Clout Fades, Putin Turns to Xi

Russia, China leaders meet amid changing power dynamics that are driven by wars

By Thomas Grove
And Austin Ramzy

In the months since Russian President Vladimir Putin last met his most important strategic partner, China's Xi Jinping, their wartime fortunes have sharply diverged. While Russia suffered a summer of painful strikes by Ukraine on its oil-and-gas industry and other economically vulnerable targets, China emerged from the global shock of the Iran war with more power over oil markets and greater resilience against the West. The shifting power status

of the two leaders will be front and center on Monday, when they are set to meet in Kyrgyzstan. Also evident will be their shared resistance to U.S. power. The meeting is set on the sidelines of a summit of the Shanghai Cooperation Organization, a 10-nation, security-focused group that includes Iran, giving the isolated regime a measure of added international recognition. China has provided a financial lifeline to Iran as Tehran tries to outlast a U.S. military and economic assault. Meanwhile, Iran has supplied lethal drones that Russia has used against Ukraine. The location of the Xi-Putin meeting carries symbolic meaning for the pair, who have met dozens of times, most recently in May in Beijing. Moscow maintains an

air-force base in Kyrgyzstan, a former Soviet republic, but as Moscow's international clout has waned during its protracted war in Ukraine, China has grown ascendant in the country. That dynamic extends far beyond Central Asia. China's more-dominant role is felt within the Kremlin itself, some analysts said, with Putin now forced to accept the role of junior partner while the Russian economy grows more reliant on Beijing. The economic pain that Russia has suffered from Ukrainian strikes only increases Moscow's dependence on China. That could provide Xi extra leverage to urge Putin to come around to Beijing's public position on Russia's war in Ukraine, calling for an end to violence and the start of negotiations.

At the same time, China has benefited from Russia's invasion, gaining cheaper oil and entry to the country's domestic market devoid of Western competitors. Russia's market has become so hostage to Chinese imports that various sectors have called on the Putin government to limit the amount of goods allowed in. Beijing has never condemned the Russian invasion of Ukraine. It has offered some muted criticism, saying nuclear threats shouldn't be issued, as Russian officials have repeatedly suggested they could employ nuclear weapons in the conflict. The Putin-Xi meeting comes days after Central Intelligence Agency Director John Ratcliffe made a secretive visit to Moscow. Ratcliffe warned Russia against attacking European countries in the

North Atlantic Treaty Organization and made clear that the U.S. remained committed to the NATO alliance, The Wall Street Journal reported. While the prospect of Russia expanding its war to NATO countries could cause deep concerns for China, Xi is unlikely to raise such worries publicly, some analysts said. "If the issue is discussed at all, it would more likely happen behind closed doors," said Eva Seiwert, a senior analyst with Mercator Institute for China Studies in Berlin. However, some tensions in the Russia-China relationship have surfaced. "There's very little Putin can do when it comes to China, he still sees Xi as a strategic partner," said Tatiana Stanovaya, a senior fellow at the Carnegie Russia Eurasia Center.

U.S. Strikes Iranian Rocket Launchers

By Michael R. Gordon

WASHINGTON—U.S. forces attacked two Iranian rocket launcher in the Strait of Hormuz on Sunday, the U.S. Central Command said, marking the first American strike in weeks and heightening the risk of a return to all-out conflict in the region. The command said the launchers, which were deployed on Iran's Larak Island, were preparing to fire rockets filled with sea mines into the strait when they were struck. "Last week, Centcom completed clearing sea mines from the strait's international shipping routes," said Capt. Tim Hawkins, spokesman for the command. "We simply will not allow Iran to emplace more mines."

Shortly after the strike, U.S. forces defended against missiles launched at Jordan, according to U.S. military officials. Jordan's military said it successfully intercepted eight missiles that entered the country's airspace. Jordan hosts nearly 4,000 U.S. troops and is a staging ground for U.S. military operations in the Middle East. The Trump administration has said it is focusing on economic sanctions and its blockade to compel Iran to open the Strait of Hormuz and make concessions on its nuclear program. The last time the U.S. military confirmed targeting Iran was July 29, shortly before Trump ordered a halt on strikes at the request of Washington's Gulf allies to give talks another chance. In a social-media post last week, Trump warned Iran that the U.S. would retaliate if Iran tried to place additional mines in the strait. Brig. Gen. Hossein Mohebi, a spokesman for Iran's Islamic Revolutionary Guard Corps, said the U.S. strike was "a strategic and fatal error" and would lead to "severe repercussions," the country's news agency reported. The Revolutionary Guards said the attack on Larak Island killed and wounded several servicemen and civilians, according to state media.

Russian Attack on Ukraine Ammo Depot Kills at Least 38

A Russian drone attack on an ammunition depot in the Kyiv region caused an explosion Friday that killed at least 38 people and injured dozens more, Ukrainian officials said, in the second such incident in two months. One of the deadliest Russian attacks of this year comes as Moscow steps up its airstrikes on Ukrainian cities, taking advantage of gaps in ballistic-missile defenses and sending more jet-powered drones to evade interceptors. Ukrainian President Volodymyr Zelensky said the ammunition depot destroyed on Friday contained artillery shells and drones—and under Ukrainian law shouldn't have been in a populated area. At right, unexploded ordnance is removed from the site of the attack, which followed a Russian strike in July on an ammunition depot belonging to an arms manufacturer in Vyshneve, which killed 10 people. "A terrible situation and terrible negligence on the part of those who stored explosives right next to people," Zelensky wrote on X. "Another such crime—after what happened in Vyshneve—is absolutely unacceptable." By Saturday, nearly 400 people had been evacuated from the suburb. —Anastasiia Malenko



Moscow Hits Europe With Hostile New ‘Gray Zone’ Moves

By Daniel Michaels
And Thomas Grove

Russia has turned up the heat on Kyiv's allies in Europe, with a string of so-called gray-zone activities aimed at sowing fear, as it struggles to advance on the ground in Ukraine and faces increasingly damaging Ukrainian drone and missile attacks at home. European authorities have linked Russia to a spate of drone incursions, acts of sabotage, cyberattacks and other hostile actions across the Continent over recent months. Leaders across the U.S.-led North Atlantic Treaty Organization say the moves are a worrying indication of Russia's rising appetite for risk in Europe, as President Vladimir Putin seeks to curb flows of European aid to Ukraine and sow divisions among allies.

Western officials say Russia could escalate its confrontation further and has already captured Ukrainian drones that it could use for false-flag attacks on NATO countries. Kremlin spokesman Dmitry Peskov has dismissed the reports, saying they are being used to justify European militarization against Russia. In a sign of Washington's concern, Central Intelligence Agency Director John Ratcliffe last week made a surprise trip to Moscow, in part to tell Putin's government that the U.S. stands by its NATO allies, people familiar with the visit said. "Russia is looking for ways to reduce support among NATO countries for Ukraine and, one of the secondary effects they are also pursuing is spreading panic," said Remigijus Bridikis, director of Lithuania's civilian intelligence agency. Incidents over recent weeks included three explosive drones discovered in or near a



Germans searched in August for evidence in a suspected Russian attack at Leipzig Airport.

German airport, one of them beneath a Ukrainian cargo plane. Russian drones have repeatedly entered NATO airspace. One was recently shot down over Romania. Dutch intelligence agencies warned that "Russian state actors are systematically conducting digital espionage" by hacking web-linked cameras to spy on aid to Ukraine. The tempo of documented Russia-backed incidents has increased from a maximum of around 10 in many months since 2024 to around 15 a month since April, according to Ukraine's Sahaidachnyi Security Center, which tracks Russian gray-zone activities in Europe. Sahaidachnyi analysts said trends can be difficult to discern because many incidents suspected of being linked to Russia aren't included in their data. The drumbeat of low-level

aggression has accelerated as Russia's war with Ukraine has increasingly intensified. Ukraine has carried out successful strikes on targets deep inside Russia, battering its oil and gas sector as well as other industries that feed Moscow's war machine. The Kremlin is now doing the same to Ukraine—though the money and supplies feeding Kyiv's front lines extend into NATO territory. European authorities have accused Russia of hiring local agents over Telegram and other social-media platforms to conduct sabotage, espionage and vandalism meant to stoke divisions. Estonia is investigating whether Russia-linked sabotage was behind the arson attack in August on a local defense company, Milrem Robotics, while recent explosions and fires at munitions facilities in Italy,

Bulgaria and Finland have drawn suspicion of Russian involvement, even though authorities haven't said they see evidence of that. Whether Putin is behind all the mayhem or not, getting credit for it can play to Moscow's advantage by boosting its reputation for influence and impact. Slovak police last week said they had thwarted an attempted attack on a drone factory by "three foreigners," whose nationality they didn't identify. Suspicions in the region turned to Russian involvement. Russia's campaign may prompt worry among Europeans that they face personal danger as a result of their governments' Russia policies. Another fear is that sending weapons to Ukraine depletes European arsenals, which might be needed to fight Russia—and if Moscow shows it



poses a threat, the logic of not sending arms east increases. Distinctions in motivation matter little to the Kremlin, some analysts said. Russia's approach to conflict, dating back to Soviet times, can blur lines between covert subversion and outright warfare. New U.S. intelligence reports assess that Russia could try to test NATO's resolve with a limited assault on a member country in the next few years, through steps potentially ranging from a cyber-attack to a small-scale land incursion. NATO's collective security is based on the founding principle that an attack on one member represents an attack on all. Short of that, the Kremlin still gains from riling domestic politics ahead of coming local or national elections in NATO countries including Germany, France, Finland, Estonia and Poland. Poland is particularly prone to disruption because tensions with Ukrainian refugees have been mounting. "The primary interest is to change the status quo in Eu-

rope," Estonian lawmaker Marko Mihkelson said. "It's an extension of the election interference you've seen them try to carry out" in other countries, he said. Officials in the U.S., U.K., Hungary and Romania over recent years have accused Moscow of trying to skew national voting. There is little evidence that the plan is working. The alliance's easternmost members show some of the strongest support for maintaining military aid to Ukraine and boosting military spending at home. Romania, which had a robust Russia-sympathetic electorate in the years immediately following Russia's invasion, has seen popular sentiment harden against Moscow following a series of drone incursions. Three drones were shot down over Romania in July and a drone incursion in May started a fire on the roof of a residential building. Romania expelled a Russian diplomat in July, and the Kremlin responded on Thursday by kicking out a Romanian diplomat in Moscow.

FROM PAGE ONE

Inside Oil Deal With Venezuela

Continued from Page One and money to do that.” The deal caps months of secretive negotiations and frequent trips to Caracas by U.S. officials and negotiators. Trump and interim Venezuelan President Delcy Rodríguez agreed to the outlines of the deal on a phone call days before the announcement, people familiar with the talks said.

Officials then spent recent days working through details on how to implement the unusual agreement.

Trump announced the deal on social media Friday night. Although it was negotiated by senior officials in both governments, the structure would make the U.S. an investor in a private company rather than a direct counterparty to the Venezuelan government.

The U.S. plans to take a 35% passive stake in Betancourt’s North American Blue Energy Partners and would secure preferential rights to purchase 20% of its production at cost, people involved in negotiating the agreement said.



A mural in Caracas, Venezuela, displays oil equipment.

The Pentagon’s Office of Strategic Capital plans to structure the investment through penny warrants that would yield the U.S. an equity ownership in the business without a significant capital investment, the people said.

The Pentagon office has limited statutory authority to strike deals designed to support U.S. national-security interests, typically through loans and guarantees.

Betancourt has served as a broker in Venezuela’s energy deals and has close ties to Rodríguez. He faced criminal investigations of alleged money laundering in Spain and Switzerland, though no formal charges have emerged.

His NABEP has become the

second-largest private oil producer in Venezuela, after Chevron, over the past two years.

Secretary of State Marco Rubio said the agreement would secure low-cost oil in the Western Hemisphere and lower gas prices for Americans. Rodríguez underscored that it would bring more than \$100 billion in investment, more than \$209 billion in taxes, and thousands of jobs.

Yet the deal angered many Venezuelans and sowed confusion among some oil executives, and even U.S. officials, over what was agreed upon and how it would work.

For U.S. oil companies pursuing potential investments in Venezuela, the idea of competing with a U.S.-backed private

company with a stake in swaths of the country’s oil fields is daunting, people close to the companies said. U.S. officials said the state-backed company would be the second-largest corporate holder of proven reserves after Saudi Aramco.

“Why is the U.S. subsidizing and building a major competitor to the U.S. oil patch?” said Ed Hirs, an energy economist at the University of Houston. “Lucy [of the Peanuts comic strip] will pull out the football once again—once Trump is out of office.”

The deal is also raising alarms in the industry about whether a new Venezuelan government could mount a successful legal challenge, and

whether it might undercut new entrants’ confidence in making investments, the people said.

The substance of the agreement appears to be in direct conflict with Venezuela’s 1999 constitution, which states that the country’s oil reserves belong to the Bolivarian Republic of Venezuela and can’t be sold.

Critics say Venezuela’s current government, populated by unelected officials kept in power by the Trump administration, has no legal authority to sell the country’s oil rights.

Faced with an unpopular and grinding war with Iran, which has squeezed global energy supplies, the Trump administration felt a sense of urgency to announce it had secured a long-term source of crude in the Western Hemisphere, people involved in the talks said. Trump also sought a political win in portraying the Venezuela deal as a way to insulate Americans from the costs of the turmoil in the Middle East ahead of November elections, they added.

Venezuela, though, isn’t currently a major oil producer—it pumps just 1.1 million barrels a day, on par with North Dakota. Restoring production would take years and is unlikely to quickly spur the drop in gas prices that Trump has promised, some oil analysts said.

Trump officials turned to Betancourt because they felt he was positioned to implement the venture: His company is already operating in the country, and he has close relationships with senior Venezuelan officials, people familiar with the negotiations said.

The Trump administration tried to push major oil companies including ExxonMobil and ConocoPhillips to return to Venezuela’s oil fields and quickly reopen the spigot.

But after months of sluggish negotiations, much of the U.S. oil industry has remained on the sidelines. Many companies are reluctant to invest in the country’s dilapidated oil infrastructure because of security and legal issues.

A delegation of senior Pentagon and State Department officials, including OSC Director David Lorch, visited Venezuela in July to hammer out the deal’s terms, some of the people said.

The OSC launched in 2022 with a mandate to support industries considered critical to U.S. national security, though loans only started flowing from the office during the second Trump administration.

The private company structure was deliberately intended to bind future Venezuelan governments to the agreement and make it difficult to unwind, one of the people involved said.

Enrollment Woes Hit Syracuse

Continued from Page One cuse especially feeling the pinch.

Fewer young people are enrolling in college, as the country reconsiders the value of a university education. Tuition that has outpaced inflation for decades has saddled students with high debt and yielded uneven returns on careers. The current tough job market, squeezed by the rise of artificial intelligence, has added to the anxiety.

There could be even fewer students in the future—as the birthrate falls, the number of 18- to 24-year-olds in the U.S. is set to decline.

The first institutions to feel these headwinds have been lesser-known colleges with nominal endowments. That has led to a surge of mergers and closings among small private schools. But the cracks in the business model of higher education are now prompting a realignment much further up the food chain.

Snowy city

Syracuse’s challenges are both structural and self-inflicted. It’s a private school in one of the snowiest cities in the country at a moment when students are gravitating toward public institutions in the Sunbelt. The city itself is geographically isolated, and has only recently begun to climb out of a long period of economic stagnation and to shake off a gritty reputation.

Big public flagships have risen in status nationwide and are drawing more students seeking sports and Greek life—for far less than Syracuse charges. And the NIL sports era has made it harder to compete against the deepest-pocketed behemoths.

At the same time, the Trump administration’s disruption of billions of dollars in federal research grants has thrown a question mark over Syracuse’s nearly \$200 million research budget. And Trump’s continued pressure on student visas is disincentivizing international enrollment—a revenue stream on which Syracuse depends.

A Syracuse spokeswoman said she wasn’t aware of Tavares’s recommendations on attracting international students and said the dean of admissions at that time is no longer at the university.

Syracuse trustees are beginning to ask: Should the school retrench and redefine itself as a smaller, regional school instead of striving to hold on to its reputation as a national powerhouse?

The school is trying to offer more value to students without abandoning its reputation, said Syracuse Chancellor Michael Haynie in an interview.

“We cannot marginalize and erode the competitive



Midsize private schools such as Syracuse are getting caught up in trends that have long buffeted the nation’s smaller colleges.

moats [around Syracuse’s best programs] by compromising the selectivity, by compromising the prestige,” he said.

Haynie, who started as chancellor this spring, isn’t sure yet whether Syracuse needs to shrink or expand. He said when the school realized there was going to be an enrollment shortfall this April, it could have pulled from its wait list but largely decided not to in order to maintain its academic standards. The shortfall wasn’t due to a lack of demand, he said.

In comparison, though, with its peers, which include Boston University, Northeastern University and New York University, Syracuse is losing ground.

All have roughly equivalent sticker prices, with total costs hovering near \$100,000 a year, but Syracuse has dropped in a prominent national ranking seven years in a row.

Its competitors have been more steady, aided by their urban locations, financial aid and aggressive enrollment strategies.

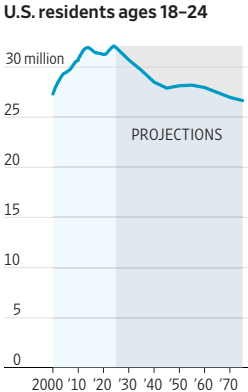
Full sticker price

Northeastern, BU and NYU have seen application numbers surge and the percentage of applicants admitted plummet—a measure of selectivity that boosts a school’s prestige and ability to draw more students willing and able to pay full sticker price.

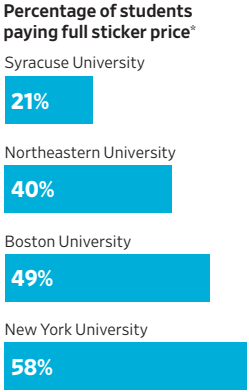
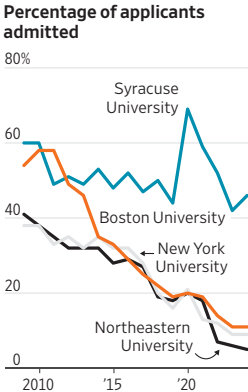
The three enroll 40% or more of undergraduates paying the full price, compared with just 21% at Syracuse, according to 2023-24 data from the National Center for Education Statistics, the most recent available.

As a result, Syracuse’s competitors can concentrate their financial-aid budgets on a smaller percentage of students, while Syracuse has to spread its allotment over a broader pool. That means that for students who get some sort of financial aid, Syracuse costs thousands more than its competitors.

Moderately selective private colleges are caught in the



*For 2023 to 2024 academic year Sources: U.S. Census Bureau (U.S. residents); National Center for Education Statistics (applicants admitted, sticker price)



middle. They aren’t elite enough to dictate the market, and they attract a student-body that is still concerned about the price tag, said Robert Kelchen, a professor at the University of Tennessee, Knoxville, who specializes in education finances.

“The stream of students willing to pay something closer to full price is drying up,” Kelchen said. “Even if they’re not terribly concerned about how much it costs, they know that they can shop around and get a better deal.”

Syracuse has a solid AA-minus bond rating, but S&P Global analysts revised their outlook to negative from stable last year citing weaker demand metrics compared with similarly rated peers.

“They face some pretty formidable constraints,” said Barrett Taylor, who studies higher ed at the University of North Texas. If Syracuse is willing to concede some prestige and selectivity, “they have more degrees of freedom, but they also lose that social position that they spent a long time trying to achieve.”

Enrollment offices are tasked with filling every class and generating the lion’s share

of revenue needed to cover school operating expenses. In recent years, that has become considerably harder among nonelite schools.

The percentage of students who enrolled after receiving an admission offer at most schools has declined by half in the past two decades, according to federal data.

One factor driving the trend: on average students apply to three times as many schools as they did 25 years ago. Online applications make it easier, and more kids are willing to move across the country for college.

Elite schools are confident students will accept admission offers, so acceptance rates have plummeted to 4% at some schools. Less-selective colleges admit many more students to enroll a full class, because so many turn down their offers.

‘Yield volatility’

Enrollment offices have dubbed this phenomenon “yield volatility,” making it harder to predict the size of an incoming class. A miscalculation of just 1% can significantly impact enrollment and

compound into years of lost revenue, enrollment consultants say.

Syracuse has been on an enrollment roller coaster. As recently as fall 2022, the school had the opposite issue: too many students. The university surpassed its goal by 400 students after more freshmen than expected accepted offers. Some students had to live in a Sheraton Hotel instead of dorms.

It was a stark contrast to the underenrollment challenges that followed in recent years, said Giuliana Painter-Rings, a former Syracuse employee who worked on student support and experiences.

“Finding out that there are too many people coming: ‘Oh no,’” she said of the housing shortage. “And then this year being like, there’s not enough students enrolling: ‘Oh no.’”

Haynie said Syracuse has made significant changes to its enrollment approach, infrastructure and personnel. The school is adding nonbinding early action for the first time, and hopes to expedite its response timeline to regular decision applicants, since it was one of the slowest last year, Haynie said.

Other factors—beyond financial-aid packages—dent Syracuse’s yield rate. Haynie said the school admits students but doesn’t follow up. “We just sort of assume that ‘OK, you’ve been admitted and

it’s Syracuse University and you’ll let us know if you’re going to show up or not,” he said.

Typically, enrollment officers pay close attention to demonstrated interest to try to predict which students are likely to accept admission offers. They track how quickly prospective students open recruiting emails and how long they spend reading them. Are they visiting campus, logging into the school website or visiting recruitment booths at college fairs?

Sports lull

At Syracuse, enrollment volatility has been magnified by the decline in its sports programs—historically an important factor in drawing students to a campus.

Syracuse’s men’s basketball team, a perennial powerhouse that won the NCAA tournament in 2003 and reached the Final Four in 2013 and 2016, has failed to earn a bid in the tournament for the past five seasons, depriving the university of national exposure.

Syracuse retains a number of world class programs, including architecture, public policy, communications and dramatic arts. The school is also poised to benefit from Micron Technology’s new \$100 billion semiconductor manufacturing complex not far from campus. Haynie said the school hopes to replace revenue from international enrollment with research and credentialing connected to the chip giant.

Syracuse has also eliminated 93 academic programs that it said didn’t draw enough students, such as child therapy and Middle Eastern studies. The spokeswoman said the school still offers more degree programs than comparable peer institutions.

At the same time, the school has gone into debt to address a decadeslong housing problem.

Arms race

Through the 1990s and early 2000s, universities spent billions upgrading facilities in an arms race to attract affluent students who carefully weighed where to enroll based on the quality of dorms and amenities, such as lazy rivers and climbing walls.

Syracuse fell behind. It hasn’t opened a new dorm since 2009, and years of reviews showed students wanted more housing near the main campus. The school outlined a plan to modernize student-housing a decade ago when finances were stable.

In 2025, it borrowed \$458 million to build new dorms near its main campus. The risk was exacerbated because the school has a relatively small endowment for a university of its size.

Haynie said that in retrospect, the school might have been better off not constructing so much simultaneously. Still, “I do believe in investing rather than pulling back,” he said. “No institution is going to cut their way out of this.”



How Much Water Should You Drink? It’s a Fluid Situation

Take liquids with your meals and when you’re thirsty; for most of us, that’s adequate hydration



YOUR HEALTH
SUMATHI REDDY

I have a confession: I hate drinking water. While everyone else seems to be slugging H2O from 40-ounce Stanley tumblers, I have never understood the appeal of drinking plain, tasteless water all day. But how much water do we really need to drink a day? The question feels more pressing than ever given rising temperatures, heat waves and the fact that chugging water is almost a competitive sport these days. The answer may be less than you think and varies based on your size, health, activity level and where you live. Don’t get me wrong, I am not underestimating the importance of water. It’s essential to all life and

bodily functions and is upward of 60% of our bodies. Bad things happen when we don’t get enough of it, the main one being dehydration, a leading preventable cause of hospitalizations. Yet, there isn’t a lot of good research on hydration, says Stavros Kavouras, founding director of Arizona State University’s Hydration Science Lab in Phoenix and DrHydration on social media. “Water is the forgotten nutrient,” he says. “It doesn’t come with calories, so we don’t even talk about it.” **Recommendations** The most cited recommendations for water come from the National Academy of Medicine, which calls for a total daily fluid intake of 3.7 liters for men and 2.7 liters for women. But here’s the thing: That is total fluid intake, not water specifically. And here’s the other thing: Roughly 20% of our fluids come directly from food, studies

have found. That leaves roughly 2 liters of fluids daily for women and 3 for men, says Kavouras. That translates to about 68 ounces and 101 ounces from beverages. Kavouras estimates the average pour of water in the U.S. is 12 to 16 ounces. So that works out to about four to six glasses of fluids daily for women and six to eight for men. **Men and women** The NAM recommendations are based on population-level data, and men on average are bigger than women. Beyond body size and gender, other factors affect how much fluid you need in a day. Activity level is a big one. Someone who is training for a marathon is going to need to drink more fluids than someone who is largely sedentary. “The amount varies markedly on individuals based on weight, sweat rates and ambient temperatures,” says Dr. Joseph G. Verbalis,

chief of endocrinology and metabolism at Georgetown University in Washington, DC. **Being underhydrated** Drinking a lower than recommended amount of fluids can have a detrimental health effect. Kavouras’s lab has found an association between people who are “low” drinkers of fluids and higher risks of conditions including Type 2 diabetes, heart disease and dementia. Low is defined as drinking less fluids to the point of being underhydrated, but not dehydrated. This means you’re running low on fluids, but not enough to show acute dehydration symptoms, like feeling faint or confused. Chronic low-water intake is also linked to an increased risk of developing recurrent urinary tract infections, kidney stones and some types of kidney disease, says Colleen Muñoz, director of the hydration-health center at the University of Hartford in Connecticut.

◀ **Water is essential to all life and bodily functions and is upward of 60% of our bodies.** **Coffee, tea?** Fortunately, your daily fluid needs can come from just about any source. Coffee and tea? Sure. Black coffee, in fact, is 99% water. “There’s this myth that coffee is a diuretic and is going to dehydrate you, it’s not true,” says Juli MacKenna, manager of clinical nutrition at Tufts Medicine Melrose-Wakefield Hospital. Avoiding alcohol isn’t a myth, though. It is a diuretic and makes your body lose water. Milk and juice? Absolutely fine. Soda? Even that counts. Of course, it’s always best for the primary source of daily fluids to be water to avoid unnecessary calories and sugar. So what about sparkling water, which is where I get most of my hydration from (hello Spindrift and LaCroix!)? “Sparkling water is water; it’s not a problem if you like sparkling water,” says Kavouras.

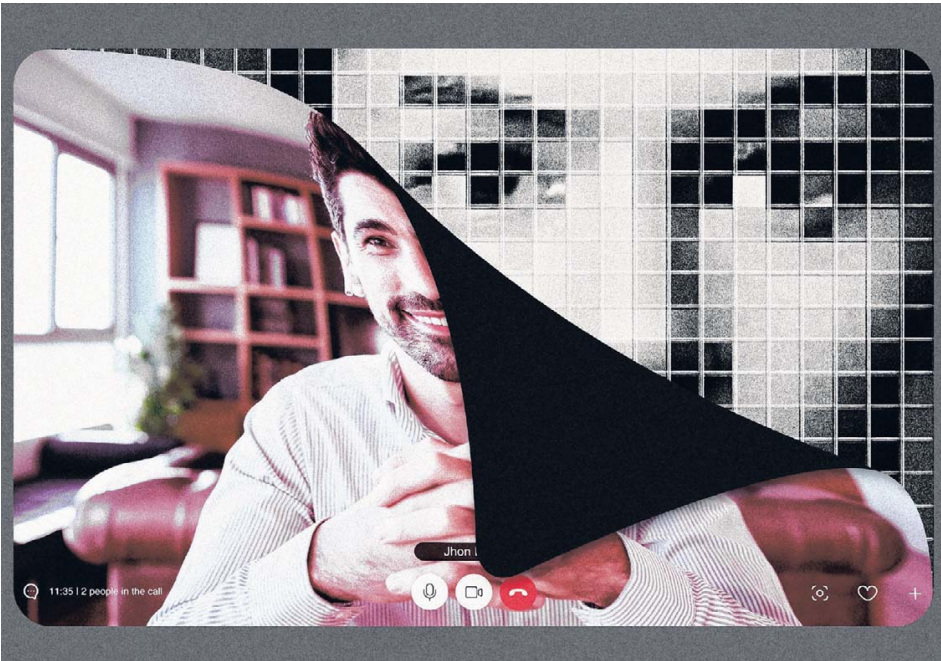
Reading the signs What is the easiest way to tell if you are drinking too much or too little? Bathroom frequency and the color of your pee. Dark yellow urine signals you’re not drinking enough. Clear pee means you’re drinking too much fluids. Light yellow is the sweet spot. Other symptoms of not drinking enough fluids can include headaches, fatigue and confusion, she says. Drinking too much water can also be dangerous, though severe cases are rare. Our kidneys can handle a lot of fluid.

Health conditions Certain health conditions require people to drink less fluids, says Verbalis. This includes congestive heart failure and kidney and liver failure. It also includes a couple of rare medical conditions. “If you don’t have those diseases and you’re drinking more than you need, the kidneys are going to excrete that and you’re not going to get into any trouble other than urinating more frequently,” Verbalis explains. On the other hand, people at risk for kidney stones are often advised to drink more water to prevent stone formation.

Bottom line Drink with your meals and when you’re thirsty. For most of us, that will keep us well hydrated. One caveat: Some researchers warn thirst can be delayed or reduced with age or certain medications. “Our kidneys are really, really good at holding on to water when we need it and excreting it when we have too much,” says Derek Daniels, a professor of biological sciences at the University at Buffalo, who studies thirst. So hydration is important, but you don’t need to turn drinking water into a full-time job. In other words, you can safely leave the 40-ounce tumbler at home.

Employers AI-Proof Job Interviews

Continued from Page One challenging situation at a prior job, for example. A September survey of 3,000 managers by Checkr, a verification platform, found that 59% of managers suspected job candidates had help from AI tools to misrepresent themselves during the hiring process. “This is a reality for every company that hires remote,” says Benjamin Sesser, general manager of BrightHire, a Zoom company that makes software to conduct, record and analyze remote job interviews. “It’s very problematic.” BrightHire added a cheating-detection tool to its AI-interviewing product earlier this year that can monitor certain browser signals: “It’s monitoring: Are you switching browser tabs? What are you doing on your machine?” says Sesser. When candidates interview with the telecommunications and security company Somos, they are asked to take down their Zoom background and pan their camera around the room. The goal is to spot clues that they’re not where they claim to be or if there’s another person—or computer setup—in the room feeding them answers. Some candidates disconnect the call upon hearing the request. “We were getting a lot of fraudu-



lent candidates,” says Elissa Barrett, chief people officer of Somos, which is based in New Jersey but is a remote-first company. Somos recently started checking candidate IP addresses. They had been catching candidates claiming to be in Florida, for example, but actually residing in Brazil. They have also started asking job seekers to wave their hand in front of their face: A bot posing as a human with an AI-generated face can’t typically

complete the challenge. “When something is off, they hold their hand to the side,” says Barrett. Mike Hauschild is a recruiter with Quantum, which hires candidates for more than 200 venture-backed startups. He says job seekers are encouraged to use AI for things like take-home assignments or coding exercises, but there are other questions they need to answer on their own.

One client requires candidates to put their hands in the air while the interview prompt is being delivered to prove there’s no live typing going on. “They phrase it as, we’re going to do a little bit of a hands-on screen exercise,” he says. “It’s wacky.” Eva Spexard, head of AI operations for a 30-person remote-first startup called Passion.io, says her company asks candidates to share their screen for certain parts of the

interview. They have also moved to written answers for some questions, providing answers in real-time in a shared Google doc. “You basically see if they’re typing or if they’re copy-pasting,” she says. Spexard says take-home assignments became so riddled with AI slop that they are becoming obsolete and live assignments are now the way to go. There were too many times where it was clear a chatbot had been used, including “copy-pasted replies that still had the Claude sentence, ‘Should I make that more concise?’” says Spexard. At Nominal—which builds software for hardware engineering teams and has around 220 in-office employees—candidates aren’t hired until after they come for an in-person interview. Coding tests for engineers are conducted on site. “We can fully control the cheating experience through the on-site interview,” says Bryce Strauss, Nominal’s CEO. “We have a laptop that we provide them.” In the past few years, Strauss says he has noticed a widening gap in people’s abilities to think through problems: He suspects some are relying on AI so much in their day-to-day work that it is affecting their ability to think on their own. When AI is being used to answer a question, a telltale sign is the answer ends up being mechanical and far less interesting. “Tangents, false starts, weird connections you didn’t expect to make mid-thought tend to get cleaned up when AI is involved,” he says. “The way to stand out in this moment is to be fundamentally human.”

PERSONAL JOURNAL.

Dolly Parton, Hollywood Star

From ‘9 to 5’ to ‘Steel Magnolias,’ fans loved seeing the legendary singer grace the screen

By Esther Zuckerman

Dolly Parton, who died Tuesday at the age of 80, was “at least temporarily,” in her words, “a full-fledged movie star,” according to her autobiography “Dolly: My Life and Other Unfinished Business.” In the book, the country music legend recounted the Hollywood recognition that followed the success of her musical “The Best Little Whorehouse in Texas” in 1982. Parton’s film career yielded classics, including “9 to 5” and “Steel Magnolias,” as well as flops, like “Rhinestone.” Here’s a look at her most memorable roles.

‘9 to 5’ (1980) She played Secretary Doralee Rhodes, who takes revenge on her boorish boss. Her story Parton’s greatest contribution to the movie might have been its title—and the song she wrote for it, in which she croons about grabbing herself a “cup of ambition.” But Parton was just as instrumental on-screen, starring alongside Jane Fonda and Lily Tomlin, as one of three women who take revenge on their cruel, sexual harasser of a boss. It was her first movie role, and Fonda was eager to cast her. Parton was at first reluctant, but she signed up on the advice of her manager. “As it turned out, it was

the perfect role for me to break into the movies,” she wrote. She had a great time with her co-stars. “A lot of people were sayin’, ‘Boy, I would l-o-o-o-v-e to see that. There ain’t no way them three bitches are gonna get along! Can you imagine three women like that?!’ And you know, we had the greatest time,” Parton said in an interview with Rolling Stone. To prepare, Parton memorized the entire script.



Clockwise from left: Stars of ‘9 to 5’; Parton in the workplace comedy; ‘Steel Magnolias’; ‘Joyful Noise’; ‘Rhinestone’ and ‘The Best Little Whorehouse in Texas.’

‘Rhinestone’ (1984) She played Jake Farris, a singer who tries to make a New York cabbie (Sylvester Stallone) a country star. Her story The film was a massive flop. Parton wrote in her book: “I guess the public didn’t want to see Sylvester Stallone do comedy. Or maybe they didn’t want to see me do Sylvester Stallone. One thing is certain: They didn’t want to see ‘Rhinestone.’” Parton adored Stallone, whom she called “better than popcorn.”

‘Steel Magnolias’ (1989) She played Truvy, the Louisiana hairdresser whose home is a gathering spot for the local women. Her story Director Herbert Ross didn’t particularly like Parton, telling her she couldn’t act. Her retort: “ ‘I’m not an actress, I’m Dolly Parton. I’m a personality who has been hired to do this movie. You’re the director. It’s your job to make me look like I’m acting.’ ”

Others strongly disagreed with Ross. In his review, Roger Ebert called her “one of the sunniest and most natural of actresses.” Parton told the Associated Press at the time that if she hadn’t become a star she might have sought a job like Truvy’s. “I would have wanted to have a career in glamour,” she said.

‘Joyful Noise’ (2012) She played G.G. Sparrow, a member of a Georgia church choir. Her story After an extended period where her film work was mostly cameos, Parton returned to the screen in this inspirational comedy about a small town church choir where she plays antagonist to Queen Latifah’s choir director. Speaking with NPR, Parton said she was happy to make jokes about her plastic surgery, even encouraging writer-director Todd Graff to make those kinds of references. “I said, ‘Look, I’m not touchy at all about this. If we can get a laugh, I’m all for it,’ ” she said.



Her story In her book, Parton wrote that after she had a “wonderful time” on “9 to 5,” she was eager to do another movie. So she signed on to play the sweet brothel proprietor in this film, based on a 1978 Broadway musical. It was the “completely opposite experience,” she wrote, adding, “I was still relatively green in the movie business and didn’t know that by the time I got involved there was already what they call ‘a lot of blood on the project.’ ” Her co-star Burt Reynolds was in a bad mood. People were being fired. Critics panned the movie, which paired her with Reynolds as the sheriff who happens to be her lover, but it became a bona fide hit anyway and was the ninth highest grossing movie of the year.



‘The Best Little Whorehouse in Texas’ (1982) She played Mona, the madam who presides over the “Chicken Ranch.”

The WSJ Daily Crossword | Edited by Mike Shenk

1	2	3	4	5		6	7	8	9		10	11	12
13						14					15		
16					17						18		
				19					20	21			
22	23	24			25			26	27				
28				29			30						
31				32	33	34	35			36	37	38	39
40			41						42				
43					44						45		
			46	47				48	49				
50	51	52					53	54	55		56		
57							58			59			
60						61	62	63			64	65	66
67						68				69			
70						71					72		

LET’S CELEBRATE | By Ben Wildman-Tobriner & Stephanie Wildman

Across	40 “Amen!” (and a homophonic hint to 16-, 25-, 50- and 61-Across)	69 Heated in the microwave, informally	12 Language of many mottos
1 Sound from a censor		70 Tofu source	14 Do some heckling
6 Devil’s domain		71 Grandson of Adam and Eve	17 Graffiti signature
10 Whole kit and caboodle		72 Holds onto	21 Arcade game pioneer
13 “Bodak Yellow” rapper ___ B	43 Captain Hook’s sidekick	Down	22 Follows orders
14 Angelina of “Maleficent”	44 Deliberately taunted	1 Stealthy inclusion in an email	23 Cobra’s poison
15 The Beatles’ “___ Loser”	45 George Gershwin’s lyricist brother	2 ___-di-dah	24 Join the debate
16 Baptism ceremony	46 Ski lift type	3 Goof	
18 Many a time	48 Oregon’s capital	4 Safe to consume	
19 Sounded sheepish?	50 Coming-of-age ceremony	5 Site of a skewed tower	
20 ___ Lama	56 Prez’s subordinate	6 Accord or Civic	
22 Egg outline	57 Balm-yielding plants	7 Quarterback Manning	
25 Degree conferral ceremony	58 Dwelling	8 Vietnam Memorial architect Maya	
28 Floppy cap	60 Drain of energy	9 Gym session that may lead to sore quads	
30 Taylor-Joy of “The Queen’s Gambit”	61 Birthday ceremony	10 Garlicly spread	
31 Londoner’s lang.	67 Middle of summer?	11 Hilarious, in texts	
32 Sushi condiment	68 Goads on		
36 “Doggone!”			

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Singapore Battles Cicadas

Continued from Page One that had previously been found in the Philippines. How the critters, which move in larger swarms than Singapore’s other cicada species, got to the island is unknown. They were “all over the corridor, the floors, the wall,” said Ashukumar Veerappan, 65, a resident of a housing complex that was menaced by the intruders. “They hit on your face and everywhere. They just fly blindly.”

During the peak of the chaos, Veerappan heard screams every night from neighbors. Parents said cicadas banging into windows prevented their children from sleeping. Residents used shawls and umbrellas to protect themselves in open-air hallways. Some began griping to local media and the authorities sprang into action—with a hallmark efficiency that has helped Singapore transform from a struggling postcolonial trading post to a modern financial hub.

A “Cicada Management Taskforce,” led by Choo and comprising scientists, community groups and the national parks agency, wrapped foil or plastic around more than 500 trees and laid coconut husk mats or tarpaulin at their base. They hoped to disrupt the molting process of cicada nymphs, which need to shed their outer layer to emerge as adults. In government-subsidized apartment buildings, where most Singaporeans live, some ceiling lights were masked to see if cicadas would be less attracted to them. Municipal workers roamed the hallways with nets. Light traps, made from sheets, lamps and containers of soapy water, were used to corner the bugs. “Because cicada surges are not well-studied in dense tropical urban settings, no single agency had an off-the-



Foo Maosheng shows how to collect nymphal shells of the orange-winged cicada.

shelf solution,” said Choo, a member of the People’s Action Party that has governed Singapore since 1959. Singapore isn’t used to half measures. Chewing gum is effectively banned and some criminals are still caned. But the streets are clean, multinational companies are here in droves and the island country frequently ranks at the top of livability indexes.

Due to that success, expectations are high for a perfectly functioning and harmonious society. “If Singapore has a national pastime beyond lining up for food and scoring deals, it is complaining,” read a 2024 article in the Straits Times that dubbed it “complain nation.”

It has been an effective recipe. “They do look into it when more people start to complain,” Veerappan said. He is on the executive committee of the opposition Singapore Democratic Party, which hasn’t had a member of parliament since the 1990s, but said he was “quite satisfied” with the government’s cicada effort.

The U.S., where there are both annual and periodical cicada swarms, tends to take a more laissez-faire approach. The Environmental Protection Agency says the bugs, which are largely harmless, will leave eventually. Carlos Kennerley, who lives in the same building as

Veerappan, said when his 29-year-old daughter, Aisya, came home from work, she would call him to meet her at the elevator—with a badminton racket in hand. “You stand outside and your ears are ringing,” said Kennerley, 59, a Brit who has lived in Singapore for decades. “You come into a quiet place and it’s like, ‘Whoa.’ ” Foo Maosheng, an entomologist at the National University of Singapore’s Lee Kong Chian Natural History Museum, usually specializes in cockroaches. Nonetheless, he deployed to the front lines of the cicada invasion, which runs from about March to June.

Whether it is a health or economic problem, Singaporeans “tend to have this concept of creating a working group in order to handle the situation,” said Foo, who was on the task force and provided input on cicada biology. “It’s very similar to back in the Covid times.”

Over three nights, Foo said he caught 1,733 cicadas using the light traps. Many are now stored in his lab at the museum.

The tree wrappings and light traps worked well, Choo said. The goal was to reduce the impacts on residents, not totally eradicate the cicadas.

For next year, officials are exploring using very targeted pesticides and will prune trees early to remove potential egg-laying sites. “We moved away from broad guesswork,” Choo said. “We now have a clearer, better-tested playbook.”

CLOCKWISE FROM TOP RIGHT: 20TH CENTURY FOX/EVERETT COLLECTION; TRISTAR PICTURES/EVERETT COLLECTION; WARNER BROS/EVERETT COLLECTION; 20TH CENTURY FOX/EVERETT COLLECTION; 20TH CENTURY FOX/EVERETT COLLECTION

ARTS IN REVIEW



ART REVIEW

The Clark’s New Trove

A show displays some of the treasures included in the extraordinary bequest of Aso O. Tavitian

By Karen Wilkin

Williamstown, Mass.
In 2024, the Clark Art Institute received an astonishing bequest of 331 works from a lovingly and perceptively chosen private collection, comprising 132 paintings, 130 sculptures, 39 drawings, and 30 decorative arts objects, from the Renaissance to the 19th century. The donation also included an endowment for a new curatorial position to oversee the collection, and funds to support its long-term care, prepare a catalog and construct a new wing to house the works.
The generous author of this remarkable gift, Aso O. Tavitian (1940-2020), a longtime friend and trustee of the Clark and other arts institutions, was equally remarkable. Born in Bulgaria to Armenian parents who survived the genocide, he immigrated to the U.S. in 1961 and studied at Columbia University, earning advanced degrees in nuclear engineering and nuclear physics. An early employee of a pioneering software development company, he became its CEO and main shareholder, enabling his major philanthropic support of international educational programs and his ambitious and informed collecting.
The elegantly presented “An Exquisite Eye: Introducing the Aso O. Tavitian Collection,” at the Clark, offers a preview with 150 works by artists from different countries, deploying different mediums, united by consistent excellence. (The new wing for the collection, designed by Annabelle Selldorf, is scheduled for 2028.) We encounter paintings on canvas and on copper; bronzes, terracottas and an impressive ivory; dispassionate portraits, intimate sketches and pitiless caricatures. We are stopped by celebrated



names and surprised by those known mainly to specialists throughout an installation that, while chronological, also creates unexpected conversations. The tiny, exquisite “Madonna at the Fountain,” Jan van Eyck and Workshop, c. 1440, faces a seductively detailed alabaster sculpture, “Saint Cecilia,” Gil de Siloé, c. 1500, not

far from Hans Memling’s uncompromisingly truthful portrait of a man, c. 1470-75, and a pair of delicious, idealized glazed terracotta heads by Andrea della Robbia, c. 1470-80. The celebrated Jusepe de Ribera’s sturdy, moodily lit “Philosopher With a Globe (Anaxagoras),” 1630, lives near “Self-Portrait in a Turban,” 1675-77, by the obscure Wallerant Vaillant, with its dazzlingly painted fabric headgear.
Informative labels by the newly minted Aso O. Tavitian curator of early modern painting and sculpture, Lara Yeager-Crasselt, formerly of the Leiden Collection of Dutch Golden Age art, emphasize the interconnectedness of European artists during the period illu-

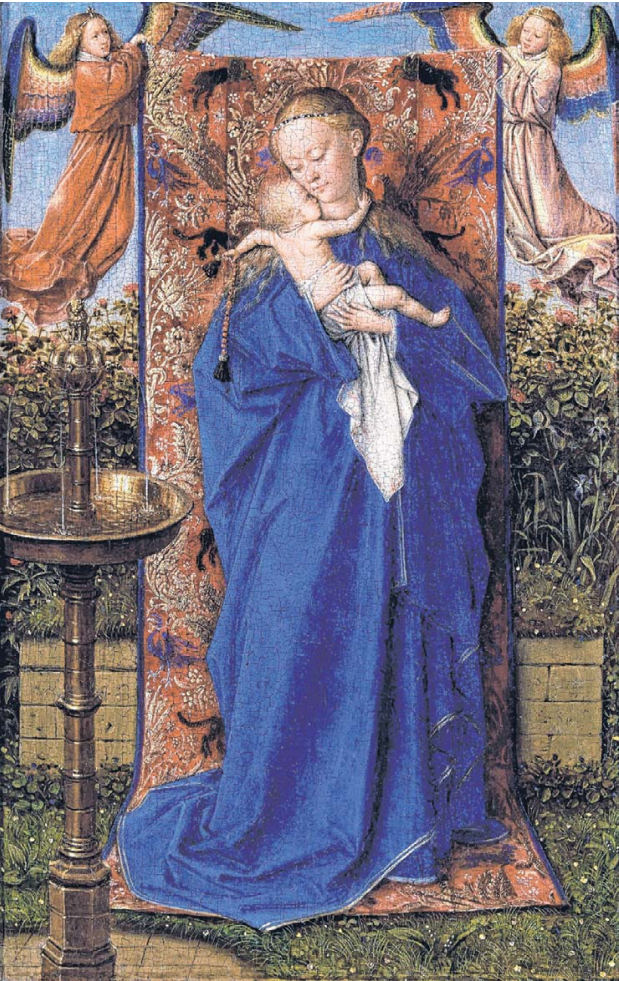


minated by the collection, reminding us that Jan Brueghel the Elder’s evocative “Landscape With Figures on a Wooded Path,” c. 1595, was made after the Netherlandish master returned from a sojourn in Rome. We learn, too, that the collection’s landscapes by Hubert Robert, “Colonnade and Gardens at the Villa Medici,” c. 1759, and “Interior of the Villa Giulia With Haymakers,” 1759, were painted during the French artist’s extended stay in Italy.
There are fine landscapes, such as the 17th-century Dutch painter Meindert Hobbema’s wooded scene under a lowering, cloudy Northern European sky, and the French academician Claude-Joseph Vernet’s dramatic view of the “Rhine Falls Near Schaffhausen, Switzerland,” 1779, signaling the sublime. We discover mythological scenes and even a still life. But portraits dominate, including Jacques-Louis David’s affectionate

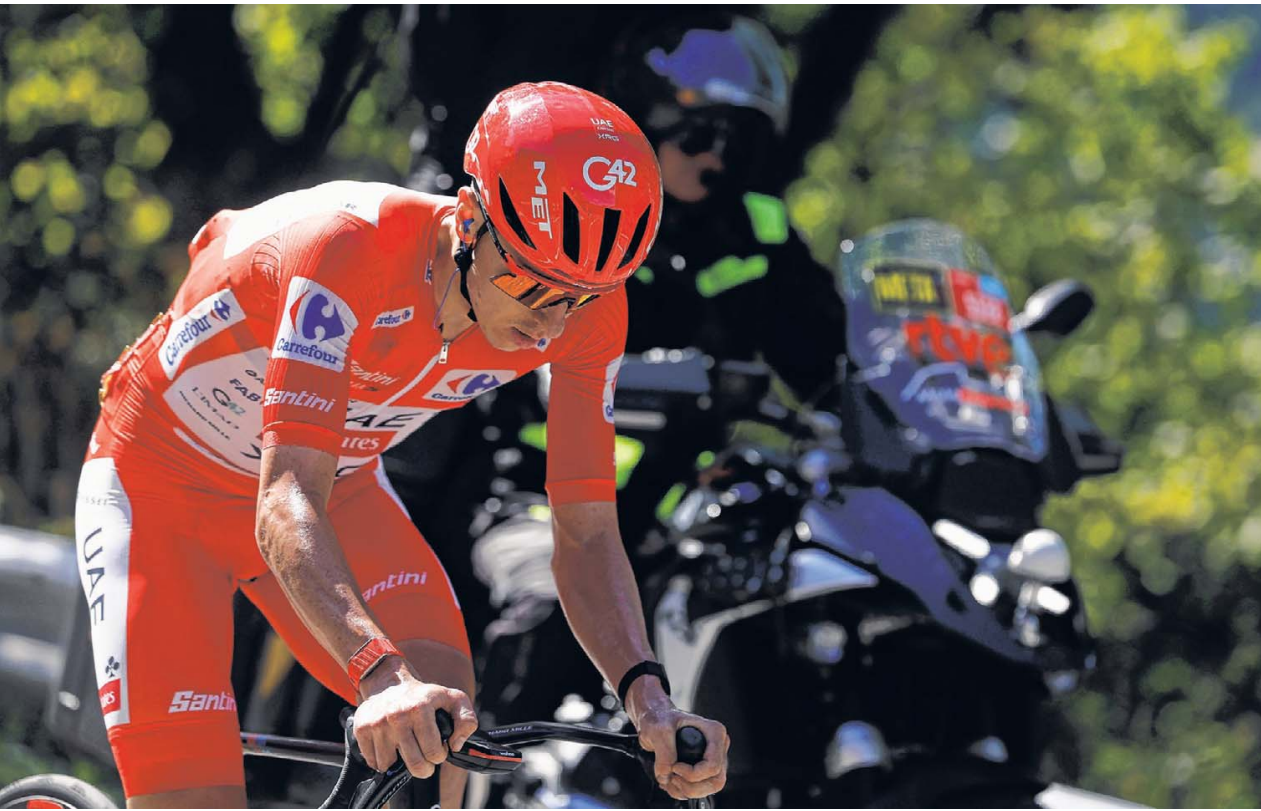
image of his young son, c. 1788; Elisabeth Louise Vigée-Lebrun’s forthright self-portrait in red cap, c. 1800; Jean-Antoine Houdon’s suave marble “Little Lise,” 1775; and Louis-Léopold Boilly’s 32 individual heads, a cross-section of the men and women of Paris in 1820. Jean-Antoine Watteau’s small “The Proud Man,” 1715, with its alert, erect figure in red, and Jean-Honoré Fragonard’s brushy, rapidly painted “The Letter,” c. 1773-76, both enlarge our ideas about 18th-century French painting and confirm that Tavitian liked being surrounded by images of his fellow man and woman.
Tavitian’s admiration for complexity and technical virtuosity is attested to by many extraordinarily detailed works. We marvel at the intricate fabric, embroidery and jewelry in Lucas Cranach the Elder’s “Portrait of a Young Woman Holding Grapes and Apples,” 1528, and ponder the sheer improbability of the survival of Clodion’s terracotta sculpture “Bacchante With Grapes Carried by Two Bacchantes and a Bacchant,” 1800—a 2-foot tower of slender, fragile limbs.
What is even more interesting is Tavitian’s enthusiastic response to works noteworthy not for elaboration but for economy, directness and intimacy. He acquired Anthony van Dyck’s highly finished portrait of his mistress, Margaret Lemon, c. 1638, wrapped in crackling silk, with her curly hair and lively, side-long glance. But he also purchased Van Dyck’s broadly painted, assertive oil on paper “Study of a Young Bearded Man,” c. 1618-19, and Gian Lorenzo Bernini’s straightforward oil-on-paper portrait of his brother—accomplished, casual works that seem plucked straight from the studio. And then there’s the robustly modeled head of a young man by Michael Sweerts, another northerner who spent considerable time in Italy, painted after his return to the North. And much more.
The sumptuous array of works encourages us to wonder about the person who assembled them. Tavitian must have been fascinating. The collection certainly is.

An Exquisite Eye: Introducing the Aso O. Tavitian Collection
The Clark Art Institute, through Feb. 21, 2027

Ms. Wilkin is an independent curator and critic.



SPORTS



Tadej Pogacar, top, crashed in the Vuelta a España on Saturday. Enric Mas, below, took over the red jersey but refused to put it on.

JASON GAY

A Bloody, Bad Day for Pogacar

The cycling star was knocked out of the Vuelta a España with a broken collarbone after a crash



We started treating him as invincible, because he really seemed to be. Tadej Pogacar won nearly every bike race he entered, and he appeared to do it with ease, conquering rivals and Alpine ascents and eliding the perpetual danger of a perilous sport. On Saturday the peril caught up. Pogacar was cruising at a little under 30 miles per hour in a pack of riders in the Vuelta a España—a race he was winning, of course—when his bike appeared to strike a small object in the roadway (that’s the theory, at least), causing Pogacar to veer into another rider and vaulting him and his bike frighteningly into the air. When Pogacar hit the asphalt, the damage was instant: a concussion, bruises and cuts to his face and shoulder, a fractured C7 vertebrae and a broken collarbone said to require surgery. The crash ends Pogacar’s Vuelta and possibly wraps his 2026 season, which was already one of the best any cyclist has ever had. The world’s best rider couldn’t

evade the risky reality of his job. Cyclists fly at 65 mph down mountain passes in little more than discount Halloween costumes and everyone acts like it’s normal, when it’s anything but. The danger is forever. Horrible things occur. Just a couple of weeks ago, a young Welsh rider, Finlay Tarling, died after being struck by a vehicle during a race in Portugal, and the sport mourns and moves on. Tarling’s brother, Josh, started the Vuelta, finishing third in the opening stage, two slots behind Pogacar, before dropping out a few days later. Compartmentalization becomes as critical as a water bottle. No road is utterly safe. Pogacar’s crash took place on a wide, straight flat, and seems to have been nothing more than



tough luck. Crashes in a moving group of riders—the peloton—are especially hazardous because there’s little opportunity to react, and seldom any room to maneu-

ver. As ugly as Pogacar’s crash was, it could have been much worse. He got up pretty fast, and there was actually a moment when Pogacar’s

but the likelihood is he shuts it down from here. Pogacar is the reigning, two-time defending world champion in the road race, but it is difficult to imagine him being healthy and confident enough—confidence can be the recovery that takes the longest after a crash—to go for the three-peat in Montreal on Sept. 27. *Désolé, Quebec.* Pogacar may be a dominant athlete with an offbeat, silly side—look at his Bee Gees-inflected “Stayin’ Alive” social-media post from his hospital bed—he’s as vulnerable as anyone else. The sport already feels hollow without him. At the end of Saturday’s stage, Pogacar’s successor atop the standings, Enric Mas, was offered the red jersey as the new race leader. Mas refused to wear it.

The Sensation With 120 Million Fans

By CAIRA CONNER

It was only 10:30 a.m. on a Tuesday morning, five days before the U.S. Open singles draw actually started, but spectators had packed the 14,000 seats of Louis Armstrong Stadium to the brim. Never mind that it was a weekday, or that the competition was a short-format mixed-doubles event, or that the food courts wouldn’t open for another half-hour. They had come to see a 21-year-old Filipino tennis prodigy named Alex Eala, who was paired up with Canada’s Félix Auger-Aliassime. They greeted her with a roar, cheered every point, and screamed with such deafening volume that her opponents made a string of unforced errors in the middle of a game. Though the match only lasted roughly 39 minutes—and Eala and Auger-Aliassime lost—fans had gotten what they came for: a chance to see Eala in the flesh. Tennis is hardly a national pastime in the Philippines, ranking far behind basketball and soccer to the archipelago’s population of roughly 120 million. The country’s most famous athlete is, without a doubt, former world champion boxer Manny Pacquiao, who racked up titles in eight different weight classes before briefly serving as a senator. His name remains synonymous with national pride. Now, in the space of a season, Eala is primed to capture something similar. “From what I’ve been told it’s very difficult to get courts nowadays,” she said recently. “Online

I’m seeing everybody is playing tennis.” French retailer Decathlon reports seeing beginner racket sales surge 66% in their Philippines stores. Eala, who grew up in Metro Manila and later graduated from the Rafa Nadal Academy in 2023, conducts at least part of every on-court interview in Tagalog. Those who come to watch her play, wave Filipino flags and wear custom T-shirts with her likeness on the front. In Manila, her face is plastered across a billboard on Epifanio de los Santos Avenue, the city’s longest stretch of highway. “Eala Mania” began picking up steam just over a year ago, at the 2025 Miami Open. Then ranked No. 140 in the world, she made a charmed run to the semifinals by knocking out three Grand Slam champions in merciless succession: Jelena Ostapenko, Madison Keys, and Iga Świątek, each in straight-set victories. Eala had entered the tournament on a wild card. No Filipina in history had ever entered the main draw of a WTA Masters 1000. That was merely prologue. Earlier this month, at the DC Open, she delivered her true breakout. She toppled world No. 3 Jessica Pegula in three sets to win her first WTA tour title, becoming the first tennis player from the Philippines to win any professional tennis title. “Her fans came out in droves every day, from morning until night, just to get a glimpse of her or an autograph,” Mark Ein, the Chairman of the DC Open, wrote in an email. “I haven’t seen anything like it since Rafa came to



Alex Eala reacts after winning the DC Open. The 21-year-old Filipino star is seeded 17th at this year’s U.S. Open.

town.” At the National Bank Open, held this year in Toronto, Canada, ticket sales for her opening round doubled the number of seats available in the venue she was slotted to play in. Organizers scrambled to relocate her to Centre Court. She beat American Caty McNally in the third round and, at the net, McNally could only thank Eala for allowing her to be a part of the experience. After the match, Eala told the crowd to “give Caty the flowers.” By morning, McNally had gained more than 10,000 new followers on Instagram, with a heavy Filipino contingent. The claim that Eala’s fans have staked on her life is occasionally

intimate, but Eala doesn’t seem to mind. When she shared an Instagram story wishing her parents a happy wedding anniversary, a flock of attendees arrived at her next match, in Cincinnati, holding up signs also wishing Michael “Mike” Eala and Rosemarie “Rizza” Maniego-Eala a happy wedding anniversary. During an early changeover in the next round, against the American world No. 10 Amanda Anisimova, a young woman squatted down in the bleachers directly behind Eala’s chair, to have her picture taken with the back of Eala’s head. Eala stared straight ahead and sipped her water. But those moments are only a fraction of what awaits her in

Queens, home to the largest Filipino community in New York. This time last year, she entered the U.S. Open as the world No. 75. This week, she arrived as the world No. 18, and seeded 17th at the tournament. To honor her inaugural title in D.C., Nike gifted her with a custom shoe, decorated with a graphic of the yellow Philippines sun. Eala has been asked repeatedly if representing the dreams of a nation is ever a burden. Never, she says. “Pressure is part of my job, and a lot of people ask me how I handle it,” she said earlier this year. “But it’s nothing compared to the pressure that regular, everyday Filipinos have to face providing for their families.”

OPINION

Who’s ‘Working Class’ Anymore?



INSIDE VIEW
By Andy Kessler

Class warfare is in the air again—usually a sign that both sides have run out of ideas. The midterms are a battle over who is taking care of the working class. But what is “working class” anyway? “I think if you have to work to pay your bills, I think that is one definition,” New York Mayor Zohran Mamdani told the New York Times. So almost everyone? Rep. Alexandria Ocasio-Cortez explains, “We have to have a working-class-centered politics.” But with manufacturing now less than 10% of total employment, who is working-class these days? Should classes be ranked by income, power, connections? Blue vs. white collar? It’s confusing. The five standard academic classifications are upper, upper middle, middle, lower middle and lower. Others like to break the lower class into working class, working poor and underclass. Adding modifiers like “working” is more political spin than socioeconomics. TV host Mike Rowe highlights “Dirty Jobs.” But we don’t call those who hold them the dirty class.

Speaking of spin, blogger Charles Hugh Smith came up with a twisted list of 10 different classes with various stages of money, power and prestige that seemingly all

hate each other: deep state, oligarchs, new nobility, upper caste (born into it), state nomenklatura (ruling elite), middle class, working poor, state dependents, mobile creatives and gig-economy precariat (meaning no job security). Why not 20 classes? Run that list against actor George Clooney—certainly a mobile creative, but by my count he is in every one of these classes except middle class and working poor.

Most important, classes in the U.S. aren’t stagnant, unlike the ancient Indian caste system, which meant, from Brahmins to the Dalits or Untouchables, you were born into your fate in life. While India banned castes in 1950, it added “caste enumeration” to its census in 2025.

In contrast, the U.S. Census measures income growth and economic mobility, movement between classes. Ignore the fictional American caste system touted by socialist fear-mongers like Bernie Sanders: “Billionaires get richer while working families struggle.” In 1960 John Steinbeck wrote in *Esquire* magazine on the failure of socialism: “We didn’t have any self-admitted proletarians. Everyone was a temporarily embarrassed capitalist.” We’re strivers. Eat that, Bernie.

Rahm Emanuel smartly told Politico, “If you’re trying to be a party that recruits people, working class people that go paycheck to paycheck, socialists have been repulsing them.”

Plus, we’re barraged with false analysis that the middle class is hollowing out. The largest income group is now the upper middle class. The upper middle was 10% of families in 1979. It’s now 31%. Really? Is that from exploitation? Heredity? Heck no. More like hard work. And dual incomes. The middle class is getting richer. Why is that bad? Moreover, the income ranges of the upper middle class are wide enough to drive a truck through, from

Classes are now arbitrarily ranked by income, power and social connections.

\$109,000 to \$326,000 for a family of two and \$154,000 to \$462,000 for a family of four. Whether any of these folks feel upper middle class is a different matter—it depends on geography. Worse, they have a target on their backs from the politics of envy.

Mr. Mamdani declared, “The best city in the world deserves the best parks, libraries and schools in the world. That’s only possible when we all pay our fair share.” But that “fair share” is code for pick your pocket—hence a pied-à-terre tax for out-of-towners with second homes in the city.

Kimbal Musk (Elon’s brother) sums up the anger

at the upper classes in an HBO documentary on the Burning Man desert gathering, which starts again this week: “Wealthism is a cultural challenge in America today and there is a general resentment that has been built up. But we’re bad-asses, we go out into the deep whole world, and we kick ass and we come back, and we gift with a vulnerable open heart.”

I think he means that the weeklong cosplaying “Mad Max” meets Cirque du Soleil imagined classless “decommodification” utopia needs capitalism’s wealth to work. Most tickets run \$775 to \$3,000 plus tax. Then it ends and reality bites. There is no utopia in the “default world” except in socialism-infused fever dreams. Instead, we work.

The working class is larger than Mr. Mamdani thinks and is infused from lower class through the upper class. Ask any CEO how many hours he works. It isn’t 40. It’s probably more than 80. Elon Musk famously slept under his desk at a Tesla factory. Work ethic knows no class. And I mean that in a good way. Ignore class rhetoric.

By the way, I’ve always liked the movie-script idea of a virus that wipes out humanity but somehow misses all those attending Burning Man, who then repopulate the earth. I think that’s already happened to the Democratic Party.

Write to kessler@wsj.com.

BOOKSHELF | By Tunku Varadarajan

The Prestige Of the Professors

Twilight of the Dons

By Colin Kidd
Princeton, 288 pages, \$35

A mischievous 1961 article in Time magazine described All Souls College as a sanctum sanctorum “where the best brains of Oxford are preserved—in alcohol.” Colin Kidd, the author of “Twilight of the Dons,” was a fellow at All Souls for 21 years. He’s now a professor of modern history at the University of St. Andrews, the sort of place that might send a shudder down the fellowship at his former abode. Although there’s no indication that Mr. Kidd is pickled in drink, it’s clear that he’s intoxicated with the idea of Oxbridge, the portmanteau that describes the elite world of Oxford and Cambridge.

Mr. Kidd is obsessed in particular with Oxbridge dons, as the academics at these two British universities are known in demotic parlance. He describes his book as “an intellectual history” of the Oxbridge professoriate, whose “golden age,” he says, ran from the end of World War II in 1945 to the ascent of Margaret Thatcher to the British premiership in 1979.

In that period, he claims, the dons of Oxbridge exercised “soft power” in Britain to an unprecedented extent, playing a considerable role in the intellectual life of the nation. “A complacent lowercase conservatism,” Mr. Kidd writes, “coincided with greater access to the press, the radio and television,” creating “a new kind of complacency, one with a megaphone at its disposal.”

It’s hard to imagine today, in the aftermath of l’affaire Jason Arday—the Cambridge professor who apparently died by suicide after being exposed in the press as a plagiarist and fantasist—that a Cambridge don, the archaeologist Glyn Daniel, was anointed TV personality of the year in 1955. Among Daniel’s pupils was Prince Charles, who remained a lifelong confidant and patron. Other professors had the ear of cabinet ministers and press barons and sat on royal commissions that shaped this or that national policy.

This was “an Edenic age of the don,” Mr. Kidd writes, and members of the “donnish caste,” as he calls it, “were not only esteemed for their learning but also attracted deference of a social kind.” These same dons disdained Britain’s provincial universities—known pejoratively as Redbrick—as well as academics in the U.S., whom they scorned for going about their business with “woefully unnecessary seriousness.” A don, by contrast, was effortlessly successful.

Mr. Kidd contends that the dons’ wartime service accounted for their worldly cachet and influence. “To a significant degree,” he writes, “the war reset the Oxbridge intelligentsia’s political compass.” There was a “recognition that donnish brainpower—whether embodied in scientific experts, staff office strategists, temporary civil servants or economists tasked with Lend-Lease negotiations—had played a significant part in winning the war.” The dons themselves spared no effort in ensuring that this view became conventional wisdom.

There was, however, “a serpent lurking in the long grass”—to wit, Thatcher, for whom Mr. Kidd has the purest loathing. The hapless dons, he contends, were “knocked off their pedestal” by Thatcherism—an ideology he berates throughout his book but never actually defines. And yet it is “the coming of Thatcherism,” with its “penny-pinching economics and its aggressively philistine tone,” that spells the end of the Oxbridge era of “ebullience.”

In the decades after World War II, the grandees of Oxford and Cambridge enjoyed considerable influence and visibility in British public life.



AMERICAS
By Mary Anastasia O’Grady

Is President Trump secretly working for Canada’s Liberal Party? You could be forgiven for thinking so after the failure of trade talks with Ottawa sent support soaring for Prime Minister Mark Carney’s handling of the matter. If there’s one thing conservative Canadians dislike more than the sniveling lefties running their federal government, it’s the bombastic Mr. Trump.

In one poll some 76% of Canadian respondents said Mr. Carney was right to end negotiations with the U.S. on Aug. 21, even though it led to new Trump tariffs on \$20 billion of Canadian imports. Mr. Carney says Canada will retaliate with its own tariffs, to take effect Sept. 8. Mr. Trump has countered with a threat to impose 50% tariffs on all car and truck imports from Canada starting Jan. 1.

On Thursday the U.S. president said he is changing the name of Lake Ontario in federal records to Lake America. That’ll show ‘em who’s boss. But Canada has its own ideas about how to inflict pain. Mr. Carney says his tariffs will be aimed at states in play in the midterm elections. Republicans are forewarned.

Both sides know a trade war is bad for their own economies. It’s a good bet both sides will find ways to

climb down—eventually. But the story won’t end there.

Mr. Trump has done serious damage to U.S. credibility by picking a senseless fight with a neighbor, ally and important trade partner. For decades Washington has used trade agreements to help American farmers and manufacturers gain access to foreign markets, to develop international supply chains that boost competitiveness, and to enhance consumer choice and affordability. If those agreements can be abrogated unilaterally by the commander in chief, who’s going to trust Uncle Sam?

Mr. Trump didn’t like the 1994 North American Free Trade Agreement. In 2020 he replaced it with his own U.S.-Mexico-Canada Agreement. Now he doesn’t like that. He’s desperate to blow it up but needs someone to blame.

The U.S. president says Canada is the worst country on earth when it comes to negotiating trade. Translation: It’s a little democracy that won’t knuckle under to his second-term tariff hikes. This is hurtful to a frail ego. It can’t go unanswered.

The trouble started in February 2025 when the administration used the International Emergency Economic Powers Act, or IEEPA, to announce tariffs on imports from Canada, claiming the country was a major source of fentanyl coming into the U.S. That was absurd. Mr. Trump seemed to admit it soon after, when he exempted most imports from

Mexico and Canada that complied with the USMCA’s “rules of origin.”

Mr. Trump also invoked Section 232 of the Trade Expansion Act of 1962, claiming threats to national security, to impose duties on steel, aluminum, a variety of metals “derivatives” (e.g., heavy industrial machinery and hardware, farm equipment, and

His trade war is self-defeating and helps Prime Minister Mark Carney politically.

heating, ventilation and air-conditioning units), autos and auto parts except those complying with the USMCA. Then-Prime Minister Justin Trudeau responded to the Trump tariffs, announcing new tariffs and quotas on U.S. goods entering Canada, including autos. The trade war was on.

In October 2025, Mr. Trump, again using Section 232, put more tariffs on Canada. Upholstered furniture, cabinets and vanities from the north weren’t about to invade. But Mr. Trump was daring Congress to stop him. It did nothing.

In February the Supreme Court told the president that IEEPA didn’t give him the power to impose tariffs. That hasn’t kept him from abusing other trade powers delegated by Congress.

Mr. Carney has been more circumspect. Until now he has responded to Trump tariffs with subsidies for domestic producers and a buy-Canadian initiative. Yet while Canadian provinces stopped importing American wine and spirits, Ottawa hasn’t imposed new tariffs. Canada has retained protection in autos and in dairy, which wasn’t part of the retaliation. But in an effort to de-escalate the conflict last summer, Mr. Carney reversed other retaliatory duties.

The provinces haven’t been so conciliatory. They have refused to restart purchases of American alcohol. The Trump administration has felt the heat from American producers. “U.S. wine exports to Canada fell 78% year over year, driving a \$357 million loss in export value,” the Wine Institute said in March. The U.S. accuses Canada of discriminating against American products. In July, invoking the never-before-used Section 338 of the Tariff Act of 1930, it said it would impose new tariffs on a range of Canadian goods.

It’s left to the American business community to explain to Mr. Trump the harm he’s doing and that his obsession with the trade deficit with Canada, caused by energy imports, is misplaced. If that message gets across, there’s hope. Until then, Mr. Carney might want to thank Mr. Trump for the political assist.

Write to O’Grady@wsj.com.

‘Extreme Weather’ Isn’t a Scientific Term

By Stephen Einhorn

‘Extreme weather’ sounds like a scientific term and is used routinely by government agencies, journalists and activists. Behind the strong language lies a fundamental problem: “Extreme weather” can’t be defined in any scientific, consistent or universally testable way. The phrase has no objective meaning.

Weather can be measured. Scientists measure temperature, rainfall, wind speed, storms and droughts. But the word “extreme” isn’t a measurement. It’s an arbitrary personal judgment.

How hot must a day be to be “extreme”? Ninety degrees, 100, 105? Must the temperature set a local record? Must it exceed the historical average by a particular amount? Must it last two days, three days or a week?

The same problem exists with rainfall, hurricanes,

floods, tornadoes and wildfires. Different agencies and researchers employ different standards. Some definitions are based on percentiles. Others use fixed thresholds, historical rarity, physical damage, economic losses or emergency declarations. Some definitions change according to location and season.

It is a scare tactic, pure politics, yet we pretend otherwise.

These aren’t merely different ways of measuring the same thing. They are different definitions of different things.

A 95-degree day might be classified as extreme in Milwaukee but ordinary in Phoenix. A storm may be statistically unusual but cause little damage. Another storm may be statistically ordinary but cause enormous losses. One

definition measures the weather; another measures its consequences.

No definition can reconcile all of these contradictions. The definition must constantly be selected according to the event, location, time period and purpose.

“Extreme weather” is never scientific. Science requires terms that can be universally agreed upon in a single definition. The U.S. government has at least four different definitions of “extreme weather”: a legal definition, a statistical climatological definition, a hazard-based definition and an operational definition, which in turn is divided into three parts (climatological, forecast and user-specific). Congress and a host of agencies, from the Federal Emergency Management Agency and the National Weather Service to the Environmental Protection Agency, must decide which definition to use. Otherwise the label can be selected or

rejected for almost any destructive, unusual or frightening occurrence.

“Extreme” sounds dramatic without being specific, without requiring the speaker to identify a measurable standard. And if one definition fails to make the point, another can be substituted. If storm frequency hasn’t increased, economic damage can be cited. If damage is inconclusive, temperature, rain, fall or computer projections can take its place.

The claim can never be disproved because its meaning isn’t fixed. If a term can’t be defined, claims made with that term can’t be proved true or false. Therefore, the statement “Climate change is causing more extreme weather” should be rejected as meaningless.

Mr. Einhorn is founder and a partner in Capital Midwest Fund and author of “Climate Change: What They Rarely Teach in College.”

That’s one way to describe Thatcher’s decision to stop pouring the money of taxpayers (few of whom actually went to Oxbridge) into subsidies that benefited only a select stratum of students and dons, and to force Oxbridge to do what most American universities had always done: raise money from the market and private donors. Mr. Kidd derides Thatcherism’s “cheese-paring parsimony” and “authoritarian desire for control.” But in the end, Thatcher’s cuts did Oxbridge a service, forcing it to look to the American model of fundraising.

Mr. Kidd’s linking of the eclipse of the Oxbridge dons to the rise of Thatcherism is reductionist to an almost fatuous extent, and nowhere in “Twilight of the Dons” does he make a persuasive argument for his contention. Instead, long stretches of the book read like disparate essays on donnish life, fads and internecine disagreements, strung together in a sequence that never coheres.

Chapter after chapter subjects the reader to recondite Oxbridge arcana, on topics ranging from the nature of Anglicanism (and its “quiet, measured hypocrisy”) at the universities’ colleges to abstruse and tedious debates on educational reform. Mr. Kidd revisits the snobbish rumpus that ensued when attempts to add sociology to the list of Oxbridge subjects were “resisted as akin to the admission of outright barbarism,” and dilates on the tussle between the French anthropologist Claude Lévi-Strauss and his “English apostates” (this is a particularly gelatinous chapter).

The author recounts the student upheavals of the 1960s, which were astonishingly tame at Oxbridge compared with those in France and the U.S., although it is amusing to read of how the warden of All Souls demanded that the master of Balliol College scrub graffiti, much of which disparaged the former, from the latter’s walls. (“The south front of Balliol,” the warden wrote, “becomes daily more and more like the walls of a public lavatory.”)

The dons got a measure of meretricious revenge on Thatcher in 1985 when Oxford voted to deny her an honorary degree. Mr. Kidd describes this as “a spectacular breach of conventional academic protocol,” especially as the dons conferred unopposed—on the same day—an honorary degree on Alessandro Pertini, the 88-year-old Italian president. The Thatcher snub was an act of pettiness from which the preening dons never recovered, however unpopular the prime minister may have been at the time. For it exposed them at last as a gaggle of entitlement in a country that had grown sick of their anachronistic privilege. They would never be grand again.

Mr. Varadarajan, a Journal contributor, is a fellow at the American Enterprise Institute and at NYU Law School’s Classical Liberal Institute.

OPINION

REVIEW & OUTLOOK

Trump Takes the Oil in Venezuela

President Trump has long said he favors “taking the oil” when the U.S. intervenes overseas, and now he is doing so in extraordinary fashion. His deal announced late Friday with unelected President Delcy Rodríguez for rights to 65 billion barrels of Venezuelan oil reserves looks less like a normal commercial transaction than it does the famous scene of U.S. businessmen meeting with the Cuban strongman in “The Godfather Part II.”

“This Historic Transaction MORE THAN DOUBLES American Oil Reserves, greatly increases our Oil Supply, and will substantially lower Gas Prices for all Americans, long into the future,” Mr. Trump wrote on Truth Social. He said he’ll use Venezuelan oil to refill the U.S. Strategic Petroleum Reserve that has been extensively tapped by him and Joe Biden.

* * *

Official details of the agreement are scarce, but the facts reported by the Journal over the weekend aren’t cause for enthusiasm. The U.S. will take a 35% stake in a private company run by Alejandro Betancourt, a Venezuelan businessman close to Ms. Rodríguez. The Betancourt firm, North American Blue Energy Partners, will be able to develop those 65 billion in reserves, and the U.S. will have preferential rights to 20% of what the firm produces at the cost of production.

The U.S. investor here will be the Pentagon, of all agencies, which will structure the investment through penny warrants that will gain the equity stake without taxpayer cash. The legal authority for this is far from clear, since the Defense Department is investing in a foreign entity. Can the Pentagon Office of Strategic Capital take such equity stakes?

Why is the Pentagon even playing in global oil markets when it has enough to do buying new weapons in short supply and reforming its broken procurement process? The global oil market is under stress from the Iran war, but by and large it does a good job of matching supply and demand.

Venezuela produces only about 1.1 million barrels of oil a day now, and deep wells in Guyana and new investment in Argentine shale (in-

cluding by U.S. entrepreneur Harold Hamm) are coming in the Americas. Venezuelan production will take years to ramp up.

Who will finance this oil production and which companies will invest to extract it? Mr. Trump has been pleading with U.S. oil firms to invest on their own in Venezuela since he snatched President Nicolás Maduro in January. But most say the government hasn’t provided the right legal or contractual protections. Chevron is a long-time player in the country.

The politics of all this are even more complicated, to put it mildly. The U.S. government is essentially getting in bed with a foreign dictator and her favored capitalist. Any foreign firm that invests will have all three as de facto partners, but Mr. Trump will be out of office in 2029 and the heavy-handed U.S. role might not play well over time in Caracas.

The oil deal will prop up Ms. Rodríguez, at least in the short term, and that may be part of Mr. Trump’s motivation. She has courted the President to survive in power and to stave off demands from the opposition to establish a process for new elections. Mr. Trump likes nothing better than a leader, elected or not, who bends to his wishes.

It’s notable that both the Venezuelan opposition and Ms. Rodríguez’s left-wing allies are criticizing the deal. The Bolivarian left views it as a concession to North American imperialism, and it will play that nationalist card if there is another election.

The democratic opposition views the deal as the act of an illegitimate president who has no right to turn over national resources to a business pal and a foreign government. It also fears that the deal will make it less likely that Mr. Trump and Secretary of State Marco Rubio will press for new elections. On that last point the U.S. had been making modest progress, which was slowed by the recent earthquake.

Much still isn’t known, but this all looks like an example of the Trump Administration extending its creeping crony statism beyond U.S. shores. In the “Godfather” saga, the Cuban dictator got a golden telephone from his visitors but was soon out of power.

A New Look at the Universe

SpaceX rocket on Sunday morning launched a new NASA telescope that will provide the best and most expansive view of the universe that humanity has had. Amid all the anxiety on Earth, this is cause for applause.

The Hubble Space Telescope, launched in 1990, opened the heavens to new and fascinating inspection. But the Nancy Grace Roman Space Telescope, named for the late NASA astronomer, will provide views a hundred times wider and a thousand times more rapid. It may be able to complete an astronomical census of the Milky Way, as well as survey other galaxies.

This is more than an academic physics exercise. Scientists estimate that so-called dark

matter and dark energy make up 95% of the universe, and shedding more, er, light on them could unveil more about how the universe was created. The Roman telescope is also expected to locate more planets beyond our solar system, some of which could hold life like our own. Most exciting is what this view of the heavens might discover that is unexpected.

Such discoveries are valuable for their own sake, but they also yield benefits that inevitably make life better on our own planet. In our current era of political discord and economic pessimism, we can use some optimism about human achievement. Congratulations to SpaceX and NASA on a successful launch, and we look forward to the pictures.

The Fight for Free Thinking at UNC

The battle to reform American higher education is a bruising fight, and the University of North Carolina Chapel Hill’s School of Civic Life and Leadership (SCiLL) has the scars to prove it. Created by the UNC trustees in 2023, the school has faced relentless attacks from faculty who oppose its mission and want to discredit its leadership.

The good news is that we can report that the most serious attempt to undermine the school has failed. Court documents show that a UNC-commissioned investigation of claims against the school and Dean Jed Atkins called the allegations “unsubstantiated.”

The investigation’s report is confidential, but a UNC memorandum in response to a public records lawsuit shows the scope of the accusations against SCiLL. The report “evaluate(d) the general performance of SCiLL’s dean [Mr. Atkins] in practically all aspects of his administrative duties,” says the memo, including the “application, selection, and hiring (or rejection) of University employees and applicants for employment.”

The school’s hiring was the primary subject of the faculty smear campaign. “Multiple sections of the Report,” the UNC court memo says, “detail the unsubstantiated allegations against SCiLL faculty and management for workplace discrimination.” UNC argues against the report’s disclosure on grounds it contains confidential personnel information, and a judge agreed. But the results should put an end to doubts about the school.

As SCiLL launched, professors took complaints to the media. Professor Inger Brodey alleged that the school’s hiring was marred by “improprieties, slander, vindictiveness and manipulation” and accused Mr. Atkins of hiring “candidates who conform to unspoken, homogeneous, ideological criteria.”

The real issue is that the school was hiring new professors from outside the UNC echo chamber. The legislation creating SCiLL required that it hire at least 10 professors from outside UNC. University Media Relations confirmed to Inside Higher Ed in April that the school’s faculty searches “honored all

university rules and procedures.”

The bigger question may be why the investigation didn’t also consider allegations made by SCiLL associates against others in the university. The investigation, led by Nathan Huff at law firm K&L Gates, was originally described by Interim Executive Vice Chancellor and Provost James Dean in a memo to SCiLL faculty as a comprehensive review, with a scope that “includes all of the concerns anyone has raised or would like to raise.”

But only SCiLL got the third degree. The university court filing describes the final report as a review of allegations “made against SCiLL, its faculty and its management.”

UNC billed the investigation as a way to evaluate claims through an “independent, impartial lens,” but it also retained a SCiLL critic as its expert consultant. Michael Gerhardt, now the UNC faculty chair, posted on a faculty listserve in March 2025 that he had “reached out . . . to become an affiliated faculty member” and that the faculty voted on the idea but he was then “nixed” by the dean.

SCiLL professor Dustin Sebell says no vote on Mr. Gerhardt occurred, but why was a faculty critic of the school advising an independent investigation about hiring? In remarks to the UNC Faculty Council in March, Mr. Gerhardt said he was “brought in for my expertise . . . as an advocate for the faculty. Everything I did in that position was to advocate for the faculty.” Mr. Gerhardt tells us that when he said he was an advocate, “I meant that in my position as consultant, I represented the faculty voice and interests.” UNC didn’t respond to our request for comment.

Despite everything, SCiLL is thriving. It has become a standalone school at the university and has a \$5 million recurring appropriation from the state Legislature, more than 100 registered for SCiLL “minors” (or secondary courses of study), and 523 enrolled in classes like “Democracy in America, Promises and Perils.”

Faculty complaints have amounted to nothing and the school is vindicated. But as with most progressive attacks, the process is intended to be part of the punishment.

LETTERS TO THE EDITOR

There Is a High Cost for That Cheaper Steel

Your editorial “The Metals Lobby’s Big Steal” (Aug. 26) asks America to gamble with its national security rather than reconsider its faith in free trade—despite China’s demonstrated ability to outmaneuver U.S. industry under such a system.

Steel isn’t just another commodity. It is indispensable to national defense. Our tanks, aircraft carriers, munitions and critical infrastructure can’t be built without it. The decades-long erosion of America’s steel industrial base is why Section 232 tariffs were imposed—even on Canada, which has increasingly become a back door for Chinese steel. Between 2020 and 2024, Chinese steel and aluminum imports to Canada nearly doubled, surging to 689,734 tons.

Those tariffs have been consequential. They have driven billions of dollars in investment and created thousands of American jobs. The U.S. International Trade Commission found that Sec. 232 tariffs from 2018-21 on average increased the price of steel products by 2.4% a year.

You overlook the true scope of the

alternative. Beijing heavily subsidizes its steel industry, enabling producers to sell at artificially low prices, build massive excess capacity and capture global-market share. The Global Forum on Steel Excess Capacity reported that excess capacity hit an astonishing 640 million metric tons in 2025, despite global crude steel consumption shrinking by 4.5%. China is responsible for nearly 57% of that excess.

But Chinese steel carries hidden costs. It shuts U.S. mills, weakens supply chains and creates a dangerous dependence on a strategic rival. China has also repeatedly demonstrated its willingness to leverage dominance over strategic materials to advance its geopolitical interests.

Free trade works when competitors play by market rules. China doesn’t. Preserving the industrial capacity necessary to arm and defend the U.S. is essential national security policy.

BRANDON FARRIS
Executive vice president
Steel Manufacturers Association
Washington

Congress, Time Is Running Out to Fix the Navy

Walter Russell Mead does an excellent job in “America Faces the Constraints of Democracy” (Global View, Aug. 25) of explaining how decades of underspending for defense have created a crisis which will take years and huge amounts of scarce financial resources to adequately address. Congress must wake up and begin taking care of its responsibilities.

President Trump deserves praise for urging greater defense investment, particularly more ships for the Navy. The Navy desperately needs more combatants: from submarines, aircraft carriers and destroyers all the way down to small unmanned-missile boats. Now the best thing for Congress to do is to pick up the president’s basic idea and shape it into a detailed ship investment program. A deliberative legislative process will best serve the country.

In the process Congress should flesh out designs, priorities and schedules. As a former fleet officer of the deck on an aircraft carrier and special sea detail officer of the deck on a guided missile destroyer, I believe that altering the designs of aircraft carriers, including changing the placement of the island and returning to steam catapult systems, are suboptimal approaches to achieving the president’s essential goal of more ships. They would add trillions of dollars in costs and years in delays. Likewise, creating a new class of battleships puts unnecessary pressure on naval budgets for very few hulls, which would cost more than aircraft carriers, and provide very limited operational capabilities to the fleet.

PETER A. MICHEL
Alexandria, Va.

Washington Can’t Spend Its Way to Prosperity

Regarding Greg Ip’s analysis “Treasury’s Haven Status Fades” (U.S. News, Aug. 21), when the national debt hits \$40 trillion and budget deficits stubbornly hover near 6% of gross domestic product, federal borrowing inexorably crowds out private enterprise, drives up mortgage rates and forces investors to demand higher yields. Resorting to unpredictable interventions to artificially suppress yields erodes the historic credibility of the U.S. bond market.

It is time for the Treasury Department and Federal Reserve to stop play-

ing along. They need to step forward publicly and state the unvarnished reality: The government cannot spend its way to prosperity without destroying the value of the dollar and penalizing every person and corporation trying to borrow capital. They must call out Congress, demand an end to undisciplined federal spending and allow the free market to work. Without genuine fiscal restraint, all these financial gimmicks will ultimately fail, and economic stability will be the cost.

MARK R. GIANNINY
Rochester, N.Y.

Californians Tire of Delusional Climate Rules

Happily, there’s a solution to every problem—even a multilevel one like the nonsensical tire proposal that you lay out in your editorial “Now California Is Coming for Your Tires” (Aug. 24). My workaround is this: When my gas vehicle—a cherry-red convertible—needs tires, I’ll take myself off to Las Vegas. I’ll leave my emissions in California for Gov. Gavin Newsom to clean up and, once across the Nevada border, drop my car at a shop where I can choose any tire I please. While I wait for my outlived tires to be mounted, I’ll find a slot machine. Hopefully, I’ll win enough to pay for my trip and my tires and be left with a bit to pay for Mr. Newsom’s next flight of fancy.

REBECCA FORSTER
Palos Verdes Estates, Calif.

You note that California’s new tire regulations are “perilous” because they may increase stopping distances on wet pavements. But that’s not all—the added purchase price and replacement cost make them less affordable, reducing sales of otherwise safer tires and vehicles that consumers would have bought, keeping older and less safe tires and vehicles on the road. The increased lives lost and vehicles totaled are reason enough to ditch the fuel-economy standards.

TOM WALTON
Highlands Ranch, Colo.

Three Cheers to Rudolf Diesel

John Steele Gordon’s op-ed “A Brief History of Wealth Creation” (Aug. 3) makes a compelling case that transformative technologies create wealth by dramatically reducing the cost of essential economic inputs. But his history surprisingly overlooks Rudolf Diesel.

The diesel engine did far more than replace steam in locomotives. Reliable, efficient engines available in many sizes helped decentralize industrial power, allowing manufacturing, agriculture, construction and transportation to operate far beyond large steam-powered factories and fixed power sources. Diesel-powered trucks and locomotives then helped move American goods on an unprecedented scale.

Diesel deserved a mention, not least because it strengthens his thesis: Make productive power cheaper, more efficient and more widely available and wealth creation follows.

JIM ROHR
Oak Brook, Ill.

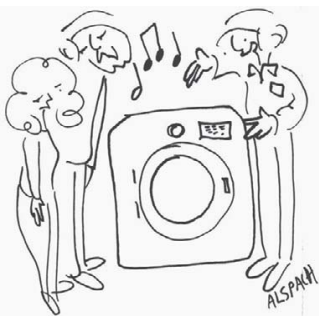
Kyiv and George Washington

Regarding Lindsay Chervinsky’s op-ed “How George Washington’s Defeat Led to America’s Victory” (Aug. 27): Ukraine seems to have adopted the same Fabian strategy against Russia as Washington did when facing a larger force. Ukraine prioritizes its outnumbered soldiers, trading land for lives, while undermining the ability of Russia to operate freely in the rear lines and destroying logistics vital to Moscow funding the war. As a fledgling America prevailed, so will Ukraine.

WILLIAM DIJAK
Houston

Pepper ... And Salt

THE WALL STREET JOURNAL.



“This happy little tune lets you know the unit has failed catastrophically.”

Letters intended for publication should be emailed to wsj.letters@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

OPINION

America’s Systemic Munitions Shortfall

By William Schneider Jr.
And David A. Deptula

The Pentagon announced on Aug. 17 a seven-year, \$22.9 billion contract with Raytheon to increase Tomahawk production from roughly 60 missiles a year to more than 1,000. Washington, it seems, is ready to address the reality that the U.S. has been consuming advanced munitions faster than its industrial system replaces them.

But the munitions shortfall is more complex than industrial failure. It resulted from several interdependent factors: unstable defense budgets, overly optimistic assumptions about how long wars will last, shrinking production capacity, and restrictions on allied manufacturing. Appropriating more money and asking contractors to run production lines harder is the first step, but a long-term fix requires the U.S. to change the system that produced the current shortage.

Reducing munitions production has long been a way for the Pentagon to bank savings when it struggled to pay the bills. Cutting missiles creates less political resistance than canceling major acquisition programs, closing bases or eliminating force structure. The pattern accelerated after the Cold War, when Washington harvested the “peace dividend,” cutting forces and procurement and allowing much of the production capacity behind them to disappear. Continuing resolutions have exacerbated the problem by delaying new starts and preventing program managers from executing

long-term orders. Facing uncertain demand, industry has little incentive to invest in plant, tooling, suppliers or workers.

These cuts, once made, tend to be rationalized. When inventories are limited, planners reduce requirements to make them appear adequate. Since the end of the Cold War, defense planning has become more budget-led than strategy-led. One consequence is the assumption that wars will be intense but short, making smaller inventories and fewer production sources seem adequate.

Recent experience demolishes this assumption. Modern war is unquestionably intense and lethal, but not necessarily short. Russia’s war with Ukraine began 4½ years ago; the U.S. war in Afghanistan went on for 20 years. Nor can the U.S. always assume that conflict will be confined to one theater. A crisis may create opportunities for adversaries elsewhere, increasing pressure on finite inventories of weapons.

The U.S. should look to its allies to expand its industrial base. During World War II, the U.S. issued standardized designs to multiple producers. The Liberty Ship program used 18 American shipyards to produce more than 2,700 ships from a common design in four years. In the same way, the U.S. need not rely on one domestic manufacturer to produce all its Patriots and Tomahawks. A better strategy would involve increased production across the U.S. and allied nations using common designs.

We know this works. U.S.-German cooperation on the Rolling Airframe Missile has endured for decades.

Japan already produces Patriots and agreed last year to produce Advanced Medium-Range Air-to-Air Missiles. German industry is authorized to manufacture the Patriot PAC-2 GEM-T interceptor.

Yet current U.S. policy makes such cooperation difficult, in large part because of the Arms Export Control Act of 1976 and the regulatory structure built around the International Traffic in Arms Regulations. Created during the Cold War, that system was designed to prevent sensitive

The U.S. needs more than new weapons. It needs new ways of enlisting allies to produce weapons.

technology from reaching adversaries or unauthorized third parties and to give Washington oversight of how U.S. weapons were used abroad. Those remain legitimate objectives. But a regulatory structure built for controlling individual foreign transfers is poorly suited to an era in which the U.S. needs trusted allies to co-develop, manufacture and sustain common weapons.

Instead, production inside a designated allied industrial base should ordinarily be permitted unless a specific national-security reason requires otherwise.

The trilateral partnership among Australia, the U.K. and the U.S., known as Aukus, points toward the solution. Recognizing that traditional export controls were impeding

integration among the three allies, Washington has created broad licensing exemptions for defense trade among authorized participants in the three countries. The same principle should be applied more broadly: Trusted allies capable of protecting sensitive technology should be treated as participants in a common industrial base, rather than as foreign customers.

Sensitive technologies can still be controlled through security arrangements. Intellectual property can be protected contractually. Onward transfers can be governed by agreements with clear end-use restrictions and penalties. But the shift would enable multiple geographically dispersed production sources, increase surge capacity, reduce bottlenecks and make the industrial base more resilient to attack, sabotage, natural disaster and supply-chain disruption.

The strategic arithmetic is simple. The U.S. and its allies face Russia, China, Iran and North Korea, whose defense-industrial capabilities can reinforce one another. China alone possesses a manufacturing base far larger than America’s. The U.S. should counter this advantage by treating the industrial capacity of trusted allies as an extension of its own rather than striving for self-sufficiency. As European allies invest more in their own defense, U.S. policy should encourage them to produce compatible weapons instead of separate weapons ecosystems.

Washington usually responds to munitions shortages with new appropriations. The Tomahawk contract with Raytheon is an important step forward, as are efforts to ex-

pand Patriot and Thaad production. But if money continues to flow through a system characterized by unstable budgets, continuing resolutions, suppressed requirements and regulatory barriers, the U.S. will continue to face weapons shortages.

A sustainable solution requires additional action. The Pentagon should base munitions requirements on the possibility of prolonged multitheater conflicts rather than the naive hope of a brief campaign. Congress should provide stable multiyear funding at economically meaningful production rates and ensure the availability of excess manufacturing capacity for surge requirements. And the Arms Export Control Act should be replaced with a system designed to expand industrial collaboration among trusted allies working from common designs.

The U.S. has all the advantages it needs: allies, technology, capital and demand. It lacks only the institutional framework necessary to turn those advantages into military production.

America can’t afford to enter the next war dependent on an industrial system shaped by the assumptions of a bygone era. Rebuilding the arsenal requires rebuilding the system behind it.

Mr. Schneider is a senior fellow with the Hudson Institute. He served as undersecretary of state for national security affairs, 1982-86 and chairman of the Defense Science Board, 2001-09. Mr. Deptula is dean of the Mitchell Institute for Aerospace Studies and a retired U.S. Air Force lieutenant general.



LIFE SCIENCE
By Allysia Finley

Today’s young socialists portray a wealth tax as a progressive innovation. It isn’t. The idea is neither progressive nor even novel. A historical progenitor is the window tax of 18th- and 19th-century England, which reformers of that era abhorred because of its unintended harm to the poor.

King William III in 1696 pioneered the tax, which charged property owners based on their number of windows. The intent was to spare the poor and dun the wealthy. The thinking was that windows represented a rough proxy of a taxpayer’s wealth: Bigger and more opulent houses had more windows.

An 18th-century British levy targeted people of means and plunged the poor into darkness.

The tax was similar to a graduated income tax, in that every additional window above certain specified levels incurred higher charges. The tax raised much less revenue than the government hoped, because owners responded by boarding up windows and building houses with fewer of them.

The government then raised rates to generate more revenue, which resulted in more tax avoidance. A 2015 study by University of Maryland

economists found a sharp increase in homes with windows just below the tax thresholds. Coincidence?

Property owners frequently tussled with government over their liability. “Disputes, favoritism, and upset abounded,” Michael Keen and Joel Slemrod explained in a 2022 essay, “Taxing the Light of Heaven.” “What exactly, for instance, is a window? Questions with seemingly obvious answers can get murky when lots of (tax) money is involved.”

Landlords, who faced especially hefty tax bills because they were assessed on the total number of windows in their tenements, tried to reduce their payments by covering even the smallest apertures. The result, as Messrs. Keen and Slemrod explain: “Poor ventilation spread disease; lack of light led to a deficiency of vitamin B”—the authors likely meant vitamin D—“that stunted growth—what the French came to call the ‘British sickness.’”

Charles Dickens railed that “the adage ‘as free as air’ has become obsolete by Act of Parliament. Neither air nor light have been free since the imposition of the window-tax.” In an essay, “Red Tape,” Dickens lampooned the paper-pushing government bureaucrats who assessed the tax and turned a blind eye to the plight of the poor. “A most unnatural per-centage of them were, in consequence, scrofulous, and consumptive, and always sliding downward into Pauperism.”



London's Old Curiosity Shop, circa 1900.

On a visit to England, French economist Jean-Baptiste Say observed that a window in a room he was renting was bricked up. He used the episode to illustrate the economic concept of “excess burden”—that is, when a tax distorts behavior in a way that results in a social-welfare loss exceeding the revenue gain to the government.

While progressive in theory, the window tax was regressive in practice. Landlords passed some of the tax on to tenants in higher rents. That exacerbated the era’s economic disparities. Reformist writers of the era derided it as a sunlight tax.

The English protagonist in Charlotte Bronte’s novel “The Professor” gapes on a visit to Belgium about the number of windows in his room:

“Light not being taxed in Belgium, the people never grudge its admission into their houses.” While the tax was repealed in 1851, some historical buildings in England still include boarded-up windows, bearing witness to its damage.

By today’s lights, the tax may seem myopic and silly. But is it any more so than progressive wealth-tax proposals, which would charge the affluent based on paper fortunes that can be as fleeting as the London sun? Bureaucrats will define wealth as they see fit. Lobbying and political favoritism are certain.

Like the window tax, a wealth tax would encourage tax avoidance and produce an array of excess burdens. A November ballot initiative in California would charge residents with

more than \$1 billion in net worth a 5% tax on their fortunes as of Dec. 31, 2026. Many billionaires have already moved out of the state to duck the tax.

Others will surely devise schemes to avoid it—for instance, the initiative exempts real estate. Look for billionaires to sell shares in companies and expand their palace empires. The result of the tax avoidance will be less government revenue, fewer jobs and stunted innovation—excess burdens. Expect state taxes for everyone to increase to compensate for the loss of billionaires.

One might also observe parallels between the window tax and other progressive policies like rent control, which causes landlords to skimp on maintenance, resulting in squalid living conditions.

Or consider a New York City property tax break that requires developers who build 100 or more units in a building to pay sky-high wages—\$42.03 an hour and as high as \$76.12 an hour on larger projects in some areas. The result: A profusion of buildings with exactly 99 units, which are a less efficient use of scarce land than taller buildings with more apartments.

Another example: Mayor Zohran Mamdani’s pied-à-terre tax, which will reduce the values of high-end condos that developers use to subsidize apartments for the hoi polloi. The likely result: Fewer affordable apartments. At least Mr. Mamdani hasn’t tried to tax the windows—yet.

Trump’s New Iran Sanctions Put China on Notice

By Max Meizlish

For years, Washington has imposed sanctions on Iran and its regime’s supporters while largely sparing the foreign banks that help Tehran evade those sanctions. The Trump administration wants to change that.

Days after Treasury Secretary Scott Bessent announced an “economic D-Day” campaign against Iran’s enablers, the department announced on Aug. 28 it will cut off five United Arab Emirates-based branches of Egypt’s state-owned Banque Misr

from access to the U.S. financial system. Treasury can complete the measure after a 30-day public comment period. This gives the bank, along with regulators in Egypt and the U.A.E., a window to coordinate with Washington and address misconduct. If the bank credibly cleans house, Treasury can reconsider the proposed measure.

According to Treasury’s Financial Crimes Enforcement Network, or FinCEN, which monitors and reports on suspicious financial activity, the targeted branches have processed about \$1.8 billion for 103 suspected Iranian

shadow banking fronts since 2024, including companies tied to Iran’s Defense Ministry and Islamic Revolutionary Guard Corps.

The regime in Iran leverages a network that includes thousands of opaque shell companies and trading houses—especially in places like the U.A.E. and Hong Kong—to evade sanctions by moving billions in oil and petrochemical proceeds, ultimately gaining access to the U.S. financial system.

By acting against foreign banks that service this network, the Trump administration is applying a level of pressure rarely seen across administrations. The president’s critics will argue that the announcement falls short of Mr. Bessent’s promise of a major sanctions action, but they are mistaken. Threatening to cut Banque Misr UAE’s access to the U.S. financial system is a sanction in every meaningful sense.

By leaving a window open for reform, the Trump administration seeks to change behavior—not merely punish it. But Banque Misr UAE must only be the start. Hong Kong is another major hub that FinCEN identifies as harboring Iran’s shadow-banking fronts. Treasury should consider similar actions against one or more Hong Kong banks. Treasury should also apply full blocking sanctions to China’s Bank of Kunlun by adding it to the

Specially Designated Nationals List.

Bank of Kunlun is ultimately controlled by China National Petroleum Corp., one of China’s largest state-owned enterprises. Washington cut the bank off from U.S. correspondent banking in 2012, but the bank has continued facilitating Iranian business. That’s because the bank did little business in dollars to begin with,

The administration moves beyond chasing shell companies and targets banks that help Tehran.

making its U.S. financial cutoff largely symbolic, while Treasury’s limited action never forced CNPC to choose between Kunlun and other interests. A full blocking designation would force CNPC to decide whether keeping the bank alive is worth exposing its far larger commercial interests to the risks that come with owning a financial institution subject to sanctions.

Treasury can go further. The action taken against Banque Misr UAE draws on Section 311 of the Patriot Act. Section 311 measures can target not only individual financial institutions but entire classes of transactions. FinCEN could use that author-

ity to require heightened scrutiny of oil- and petrochemical-related transactions exhibiting the hallmarks it already associates with Iranian sanctions evasion: large round-dollar payments, rapid movement of funds, unclear commercial purposes, unusual use of exchange houses, and discrepancies between payments and underlying trade records.

That scrutiny should extend to the Iranian oil that is frequently rebranded as Malaysian and sold to Chinese buyers. China’s reported oil imports from Malaysia vastly exceed what Malaysia itself reports exporting. That discrepancy ought to be a warning for banks involved, especially since China purchases roughly 90% of Iran’s exported oil. More pressure from Treasury could help keep them from ignoring it.

Treasury’s latest action suggests the U.S. may finally be moving beyond chasing Iranian shell companies toward threatening the foreign financial infrastructure that keeps them alive. That would be a meaningful break with the approach of past administrations. But for it to be a success, the campaign needs to be sustained—and it needs to reach China.

Mr. Meizlish is a research fellow at the Foundation for Defense of Democracies. He has worked in the U.S. Treasury’s Office of Foreign Assets Control.

THE WALL STREET JOURNAL.
PUBLISHED SINCE 1889 BY DOW JONES & COMPANY

Lachlan Murdoch
Executive Chairman, News Corp

Rupert Murdoch
Chairman Emeritus, News Corp

Emma Tucker
Editor in Chief

Liz Harris, Managing Editor

David Crow, Deputy Editor in Chief

Aja Whitaker-Moore, Deputy Editor in Chief

Sarah Ball, Features; Elena Cherney, Senior Editor; Dan Colarusso, Business, Finance, Economics; Chip Cummins, Newsweek; Taneth Evans, Digital; Gordon Fairclough, World; Alex Martin, Print & Writing; Bruce Orwall, Entertainment; Damian Paletta, Washington; Christopher S. Stewart, Investigations

Paul A. Gigot
Editor of the Editorial Page

Gerard Baker, Editor at Large

DOW JONES MANAGEMENT:
Jason P. Conti, General Counsel; Dianne DeSevo, Chief People Officer; Artem Fishman, Chief Technology Officer; Lisa Fitzpatrick, General Manager, Dow Jones Industries; M. Scott Havens, Chief Growth Officer; Dan Shar, EVP, General Manager, Wealth & Investing; Ashok Sinha, Chief Communications Officer; Josh Stinchcomb, EVP & Chief Revenue Officer, WSJ | Barron's Group

EDITORIAL AND CORPORATE HEADQUARTERS:
1211 Avenue of the Americas, New York, N.Y., 10036
Telephone 1-800-DOWJONES

DOW JONES | News Corp

Publicis EtNous

BARÉNIA

PLEINE FLEUR



NEW EAU DE PARFUM



Drugmaker’s Independent Streak Pays Off

Before cancer leap, RevMed attracted takeover interest but decided to go it alone

By XAVIER MARTINEZ

This year, an oncology biotech with no drugs on the market—just promising research—was attracting takeover interest. **Revolution Medicines** stayed independent. Last week that bet paid off. The 12-year-old drugmaker, more commonly known as RevMed, spent much of its ex-

istence trying to solve a scientific puzzle that had stumped some of the industry’s leading researchers. The company successfully targeted a common cancer mutation, resulting in a drug that nearly doubled how long people with pancreatic cancer survived—a remarkable breakthrough for a notoriously deadly disease. Now that the Food and Drug Administration has approved its new drug, Rasonque, the Redwood City, Calif., biotech is taking on its next challenge: figuring out how to quickly bring the drug

to the thousands of patients desperate to take it. RevMed Chief Executive Mark Goldsmith, a doctor-scientist who has led the company since its founding, said last year he faced a decision about whether the company should deliver this product on its own, a complicated and costly undertaking. He was approached by financial institutions that of-

Financial institutions offered to help RevMed reach global markets.

fered money to help RevMed reach global markets, he said. “When they asked me what sort of scale of financial support did we need, I told them it was big,” Goldsmith said. “I didn’t think they’d continue the conversation, and they came back and said, ‘We’re interested.’” RevMed is set on doing this on its own. In a matter of months, the company has built

its first-ever sales force, distribution network and reimbursement operation from scratch. It has struck deals to make the drug overseas and is planning to invest in several manufacturing lines to guard against bottlenecks. “Successful biotechs tend to be acquired by large pharma companies,” said Michael Schmidt, a biotech analyst at Guggenheim. “Having a company remain independent, at least at this stage in the game, is definitely something that’s very exciting and interesting to follow.” Please turn to page B2

Aon Nears \$17 Billion Deal for Insurance Broker USI

By LAUREN THOMAS AND MARK MAURER

Aon is near an agreement to buy insurance brokerage USI Insurance from private-equity firm **KKR** for roughly \$17 billion, including debt, according to people familiar with the matter. A deal could be announced as soon as Monday, the people said, assuming it comes together. USI, based in Valhalla, N.Y., is an insurance brokerage and consulting firm. It helps businesses and individuals find policies and build benefit plans, among other things, and has roughly \$3 billion in annual revenue, according to its website. KKR acquired USI from the private-equity firm Onex in 2017 alongside the Canadian investment firm CDPQ for \$4.3 billion. KKR has since made additional investments to increase its ownership stake in the business and become the largest shareholder. Aon, a large insurance broker and consulting firm, has long specialized in helping businesses manage risk, healthcare benefits and retirement wealth. The acquisition would expand Aon’s capabilities in helping midsize businesses and is expected to increase earnings per share as soon as 2028, a person familiar with the matter said. The deal would be the latest in a string of big exits for KKR at a time when the private-equity industry has been struggling to unload assets. The firm reported its best-ever quarterly asset sales in the latest period, at \$1.29 billion. Recent exits include the sale of the data-center cooling business CoolIT, on which it made about 15 times the equity it invested, and the sale of the commercial and defense aerospace unit of pump-and-valve maker Circor. Earlier this year, KKR closed a \$23 billion fund focused on private-equity investments in North America, bringing the total amount of capital raised across the most recent vintages of KKR’s flagship regional funds to \$46 billion, the firm has said. Aon had a market value of around \$75 billion as of Friday. The company has reported rising demand for its commercial risk and reinsurance businesses. In a similar deal, Aon bought NFP, a middle-market property and casualty insurance broker, for about \$13 billion in cash and stock from Madison Dearborn and HPS Investment Partners in 2024. Madison Dearborn last year bought back most of Aon’s NFP wealth business for around \$2.7 billion. Please turn to page B4

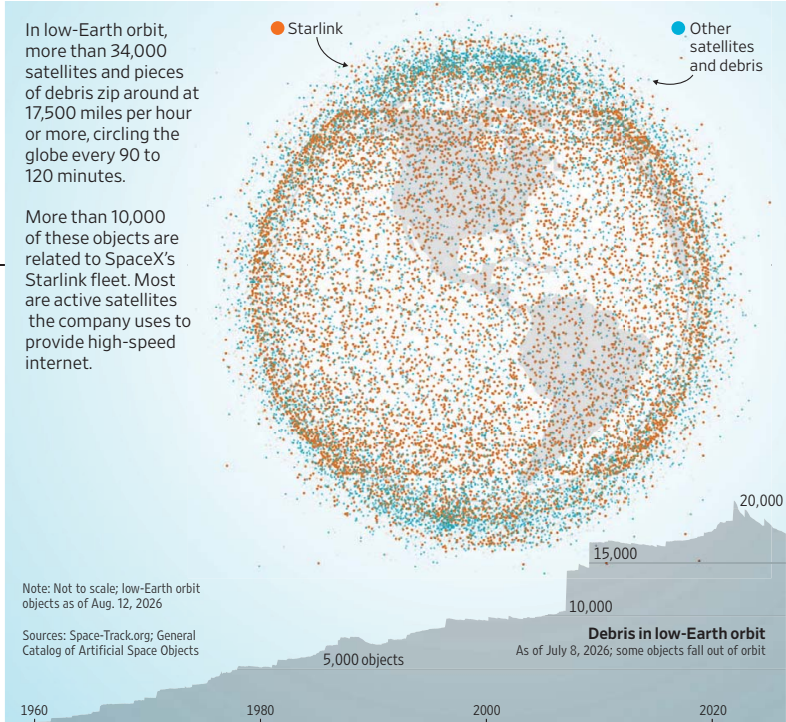
SpaceX and Rivals Dodge Traffic in Low-Earth Orbit

It’s getting busy up there. Nearly 70 years after the Soviet Union launched the first satellite, there is more man-made material in space than ever before. By Micah Maidenber, Merrill Sherman and Patience Haggin

The quantity of satellites and debris in low-Earth orbit—roughly 100 to 1,200 miles above the planet—is raising concerns of collisions that could damage or destroy spacecraft and satellites. One worst-case fear is that debris could set off a chain reaction of crashes, leaving parts of low-Earth orbit unusable. Elon Musk’s **SpaceX** has played a leading role in making low-Earth orbit more crowded, launching satellites at record rates and creating the largest satellite fleet in history to build its Starlink internet service. More satellites are coming.

U.S. companies and government agencies have set out ambitious plans to deploy their own constellations. Chinese company LandSpace Technology recently showed it could reuse a rocket booster, like SpaceX does, a feat that could help it deploy satellites faster. As low-Earth orbit grows more crowded, SpaceX’s satellites are changing course more often, according to filings with the Federal Communications Commission. Between this year and 2034, at least 41,000 more satellites are expected to be deployed to low-Earth orbit, with about two-thirds coming from SpaceX, Amazon.com and Chinese companies, according to Dallas Kasaboski, an analyst at satellite consulting firm Analsys Mason. The push by SpaceX and others to develop orbital data centers, designed to feature swarms of satellites laden with artificial-intelligence chips,

41,000 Approximate number of satellites expected to be deployed to low-Earth orbit by 2034



could bring the total to roughly 1.5 million satellites, he said. Jonny Dyer, chief executive of satellite company Muon Space, pointed to the number of commercial planes that safely fly in and out of busy airports every day, often operating in narrow flight corridors. There is more room in low-Earth orbit for satellites than there is terrestrial airspace available for planes, but adversarial actions or poor co-

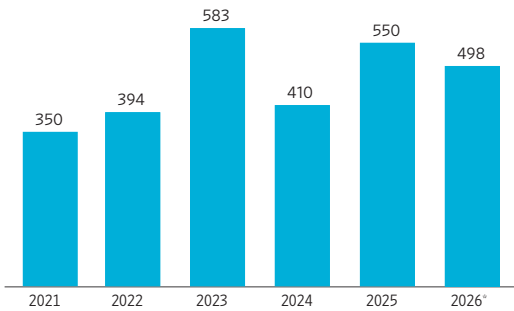
ordination could pose a threat, according to Dyer. “To me, the risk is not the number. It’s whether there are bad actors explicitly doing bad things or are negligent,” he said. Collisions are rare—the European Space Agency counts four involving cataloged objects in space—but they can make a mess. In 2009, an Iridium Communications satellite hit a nonfunctional Russian satellite, generating about 1,800 pieces of debris at least 10 centimeters in size. Other debris comes from components rupturing and antisatellite missile strikes. Scientists track pieces that are about softball-size or larger using radar, and SpaceX maneuvers its satellites around them. But pieces that are too small to track can pose hazards. A piece of debris the size of a paint fleck could Please turn to page B2

Car Sunroofs Keep ‘Spontaneously’ Exploding

By RYAN FELTON

Early one morning on a recent weekday, Amber Nguyen was driving her 2025 Lexus SUV on a highway to a work meeting when she heard a loud bang. “I’m not even joking, it sounded like a gunshot,” said Nguyen, a 26-year-old who lives in Louisiana. The sunroof shattered. Had the sunshade not been closed, she might have been covered in glass. The experience is far from limited to her particular vehicle. Thousands of drivers have filed complaints with U.S. auto-safety regulators describing jarring incidents in which their sunroof unexpectedly exploded or shattered, often while they were driving. The

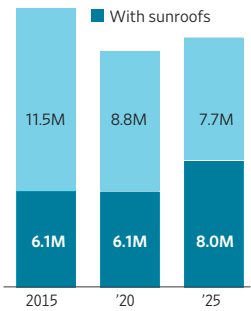
Reports filed with regulators citing sunroofs exploding or shattering



number of complaints soared recently and is set to hit a record in 2026, with nearly 500

reported so far this year. The descriptions of those incidents listed in a federal data-

Vehicles produced for the U.S. market, by model year



base are harrowing: A **Kia** minivan’s sunroof exploded on a Wisconsin highway. A **GMC**

sport-utility vehicle’s moonroof fell onto seats where children ride. A **Mercedes-Benz** owner heard a “gunshot” sound like Nguyen—a frequent descriptor of these events, according to federal reports—before their car’s glass ruptured. The causes are similarly widespread. Road debris that drivers don’t notice is one culprit, car designers and testers say. Hot temperatures and rapid temperature shifts can cause rapid expansions of the glass. Sometimes, design and manufacturing defects are to blame. The sunroof failure reports target all major automakers, including 17 manufacturers and more than 200 models over the past three years, according to a Please turn to page B2

INSIDE



RESTAURANTS

Midwestern burger chain Steak ‘n Shake undergoes a MAHA overhaul. B3

HEARD ON THE STREET

Distillers find themselves over a barrel. B8



TIM HIGGINS

How Tech Blinded Itself to the AI Revolt

The Silicon Valley playbook is failing artificial intelligence. And the messier things around AI become, as they did again in the past two weeks, the more out of touch many tech leaders appear. That suggests that even if Anthropic and OpenAI initial public offerings live up to Wall Street’s lofty expectations, these companies will be long dealing with risky political and regulatory headaches atypical for nascent industries. More bluntly, for many outside the tech world, these companies will be birthed as the bad guys, a remarkable

swing from the early 2010s when founders were venerated as cultural heroes. “After the Tylenol crisis, this is the next great comms case study but in this instance it’s what not to do,” Rachael Horwitz, a longtime tech public-relations pro, posted on X this past week as AI data-center agita stirred the nation’s politics. In something of a mea culpa, OpenAI’s Sam Altman in a recent podcast acknowledged missteps. “We have not, as a field, done a very good job of explaining to people what the benefits are and how the downsides can be mitigated,” the OpenAI chief ex-

ecutive said. But why has it gone so badly? It is probably no coincidence that the rise of the current AI excitement coincided with a more inward-looking technorati spurning major institutions—whether that be government, regulators, media or any group perceived as slowing their innovation. Elon Musk’s acquisition of Twitter-turned-X in 2022 ushered in a “go-direct” movement among founders and venture capitalists who felt like they could talk directly to their stakeholders. Travis Kalanick, the ousted founder of **Uber**, re-

surfaced publicly this year, crediting that very dynamic as he pushed his newest AI-focused startup. “Elon buying Twitter is the beginning of us being able to speak our minds and for disagreeing to not be illegal,” he said on a podcast this month. The powerful sweep of social media has made reaching new audiences infinitely easier and cheaper for savvy founders. Wild ideas—maybe even outlandish ones—became in vogue. But it also meant many in tech also have just been talking to each other in an echo chamber of their own creation. They were reaching

Sand Hill Road, Wall Street and Pennsylvania Avenue, not Main Street. In turn, they were developing blind spots that are now glaring hazards as everyday folks fuel a bipartisan populist revolt against them. “We have lost the muscle memory around actually what it takes to get out of Silicon Valley and get people—real human beings—engaged locally,” Horwitz told me about the tech industry a few days after her Tylenol post. She cut her teeth first in politics then working for the likes of Google, which early on ran sophisticated public-relations operations to build Please turn to page B4

INDEX TO BUSINESSES

These indexes cite notable references to most parent companies and businesspeople in today's edition. Articles on regional page inserts aren't cited in these indexes.

A	G	P
Aon.....B1	Gap.....A2	Pernod Ricard.....B8
B	General Motors.....B2	R
Berkshire Hathaway.....A5	Guggenheim Partners.....A5	Revolution Medicines.....B1
Biglari Holdings.....B3	H	S
C	Honda.....B2	Sanofi.....B2
Chevron.....A10	Hyundai.....B2	SpaceX.....A3,B1
ConocoPhillips.....A10	K	T
D-E	Kia.....B1	Tesla.....B4
Diageo.....B8	KKR.....B1	Toyota.....B2
ExxonMobil.....A10	M-N	U
F	Mercedes-Benz.....B1	Uber.....B1
Facebook.....B4	Nvdi.....B5	

INDEX TO PEOPLE

A-C	K-	R
Altman, Sam.....B1	Kalanick, Travis.....B1	Reid, Laurence.....B2
Bennett, David.....B2	Kasaboski, Dallas.....B1	S
Biglari, Sardar.....B3	Kohn, Donald.....A2	Schmidt, Michael.....B1
Boes, Michael.....B3	Matney, Mark.....B2	Shokat, Kevan.....B2
Bryan, Zach.....B4	Miller, Erik.....A5	Smith, David.....B2
Cogert, Alton.....A1	Mitchell, Keith.....B3	V
D-H	Mulgrew, Michael.....A3	Verdine, Greg.....B2
Dyer, Jonny.....B1	Musk, Elon.....B1	W
Goldsmith, Mark.....B1	P	Walter, Mark.....A1
Horwitz, Rachael.....B1	Patton, Bobby.....A5	Z
Huang, Jensen.....B5	Petrilli, Michael.....A3	Zuckerberg, Mark.....B4
Huang, Madison.....B5	Q	
	Qin, Harry.....B5	

‘Coyote vs. Acme’ Starts at No. 2 Spot



The film earned \$15.5 million in its first weekend.

Estimated Box-Office Figures, Through Sunday				
Film	Distributor	Weekend*	Cumulative	% Change
1. Spider-Man: Brand New Day	Sony	\$22.2	\$891.5	-43
2. Coyote vs. Acme	Falling Forward Films	\$15.5	\$15.5	—
3. The Odyssey	Universal	\$14.3	\$563.8	-27
4. Insidious: Out of the Further	Sony	\$10.1	\$43.6	-60
5. The Dog Stars	20th Century Studios	\$8.0	\$8.0	—

*Friday, Saturday and Sunday in North American theaters Source: Rentrak

Sunroofs Keep Exploding

Continued from page B1

Wall Street Journal analysis. Roughly 1-in-5 complaints lodged in that time involved 2025 or 2026 model vehicles, the analysis showed. Such failures happen roughly once a day.

Even so, the issues have rarely resulted in recall campaigns. Regulators say factors other than safety defects, such as road debris, are typically responsible for these events.

A representative for the National Highway Traffic Safety Administration said it hasn't identified any verified crashes or serious injuries caused by breaking sunroofs.

"A breaking sunroof can be startling and costly, and NHTSA has investigated and is monitoring this issue," the representative said.

Motor-driven sunroofs rose in popularity in the 1980s. Initially a feature relegated to the luxury market, sunroofs are now equipped on more than 50% of vehicles produced for the U.S. market, up from 35% a decade prior, according to data from industry-research firm Omdia. Some have fixed coverings that retract; others, often called "moonroofs," are single pieces of glass. (The two terms are often used interchangeably; reports about shattering include both.)

David Smith, a former design manager at **General Motors**, said sunroofs present an engineering challenge: cutting a hole out of a car's roof while maintaining the vehicle's stability and integrity. The feature has become widespread as automakers eliminated common early issues, like leaking water and wind noise.

"They know how to build them pretty good now," Smith, a professor at the College for Creative Studies transportation design program, said of carmakers today.

David Bennett, automotive director for roadside assistance organization AAA, said the pieces of glass have grown larger in recent years, making them more vulnerable to road-

debris damage.

NHTSA has investigated these issues before. In 2013, the agency opened a probe into Kia Sorento SUVs in response to many reports of unexpected sunroof breakage. That investigation spanned seven years and roped in more than a dozen other automakers, identifying over 4,000 reports of sunroof fractures.

NHTSA said, in 2021, that it didn't find sufficient evidence of a safety-related defect, pointing instead to potential factors such as small rocks kicked up by other vehicles causing "imperceptible" damage that can result in breakage.

The agency said federal regulations allow sunroofs to be made with tempered glass, which must break into gravel-like pieces, or laminated glass, where pieces stay stuck to a plastic interlayer instead of scattering. Manufacturers generally choose tempered glass, a spokesman said.

NHTSA said major suppliers appeared to be moving toward using laminated glass and other improved materials. Those changes should reduce the incidents of glass breakage.

Since 2021, NHTSA has received nearly 2,800 complaints of sunroofs unexpectedly exploding, of which more than 500 involve newer vehicles, according to the Journal's analysis.

Among the vehicles most commonly cited in recent years include **Toyota's** RAV4, the **Hyundai** Palisade SUV, the **Kia Telluride** SUV, and the **Honda CR-V**. Hyundai said it continues to monitor the issue and will take action if a product defect is identified. The automaker commissioned multiple studies to analyze sunroof breakage, it said, but hasn't found an inherent defect as a cause, only issues related to foreign objects impacting the glass.

Honda contends it hasn't seen a significant trend in complaints about the CR-V glass damage attributable to safety defects. A large number of CR-Vs sold have been equipped with a moonroof, including 95% this year as standard equipment, so comparing raw complaint numbers may fail to reflect actual occurrence rates of breakage, the company said.

Kia and Toyota declined to comment.

Drugmaker Decides to Go It Alone

Continued from page B1

Wall Street expects Rasonque—which costs more than \$477,000 for a year's supply—to generate more than \$1 billion in sales as soon as next year. The company has more assets in development that could also hold blockbuster potential. Rasonque targets a mutated protein called RAS that drives about a third of all cancers and more than 90% of pancreatic tumors. For decades, drugmakers had called RAS "undruggable," because its surface was too smooth for traditional molecules to latch on to.

The company spent nearly a decade trying to make it work anyway. By April, it had the data to support its hypothesis. In a 500-person study, patients on the drug lived a median of 13.2 months—nearly double the time those on standard chemotherapy survived.

Rasonque wasn't part of RevMed's portfolio. Its lead drug, which targeted a different protein involved in cancer, had attracted investment from **Sanofi**, but the French pharmaceutical company walked away from it in 2022.

Across the country, Harvard University researcher Greg Verdine had started a company, Warp Drive Bio, that was targeting RAS with a technology called "molecular glue"—compounds that recruit a helper protein, latch on to RAS and block its signal that drives cancer cells to multiply.

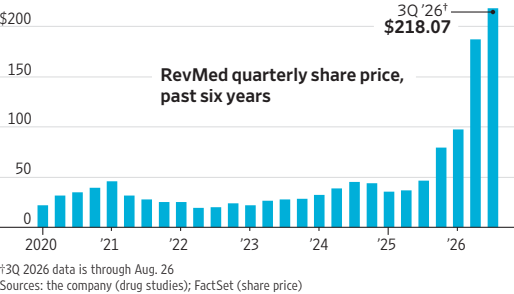
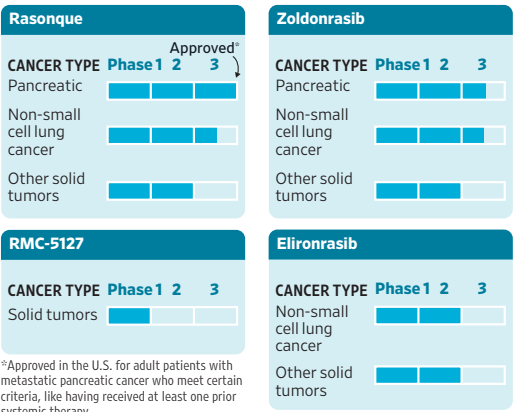
During a retreat on Cape Cod, Mass., Goldsmith, RevMed's CEO, found himself sitting next to Laurence Reid, then-CEO of Warp Drive. Over a clam bake, Goldsmith brought up the subject of licensing Warp Drive's technology to RevMed to target RAS.

Reid balked at the idea of licensing away the company's core technology, Goldsmith said, so RevMed decided to acquire Warp Drive instead.

"We had decided we wanted to embrace RAS, we needed to get some technol-

Revolution Medicines' clinical development pipeline, select drug studies

There are three stages medical trials go through before approval:



ogy to give us a differentiated approach," Goldsmith said. "The opportunity was very particular."

To close the deal, Goldsmith had to pull off a boardroom maneuver. Warp Drive's largest shareholder at the time was Sanofi. Goldsmith said he phoned the French company's leadership to make sure they didn't feel blindsided, and pitched the

idea of swapping their majority stake in Warp Drive for some of RevMed's equity.

It worked. In 2018, RevMed bought Warp Drive in an all-stock deal, absorbing its technology and resetting the company's trajectory.

The breakthrough came in 2020, when the company's researchers showed that the drug that would later become Rasonque targeted RAS in all of its variations. Other testing showed it was tolerable.

"It was serendipity," said Kevan Shokat, a researcher at the University of California, San Francisco, and a co-founder of RevMed. "This is what happens in chemistry sometimes: You get a molecule, and it does something a little more than you expect."

To help fund the drug's launch, RevMed struck a deal with a company called Royalty Pharma that gave it access to up to \$2 billion in funding in exchange for future rights to a share of Rasonque and another drug's sales.

"We were going to build the whole thing ourselves," Goldsmith said, adding that the company worked out an attractive deal and "simply made the decision."

Goldsmith is now responsible for bringing Rasonque to market, a rollout that actually began nearly four months ago when the FDA allowed RevMed to distribute the medicine as part of a compassionate-use program before approval. More than 2,000 patients were enrolled in the program at the time of approval.



A SpaceX Falcon 9 rocket carrying 29 Starlink satellites in early July 9.

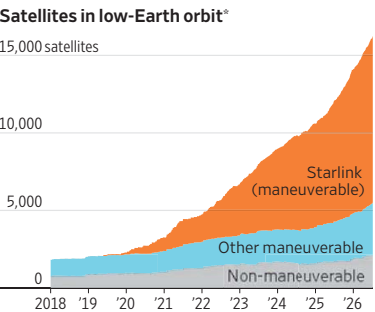
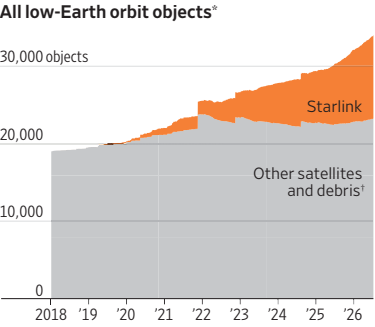
Companies Face Traffic In Space

Continued from page B1

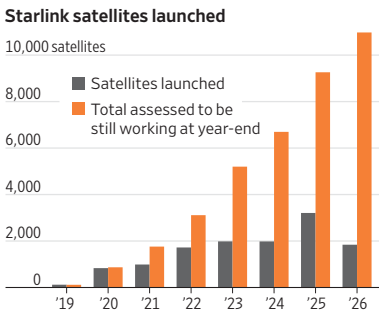
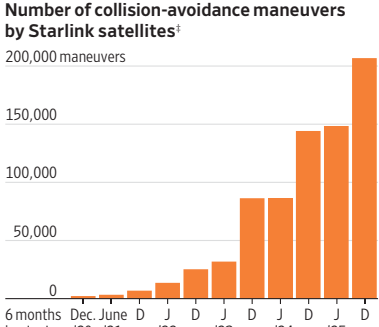
damage a satellite, since both are traveling so fast, said Mark Matney, a planetary scientist for the orbital debris program at the National Aeronautics and Space Administration.

SpaceX has warned about the crowd. "As the number of satellites and other objects in low-Earth orbit continues to grow, the probability of accidental collisions, fragmentation events, or other in-orbit incidents increases," the company said in a filing tied to its public offering.

"In my opinion, we are operating at the maximum density that can be safely operated," said Jonathan McDowell, an astrophysicist who maintains a widely cited catalog of objects in space.



*As of July 8, 2026 *Inactive Starlink satellites are included in other satellites and debris. *As of May 31, 2026 Sources: General Catalog of Artificial Space Objects (objects in orbit and launched); FCC (maneuvers)



Watch a Video Podcast: My Monday Morning With Suze Orman

Scan this code for the first episode of video series My Monday Morning, inspired by the Journal column. Lane Florsheim sits down with Suze Orman to talk about the right age to retire, and why she doesn't trust AI.

ADVERTISEMENT

The Marketplace

To advertise: 800-366-3975 or WSJ.com/classifieds

BANKRUPTCIES

UNITED STATES BANKRUPTCY COURT FOR THE EASTERN DISTRICT OF MICHIGAN-DETROIT

In re Fieldstone A&E, LLC,
d/b/a Fieldstone Architecture & Engineering, d/b/a Fieldstone A & E,
d/b/a Fieldstone Engineering, d/b/a Fieldstone Architecture

Case No. 26-48494-Jt

YOU MAY HAVE A CLAIM AGAINST FIELDSTONE A&E, LLC

On July 30, 2026, Fieldstone A&E, LLC (the "Debtor") filed for relief under chapter 11 of title 11 of the United States Code (the "Bankruptcy Code"). The Debtor, its address, case number, proof of claim form, and other relevant information related to this chapter 11 case may be obtained from Kurtzman Carson Consultants, LLC dba Verita Global (the "Claims Agent") at:
<https://www.veritaglobal.net/fieldstone>

THE LAST DAY TO FILE GENERAL CLAIMS AGAINST THE DEBTOR IS OCTOBER 22, 2026, AT 5:00 P.M. (PREVAILING EASTERN TIME). THE DEBTOR'S CHAPTER 11 SMALL BUSINESS SUBCHAPTER V PLAN FILING DEADLINE IS OCTOBER 28, 2026.

For more information, and instructions on how to obtain and file a proof of claim and associated documents, please visit the Claims Agent's designated website: <https://www.veritaglobal.net/fieldstone> or call the Claims Agent at (877) 725-7539 (U.S./Canada) or (424) 236-7247 (International)

ANY PERSON OR ENTITY THAT IS REQUIRED TO TIMELY FILE A PROOF OF CLAIM BUT FAILS TO DO SO SHALL NOT BE TREATED AS A CREDITOR WITH RESPECT TO SUCH CLAIM FOR THE PURPOSE OF VOTING AND DISTRIBUTION IN THE DEBTOR'S CHAPTER 11 CASE.

Midwest Burger Chain Bets on A MAHA Revamp

By Heather Haddon

SCHERERVILLE, Ind.—An American flag big enough to cover two school buses flaps over a Steak 'n Shake location southeast of Chicago. Payment systems take bitcoin and for customers who pull up in Teslas, there are free supersize fry upgrades served in gold boxes.

French fries are cooked in beef tallow instead of vegetable oil. The bottled Coca-Cola is sweetened with cane sugar, not high-fructose corn syrup, and the beef in the Steakburgers comes from cattle raised on pasture grass.

Since 2025, the Indianapolis-based chain has mounted an audacious turnaround strategy that embraces President Trump's brand of patriotism, and the Make America Healthy Again movement championed by Health Secretary Robert F. Kennedy Jr.

Michael Boes, Steak 'n Shake's "chief MAHA officer," said the chain is responding to people looking for fast food they can feel good about.

"This political movement didn't come out of nowhere, right?" he said in an interview.

Activist investor

Steak 'n Shake's revamp is led by Sardar Biglari, an activist investor and conservative figure who also owns Maxim magazine, insurance providers and oil companies.

In April he hired Boes, a former Trump administration Health and Human Services staffer, to spearhead the chain's new MAHA push.

It is helping business, with same-store sales up 14% in the three months ended June 30 compared with the same period last year, according to fil-

ings by parent **Biglari Holdings**. Average restaurant visits per location at the roughly 400-unit chain grew 5.8% in the first half of this year, reversing a decline in 2024, according to location data firm Placer.ai.

The effort is attracting customers like Lexi Carman, who recently drove 30 minutes from Beecher, Ill., to bring her two children and two nieces to the Schererville location.

"We were actually just here on Saturday," she said, as the children munched Steakburgers and sipped milkshakes.

Steak 'n Shake's food costs have grown this year as a result of its investments in quality, the company said. Its overall profit has improved since 2024 but hasn't returned to 2023 levels, and some locations have continued to close. Boes said prices have moderately increased to offset the quality improvements.

For decades, Steak 'n Shake subsisted in the middle of the U.S. fast-food pack. The ingredient revamp helps it stand out without relying solely on discounts, executives said, and the chain is leveraging the effort to go after rivals, including in an X post targeting Five Guys in August.

"We don't claim to be a salad chain," said Boes, who said ground beef makes up about 75% of his diet and that he keeps in touch with Trump administration officials about Steak 'n Shake's efforts. "But I do think these foods in their pure form do have a health benefit."

Some nutrition experts have been skeptical about whether many of the MAHA movement's food priorities do much to help human health.

Cooking with beef tallow versus soybean oil is one example, said Alison Steiber,



Steak 'n Shake in Schererville, Ind., left, and right, Michael Boes, the company's 'chief MAHA officer.'



chief impact officer for the Academy of Nutrition and Dietetics. "Regardless of how you fry your french fries, they are still fried," she said.

Steak 'n Shake doesn't make health claims about grass-fed beef or tallow, but the company believes its customers feel better about the chain's food. "We just tell them you can taste the difference," Boes said while surveying the fry oil in the Indiana Steak 'n Shake.

Gas-station roots

Steak 'n Shake traces its roots to the 1930s, when Augustus "Gus" Belt bought a

number of gas stations, including one with a restaurant in Normal, Ill. The town voted to go dry, so Belt switched to burgers and milkshakes from chicken and beer, grinding meat right in front of customers, sometimes sourced from his own cattle.

Steak 'n Shake over the decades expanded across the Midwest. But after changing ownership multiple times and with competition intensifying, by the 2000s the chain was struggling and running out of cash. Biglari, a young, Texas-based investor, built up a position in the publicly traded company's shares in 2007 and took Steak 'n Shake private.

By 2017 profit began to fizzle and then fell into losses. Steak 'n Shake closed around 200 locations between 2018 and 2024, with sales dropping by one-third to \$760 million, according to market-research firm Technomic.

Biglari in early 2025 made changes at Steak 'n Shake reflecting the new administration's priorities. Locations hoisted the largest American flags allowed by local zoning codes and served Patriot Shakes for the country's 250th anniversary.

Steak 'n Shake dumped vegetable oil—which Kennedy has blamed for fueling obesity and inflammation—in favor of beef tallow, and switched to Grade A Wisconsin butter versus a blend containing seed oil.

Musk praise

Kennedy has applauded the moves. Online, Elon Musk praised the chain. Steak 'n Shake began giving extra fries to Tesla drivers.

Biglari plucked Boes, who previously worked in the health industry, from the Trump administration.

Frustrated with government work that included cajoling fast-food chains to remove additives, he said Steak 'n Shake offered the chance to show how a MAHA overhaul

could work.

Boes launched a whirlwind restaurant and marketing tour, including a spot with Lara Trump at a Steak 'n Shake earlier this year.

Profit potential

At the Schererville location, franchisee Keith Mitchell said the transition has brought challenges and benefits. He now has to change the beef tallow in his fryer each week instead of every 10 to 14 days with vegetable oil. It costs more, and so does grass-fed beef.

After Mitchell offered samples of the tallow-cooked fries last year, diners started coming back for them. He hasn't taken many bitcoin payments, though one customer comes weekly for the Tesla promotion.

Mitchell, 36 years old, increased prices this year to help cover some of the new ingredients, particularly the grass-fed beef.

Boes said "MAHA moms" are helping drive Steak 'n Shake's sales, and he doesn't see that changing. He is focused on adding seed-oil free buns, a quest he said he discussed with Kennedy while they huddled at the June Ultimate Fighting Championship cage match on the White House lawn.



Steakburger beef comes from cattle raised on pasture grass.

ADVERTISEMENT

WITHOUT
PRESS
FREEDOM,
THERE IS NO
DEMOCRACY.

But it's only free when
women have a voice.

Equitable journalism is a
barometer of a healthy,
well-functioning democracy,
which affects us all.



The International Women's Media Foundation's transformative work strengthens equal opportunity and press freedom worldwide.

SUPPORT
JOURNALISM TO
PROTECT THE
NEXT DRAFT OF
HISTORY.



[SCAN TO GIVE]

TECHNOLOGY



OpenAI CEO Sam Altman speaks with members of the media between meetings in Washington, D.C., in July.

How Tech Was Blind To AI Revolt

Continued from page B1
support for its disruptive business model.
Others, such as Uber and Tesla, would rely on similar tactics as they pushed new ways of doing things that threatened entrenched rivals.
For generations, tech startups, especially those involving consumers, have relied on a rather simple strategy of using the perception of momentum to help lift them.
Growth was the key metric. Build a user base as quickly as possible, which in turn signals to investors there is a market fit, justifying more funding. Rinse and repeat, ideally until the company is so well positioned it scares off potential rivals.

Go public or get sold.
A swashbuckling swagger was all part of the culture as well. Steve Jobs's pirate flag celebrated a certain rebellious esprit de corps. Mark Zuckerberg built Facebook on a "move fast and break things" motto that allowed for course corrections after missteps.
Kalanick succeeded with Uber with what many saw as a win-at-all-costs strategy epitomized in his staff instructions: "Cheat codes. Find them. Use them."
And AI had a similar vibe with predictions of curing cancer, disrupting entire industries, robot servants plus spicy warnings of what could go wrong from the creation of godlike superintelligence if these tech titans weren't listened to. All of which helped fuel investor enthusiasm as consumers and businesses rushed to experiment with ChatGPT, Claude and others.
Yet, just as quickly, blowback followed: generative AI flooded social media with confusing slop and copyright threats; AI efficiencies were

blamed—fairly or not—for job cuts. AI data centers and Flock cameras became political hot potatoes ahead of midterm elections; Pennsylvania recently became the latest state to limit AI data-center construction.
More than just politics, concerns around AI are becoming part of the fabric of pop culture. Former NFL player Jason Kelce, a co-owner of Garage Beer, featured in a now-viral online video encouraging viewers to bottle up their urine to send to data centers. "We want your pee to cool these data centers," he said.
And, as if to punctuate things, social media was trending this past week with fan-filmed videos of what's likely going to be a new banger from country music star Zach Bryan that captures the wistful feelings that many in towns across America are having. "The robot killed the working man," he sang while belting out the yet-to-be released song to a crowd near Dallas.

Those lyrics could very well become the anthem of the fall.
In turn, the technorati are sputtering, trying to regroup for their counteroffensive while laying blame for why the dreams of AI aren't being embraced. AI doomers' predictions of "Terminator"-like movie outcomes are often on top of the list. Fly-over-states' lack of sophistication has been implied. Foreign influence campaigns is another theory.
Some are parsing polling data, arguing people aren't against AI. They are just against wrong-headed perceptions about the effects on their electricity bills or local water consumption.
Unlike, say, Uber a decade ago. It showed it could turn to a powerful user base to lobby on its behalf when opposing political forces tried to hinder its business.
AI labs haven't yet shown they have such muscles. It turns out tech guys ranting on X don't have the same influence.

THE TICKER

MARKET EVENTS COMING THIS WEEK

Monday	Gasoline stocks	Int'l trade deficit in billions
Earnings expected	down 2.5	Jun., previous \$73.26
Estimate/Year Ago	Distillates down 2.2	Jul., expected \$89.70
Science Applications	Factory orders	Unit labor costs
International 2.31/3.63	Jun., previous	1st qtr., prev up 1.3%
	down 0.3%	2nd qtr. prel. exp. up 1.4%
	Jul., expected up 0.5%	
Tuesday	Mort. bankers indexes	EIA report: natural-gas
Construction spending	Purch., previous	Previous change in stocks in billions of cubic feet
Jun., previous	down 0.3%	up 15
down 0.1%	Refinan., prev.	Earnings expected
Jul., expected	down 2.0%	Estimate/Year Ago
down 0.1%	Earnings expected	Ciena 1.73/0.67
	Estimate/Year Ago	DocuSign 1.09/0.92
ISM mfg. index	Broadcom 3.22/1.69	Guidewire Software 0.93/0.84
Jul., previous 55.6	Brown-Forman 0.37/0.36	lululemon athletica 1.79/3.10
Aug., expected 55.1	Five Below 1.40/0.81	Samsara 0.16/0.12
	Hewlett Packard Enterprise 0.93/0.44	Zscaler 1.09/0.89
Earnings expected	NetApp 2.12/1.55	
Estimate/Year Ago	Snowflake 0.45/0.35	
Credo Technology 1.17/0.52		
Group Holding		
Dell Technologies		
4.91/2.32		
Gitlab 0.18/0.24		
Medtronic 1.39/1.26		
MongoDB		
1.62/1.00		
Palo Alto Networks 0.98/0.95		
Wednesday		
EIA status report	Freddie Mac mortgage survey	Monday
Previous change in stocks in millions of barrels	Previous weekly averages	All U.S. financial markets are closed for Labor Day.
Crude-oil stocks up 0.1	30-year fixed 6.66%	
	15-year fixed 5.98%	



Lululemon is expected to post per-share earnings of \$1.79.

* FactSet Estimates earnings-per-share estimates don't include extraordinary items (Losses in parentheses) ♦ Adjusted for stock split
Note: Forecasts are from Dow Jones weekly survey of economists

AGING GROWS EXPERIENCE, NOT MEMORY LOSS.

Some things come with age. Some others don't.

Learn the warning signs of Alzheimer's.

...
10signs.org

ALZHEIMER'S ASSOCIATION®

TECHNOLOGY

Nvidia Finds Eager Customers in Robots

Chinese firms rely on U.S. chips and software in growing physical AI business

By Raffaele Huang

Nvidia’s chips aren’t just for training chatbots. The company is also betting big on artificial intelligence for real-world objects like robots, cars and drones—and China is emerging as a major customer.

The business of physical artificial intelligence already generates some \$10 billion in annual revenue at Nvidia. While that is still a fraction of the company’s overall revenue, which totaled \$303 billion in the four quarters ended in July, Chief Executive Jensen Huang says it will grow 10-fold within the next decade.

“If I can generate video of a finger moving, if I could generate video of a hand picking up a glass, why can’t I cause a robot to do the same?” Huang recalled thinking, speaking on-stage in San Francisco in July.

Nvidia pairs specialized chips for physical AI with software tools used by developers of robots and robotaxis so that customers grow committed to an Nvidia suite of products. The company has released open-weight models, which robot developers can freely download and modify, with names such as GROOT and Cosmos.

“Physical AI gives Nvidia a path from data centers into the much larger physical economy—vehicles, factories, warehouses and robots,” said Michael Frank, chief executive of intelligence startup Radiant Intel.

Huang has brought in his children to help run the effort. His daughter, Madison, oversees marketing for Nvidia’s physical AI division while his son, Spencer, is a director of product management.

In August, Madison Huang visited LG Electronics’ robotics data factory in Seoul after



said.

“Nvidia works with companies around the world consistent with U.S. laws,” an Nvidia representative said.

Nearly two decades ago, Nvidia released a tool called compute unified device architecture, or CUDA, which allows users to write code directly for its chips. By pairing hardware and software, Nvidia locked in customers and grew to be a company valued at trillions of dollars.

Now it is applying that same playbook to win over robotics developers.

The Nvidia representative said the company has supplied open models and open-source materials “because physical AI will be built by a broad ecosystem—not by any one company.”

Jensen Huang said in July that Nvidia had set its sights on self-driving cars as the first robotics application that could have a large enough market and real economic value. Among its customers are Alphabet’s robotaxi unit Waymo and Tesla as well as Chinese auto and robotaxi companies.

Nvidia has been building links with China’s humanoid robot industry.

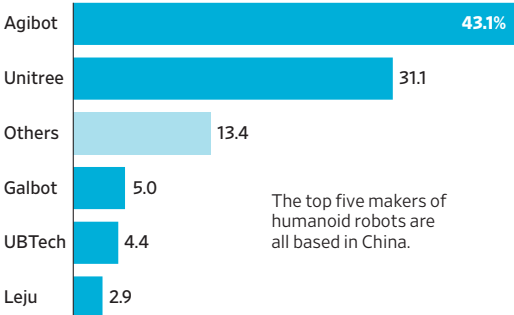
the South Korean company unveiled plans for a humanoid robot using Nvidia’s robotic model.

The following day, she toured a robot exhibition in Beijing, drawing onlookers as her father often does on his Asia trips. She watched robots perform flying kicks and stopped by the booths of Chinese companies that have used Nvidia’s technology.

The U.S. has barred Nvidia from selling its most powerful AI chips to China, but trade remains open for its robot and car chips.

China is the world’s largest industrial-robot market, and in the first half of this year, the country shipped around 90% of the world’s humanoid

Market share in global humanoid-robot shipments, first half of 2026



Source: Counterpoint

robots.

“China is critical to Nvidia’s physical AI road map,” said Brady Wang, an analyst at Counterpoint Research. Chinese companies are strong in

manufacturing and commercializing new technology, so working with them “provides many real use cases” for Nvidia, he said.

While China has under-

taken a national effort to develop AI chips that can match Nvidia’s, Chinese robot makers today rely on Nvidia silicon and software tools to train and operate their machines, people in the industry said.

In its labs in the U.S. and China, Nvidia has used humanoid robots from different vendors including China’s Unitree, Agibot and Fourier for collecting data and conducting experiments, the people said.

Nvidia has been beefing up its robotics and self-driving teams in China, according to company webpages and people familiar with the recruiting. Nvidia’s published research papers reflect contributions from China-based researchers including interns studying at local universities. Chinese robot makers such as Unitree have used Nvidia’s latest Thor chips, people familiar with the matter

Its lineup for developers includes specialized computers that they can use to program and operate their devices. The latest of these computers, an entry-level model called Jetson Orin Nano 2, was released Aug. 25.

Nvidia’s competitors in physical AI chips and software tools include Intel and Qualcomm. Some in China are testing products from Chinese vendors such as Huawei, Black Sesame and Horizon Robotics, anticipating that Washington could extend export restrictions.

“Using homegrown alternatives isn’t top of mind right now, but I can see a day coming eventually as the technology gets sensitive,” said Harry Qin, a former Horizon researcher who co-founded a startup using Nvidia’s chips and software to develop robotic systems.

WORLD ECR

FROM DOW JONES

Join us at the WorldECR Export Controls and Sanctions Forum to explore the regulatory, geopolitical and technological developments shaping global trade compliance from an export controls and sanctions perspective.

TOP REASONS TO ATTEND

Washington Policy Perspective

Explore how maritime sanctions, aerospace controls, AI and geopolitical risk are changing the policy landscape for global trade compliance.

Unfiltered Expert Insights

Share ideas with and hear from regulators, trade attorneys, consultants and compliance leaders discussing the latest developments in sanctions, export controls and enforcement trends.

High-Level Networking

Connect with sanctions and export controls professionals from industry, private practice, consultancy and government in a forum designed for candid conversation.

Trusted-Peer Exchange

What’s said in the room can be used freely, but no speaker or participant can ever be identified—making this forum the setting where leaders can speak without reservations.

Request Invitation:



dowjones.com/wecrwashingtondc

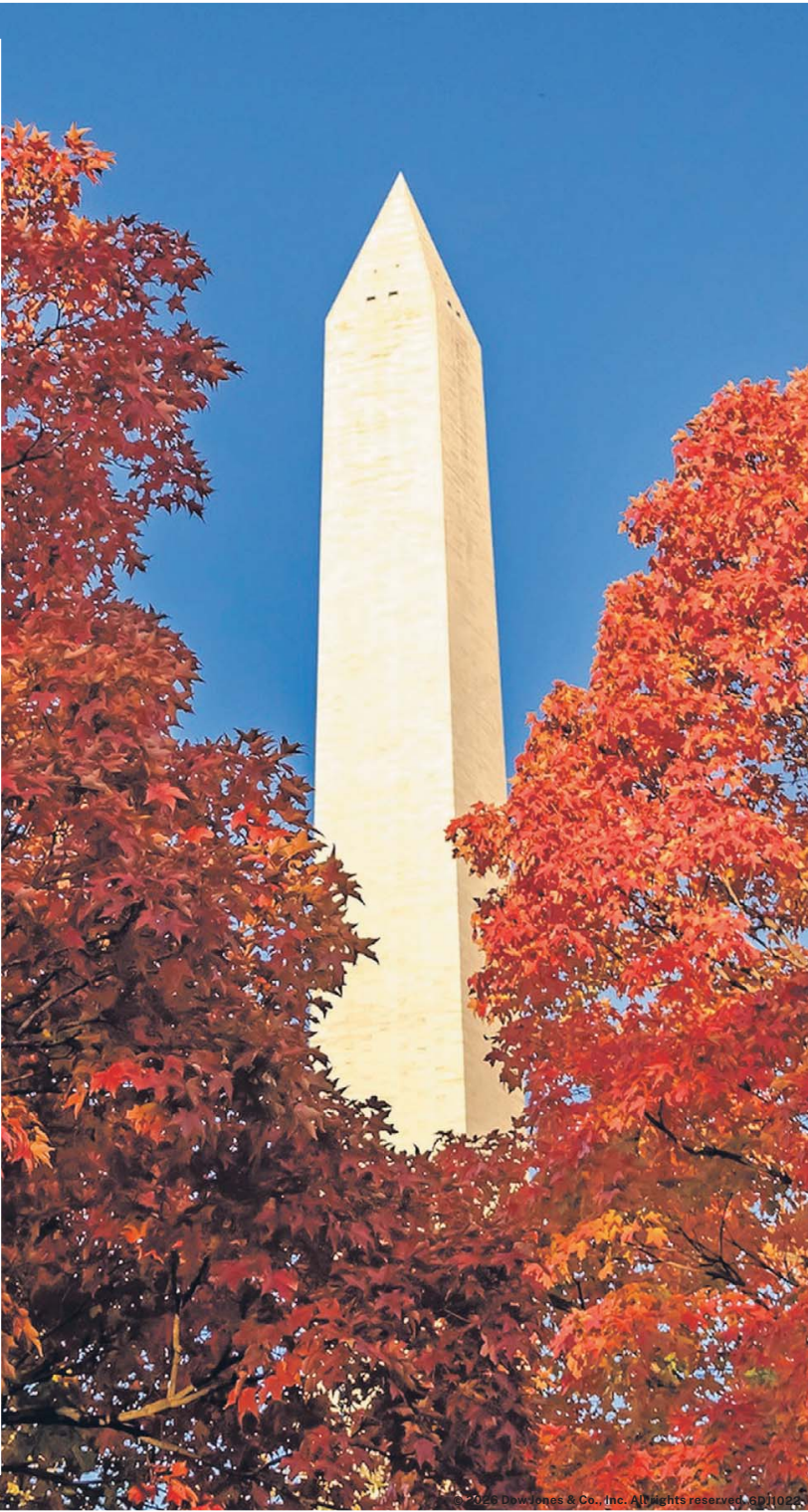
OCTOBER 14–15, 2026
WASHINGTON, D.C.

Host Sponsor:

HOGAN LOVELLS
CADWALADER

Supporting Sponsors:

GW Graf von Westphalen KPMG MAYER|BROWN

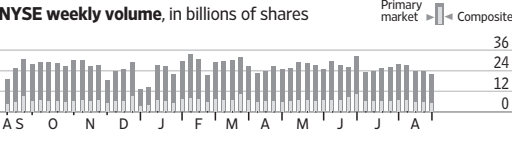
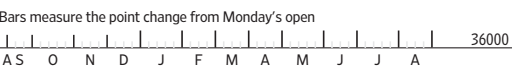
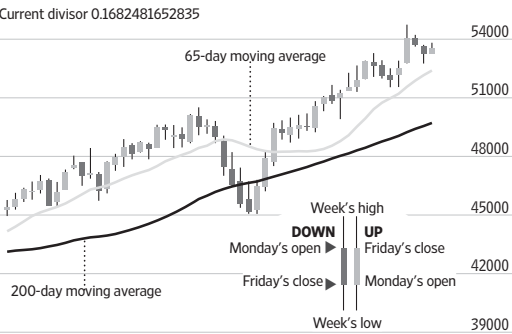


MARKETS DIGEST

Dow Jones Industrial Average

53559.99 ▲282.98, or 0.53% last week
High, low, open and close for each of the past 52 weeks

Last	Year ago
21.80	24.98
P/E estimate *	20.36
20.36	21.75
Dividend yield	1.46
1.46	1.60
All-time high	54349.12, 08/05/26



Major U.S. Stock-Market Indexes

	High	Low	Close	Net chg	% chg	Low	52-Week Close (●)	High	% chg	YTD	3-yr. ann.
Dow Jones											
Industrial Average	53819.65	53261.95	53559.99	282.98	0.53	45166.64	●	54349.12	17.6	11.4	15.7
Transportation Avg	21713.14	21277.27	21378.75	-191.51	-0.89	15067.87	●	23933.14	34.4	23.2	10.8
Utility Average	1099.66	1074.16	1078.28	2.84	0.26	1048.33	●	1190.23	-1.0	1.0	6.9
Total Stock Market	76871.11	75679.25	76272.17	214.87	0.28	62750.36	●	77313.23	19.2	13.0	19.9
Barron's 400	1665.78	1650.37	1650.40	-9.71	-0.58	1318.70	●	1685.46	19.9	16.8	18.7
Nasdaq Stock Market											
Nasdaq Composite	26700.68	25910.82	26402.42	221.97	0.85	20794.64	●	27093.9	23.1	13.60	24.4
Nasdaq-100	29752.78	28875.97	29433.43	124.57	0.43	22953.38	●	30660.6	25.7	16.6	25.0
S&P											
500 Index	7771.48	7638.17	7711.76	37.39	0.49	6343.72	●	7798.99	19.4	12.7	20.3
MidCap 400	3837.07	3778.92	3779.47	-50.93	-1.33	3109.89	●	3926.98	16.1	14.4	13.2
SmallCap 600	1790.94	1767.57	1767.57	-21.81	-1.22	1364.94	●	1828.54	22.9	20.4	13.6
Other Indexes											
Russell 2000	3019.40	2972.37	2972.37	-45.50	-1.51	2305.11	●	3068.42	25.6	19.8	16.7
NYSE Composite	24819.29	24548.73	24585.18	-143.49	-0.58	20912.89	●	24821.68	16.2	11.7	15.7
Value Line	692.31	685.06	685.69	-6.58	-0.95	590.50	●	702.6	8.7	9.1	6.8
NYSE Arca Biotech	9571.21	9280.18	9296.21	-134.47	-1.43	5973.75	●	9539.76	55.6	30.0	20.9
NYSE Arca Pharma	1318.08	1253.21	1260.97	-43.00	-3.30	925.18	●	1315.38	32.6	12.0	11.4
KBW Bank	188.45	185.59	187.17	1.21	0.65	143.23	●	193.91	24.1	14.0	32.2
PHLX\$ Gold/Silver	436.07	409.65	413.18	-8.94	-2.12	249.08	●	470.37	65.9	20.7	52.2
PHLX\$ Oil Service	104.49	98.93	104.41	0.73	0.71	60.27	●	109.24	59.5	42.4	4.6
PHLX\$ Semiconductor	11910.03	11263.34	11469.66	-270.71	-2.31	5592.82	●	14634.72	102.3	61.9	48.0
Cboe Volatility	16.30	14.13	14.43	-0.70	-4.63	13.47	●	31.05	-6.1	-3.5	-1.5

Sources: FactSet; Dow Jones Market Data

International Stock Indexes

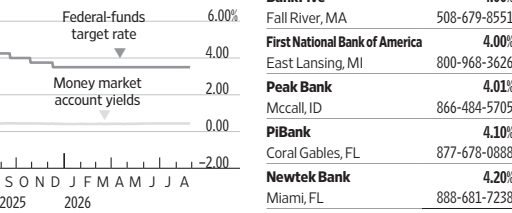
Region/Country	Index	Close	Latest Week % chg	Low	52-Week Range Close	High	YTD % chg
World							
	MSCI ACWI	1153.16	0.29	945.10	●	1160.80	13.7
	MSCI ACWI ex-USA	486.53	-0.01	386.42	●	486.69	15.6
	MSCI World	4986.16	0.33	4143.34	●	5034.04	12.5
	MSCI Emerging Markets	1722.14	0.01	1258.44	●	1802.77	22.6
Americas							
Canada	MSCI AC Americas	2921.49	0.40	2411.22	●	2954.11	12.6
	S&P/TSX Comp	36553.92	-0.18	28564.45	●	36957.63	15.3
Latin Amer.	MSCI EM Latin America	3030.68	-0.11	2394.48	●	3368.83	11.9
Brazil	Bovespa	175664.62	2.71	139863.63	●	198657.33	9.0
Chile	S&P IPSA	5763.74	0.92	4513.29	●	6013.24	6.3
Mexico	S&P/BMV IPC	65484.32	-0.37	58708.86	●	71601.35	1.8
EMEA							
	STOXX Europe 600	655.16	0.15	543.17	●	660.51	10.6
	STOXX Europe 50	5476.04	-0.24	4509.93	●	5548.17	11.3
Eurozone	Euro STOXX	681.21	0.33	560.19	●	689.45	11.3
	Euro STOXX 50	6485.67	0.36	5291.04	●	6551.22	12.0
Austria	ATX	6786.58	2.33	4577.95	●	6786.58	27.4
Belgium	Bel-20	5869.08	1.07	4642.33	●	5869.08	15.6
France	CAC 40	8401.18	-0.98	7654.25	●	8726.03	3.1
Germany	DAX	26569.99	1.66	22300.75	●	26569.99	8.5
Greece	Athex Composite	2679.97	1.74	1986.89	●	2687.04	26.4
Israel	Tel Aviv	4172.26	0.01	2982.63	●	4527.63	14.9
Italy	FTSE MIB	52616.12	-0.10	41608	●	53717	17.1
Netherlands	AEX	1112.28	0.57	883.89	●	1119.59	16.9
Norway	Oslo Bors All-Share	2488.42	0.06	1822.75	●	2488.42	28.2
Portugal	PSI 20	9430.91	0.81	7648.38	●	9484.93	14.1
South Africa	FTSE/JSE All-Share	118173.36	0.36	100432.95	●	128455.68	2.0
Spain	IBEX 35	20041.90	0.40	14704.2	●	20213.6	15.8
Sweden	OMX Stockholm	1154.65	1.31	961.24	●	1154.65	10.4
Switzerland	Swiss Market	14399.77	-0.40	11875.80	●	14633.70	8.5
U.K.	FTSE 100	10824.26	0.07	9116.69	●	10910.55	9.0
Asia-Pacific							
	MSCI AC Asia Pacific	278.10	0.36	210.44	●	285.9	22.2
Australia	S&P/ASX 200	9092.30	0.37	8365.9	●	9271.6	4.3
China	Shanghai Composite	3952.18	1.20	3764.15	●	4242.57	-0.4
Hong Kong	Hang Seng	25584.79	-1.63	22671.86	●	27968.09	-0.2
India	BSE Sensex	77264.51	-0.36	71947.55	●	85762.01	-9.3
Japan	NIKKEI 225	66405.56	0.59	41938.89	●	72366.34	31.9
Malaysia	FTSE Bursa Malaysia KLCI	1725.88	-0.61	1575.12	●	1771.25	2.7
Singapore	Straits Times	5699.93	0.19	4265.98	●	5768.46	22.7
South Korea	KOSPI	6788.88	-1.79	3142.93	●	9114.55	61.1
Taiwan	TAIEX	46331.45	2.45	24016.78	●	47741.51	60.0

Sources: FactSet; Dow Jones Market Data

Consumer Rates and Returns to Investor

U.S. consumer rates

A consumer rate against its benchmark over the past year



Interest rate	Yield/Rate (%)	52-Week Range (%)	3-yr chg (pct pts)
	Last (●) Week ago	Low 0 2 4 6 8	High
Federal-funds rate target	3.50-3.75	3.50	4.50
Prime rate*	6.75	6.75	7.50
SOFR	3.64	3.63	4.51
Money market, annual yield	0.44	0.44	0.45
Five-year CD, annual yield	1.74	1.74	1.74
30-year mortgage, fixed*	6.70	6.67	6.77
15-year adj mortgage, fixed*	6.15	6.13	6.18
Jumbo mortgages, \$832,750+*	6.76	6.73	6.87
Five-year adj mortgage (ARM)*	6.06	5.98	6.15
New-car loan, 48-month	6.98	6.98	7.19

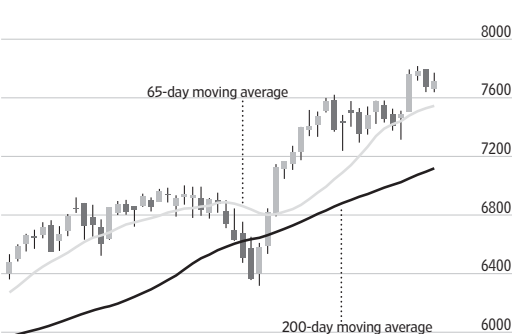
Bankrate.com rates based on survey of over 1,500 online banks. * Base rate posted by 70% of the nation's largest banks. † Excludes closing costs.

Sources: FactSet; Dow Jones Market Data; Bankrate.com

S&P 500 Index

7711.76 ▲37.39, or 0.49% last week
High, low, open and close for each of the past 52 weeks

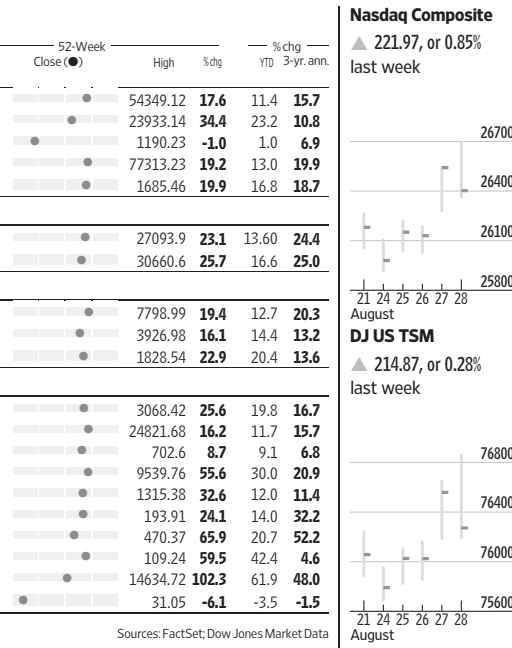
Last	Year ago
24.50	25.15
P/E estimate *	21.12
21.12	23.99
Dividend yield *	1.07
1.07	1.21
All-time high	7798.99, 08/13/26



Scan this code

Get real-time U.S. stock quotes and track most-active stocks, new highs/lows, mutual funds and ETFs..

Available free at WSJMarkets.com



Commodities and Currencies

	Close	Net chg	%Chg	YTD % chg
DJ Commodity				
FTSE/CC CRB Index	406.36	0.12	0.03	36.01
Crude oil, \$ per barrel	83.40	-3.66	-4.20	45.25
Natural gas, \$/MMBtu	2.888	0.077	2.74	-21.65
Gold, \$ per troy oz.	4478.10	-150.20	-3.25	3.53
U.S. Dollar Index				
WSJ Dollar Index	95.90	0.57	0.60	-0.02
Euro, per dollar	0.8631	0.007	0.82	1.42
Yen, per dollar	160.08	1.13	0.71	2.17
U.K. pound, in dollars	1.35	-0.0108	-0.79	0.46
DJ Commodity				
FTSE/CC CRB Index	291.69	●	406.36	34.40
Crude oil, \$ per barrel	55.27	●	112.95	30.29
Natural gas, \$/MMBtu	2.523	●	7.460	-3.64
Gold, \$ per troy oz.	3473.70	●	5318.40	28.91
U.S. Dollar Index				
WSJ Dollar Index	93.64	●	97.73	0.84
Euro, per dollar	0.8305	●	0.8805	0.86
Yen, per dollar	146.47	●	163.87	8.86
U.K. pound, in dollars	1.30	●	1.39	0.24

Go to WSJMarkets.com for free access to real-time market data.

WSJ MARKETS

MARKET DATA

Overview

Overview | Stocks | Bonds | Currencies | Cryptos | Commodities

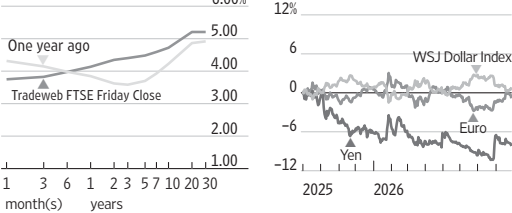
DAX 31000.48 1027.32 2.68 1475

SP500	2911.74	114.01	3.96	10100
Nasdaq Composite	13467.62	371.41	2.80	10100
FTSE 100	25461.97	330.72	1.33	10100
HK FTSE 100	7208.81	188.38	2.68	10100

Benchmark Yields and Rates

Treasury yield curve

Yield to maturity of current bills, notes and bonds



Sources: Tradeweb FTSE U.S. Treasury Close; Tullett Prebon; Dow Jones Market Data

Corporate Borrowing Rates and Yields

Bond total return index	Yield (%)		in basis pts, 52-wk Range			Total Return	
	Last	Wk ago	Last	Low	High	52-wk	3-yr
U.S. Treasury, Bloomberg	4.610	4.550				1.20	3.45
U.S. Treasury Long, Bloomberg	5.200	5.260				-0.06	6.38
Aggregate, Bloomberg	4.990	4.960	28	23	31	1.86	4.66
Fixed-Rate MBS, Bloomberg	5.260	5.250	27	14	34	3.08	4.90
High Yield 100, ICE BofA	6.191	6.314	183	183	298	4.01	8.33
Muni Master, ICE BofA	3.684	3.645	8	1	10	3.88	3.28
EMBI Global, J.P. Morgan	6.696	6.738	185	184	276	7.19	9.53

Sources: J.P. Morgan; S&P Dow Jones Indices; Bloomberg Fixed Income Indices; ICE BofA

New to the Market

Public Offerings of Stock

IPOs in the U.S. Market

None expected this week

IPO Scorecard

Performance of IPOs, most-recent listed first

Company	SYMBOL	Friday's	% Chg From			Company	SYMBOL	Friday's	% Chg From		
IPO date/Offer price		close (\$)	Offer	1st-day		IPO date/Offer price		close (\$)	Offer	1st-day	
Infection Point Acquisition VIII		10.10	1.0	...		Thunder Bridge Capital Ptnrs V		9.93	-0.7	0.2	
IPHXU Aug. 26/\$10.00						TBCVU Aug. 13/\$10.00					
Rainier Acquisition		10.18	1.8	0.1		SunScout Holding		1.35	-73.0	-56.0	
RNAQU Aug. 27/\$10.00						SNSC Aug. 12/\$5.00					
JATT III Acquisition		10.96	9.6	-4.3		Vogex		33.96	161.2	161.2	
JTTT Aug. 26/\$10.00						VOGX Aug. 12/\$13.00					
Southern Cross Acquisition II		10.01	0.1	0.1		BlossomHill Thera		19.56	22.3	22.3	
SCATU Aug. 26/\$10.00						BLSM Aug. 7/\$16.00					
Advada Hldgs		4.99	-50.1	-20.3		Latigo Biotherapeutics		24.23	34.6	32.8	
ADBT Aug. 25/\$10.00						LTGO Aug. 7/\$18.00					
First Breach		0.70	-91.2	-83.1		Pinnacle Acquisition		9.95	-0.5	-0.1	
FBDT Aug. 20/\$8.00						PNAQU UT Aug. 7/\$10.00					
Lytrix		14.06	-19.7	-6.3		TP Aug. 7/\$8.00		7.83	-2.1	11.9	
LYNX Aug. 19/\$17.50						TP Aug. 7/\$8.00					
Karman Line Acquisition		9.98	-0.2	0.4		Braavearth Bio		27.44	52.4	-7.9	
XTERU Aug. 18/\$10.00						BRVE Aug. 6/\$18.00					
NorthStrive Acquisition I		10.00	...	0.2		Attovia Thera		20.70	21.8	-5.5	
NSAIU Aug. 18/\$10.00						ATTO Aug. 5/\$17.00					
Rhinobond Ventures Fund II		22.28	-10.9	-2.9		TCGX Acquisition		13.67	36.7	27.2	
RVII Aug. 13/\$25.00						TCGX Aug. 5/\$10.00					

Sources: Dow Jones Market Data; FactSet

HEARD^{ON}THE STREET

FINANCIAL ANALYSIS & COMMENTARY

Distillers Are Over a Barrel

Alcohol companies are swamped with aged spirits including cognac, bourbon and Scotch whisky

It’s the corporate equivalent of ordering too much alcohol for a house party where half the guests turn out to be dry. Except with billions of dollars at stake and a no-returns policy.

Distillers’ warehouses are crammed with barrels of aging spirits laid down in better times that fewer people want to drink these days. The problem doesn’t only affect bourbon in the U.S. There is a global glut of cognac, Irish whiskey and Scotch whisky too. Investors tempted by alcohol companies’ low stock-market valuations should look at their saturated balance sheets first.

When aged-spirits distillers are deciding how much new stock to lay down each year, they have to make an educated guess about what demand will look like when the alcohol matures.

“Barrels in a warehouse are physical forecasts that were made years ago,” says Koryn Ternes, a consulting director at IWSR, an industry data provider.

For a VS cognac, that means projecting what will happen in two years. A higher quality XO cognac requires foresight of at least a decade. Maturing inventories show up as assets on distillers’ balance sheets until they are bottled and sold.

Forecasts have been wildly off lately. Major drinks companies invested heavily in stocks between 2021 and 2024 when the industry was booming. Then demand fell off a cliff. Sales at Rémy Cointreau, the owner of Louis XIII Cognac, have collapsed 40% since peaking in the company’s fiscal year that ended in March 2023. Makers of spirits that don’t need aging like vodka also face lower demand, but they have been able to adjust production to the new reality.



ROMAIN FERROCHE/AGENCE FRANCE PRESSE/GETTY IMAGES

Some of the reasons for lower alcohol demand, such as tariffs, were out of the industry’s control. Canada pulled American-made drinks off the shelves as part of its trade war with the U.S. Similarly, President Trump’s tariffs on EU imports are hurting European distillers like **Diageo** and Rémy Cointreau that have high exposure to the U.S. market.

Demand for posh cognac also has collapsed in China where consumer sentiment is weak.

But rapid changes in attitudes toward alcohol have also caught distillers off guard.

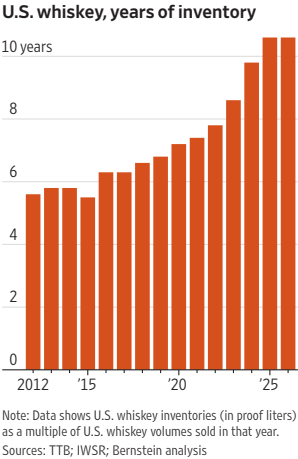
Moderation is in fashion and the share of Americans who say they drink alcohol hit a record low of 54% in 2025, according to a Gallup poll. The shift to sobriety is jarring considering alcohol consumption was so high during the pandemic.

The tastes of the next genera-

tion of drinkers aren’t an ideal fit for distillers of aged spirits, either. Gen Z consumers are gravitating toward sweet, mixed beverages like ready-to-drink canned cocktails. They drink earlier in the day and outside traditional settings like bars, favoring music festivals or picnics instead.

They increasingly opt for low-alcohol drinks, or practice “zebra striping”: alternating between alcoholic and non-alcoholic drinks on nights out to limit overall intake.

None of this plays to the strengths of fine cognac and whiskey, which is traditionally served neat. However, distillers are experimenting with new formats like flavored spirits and RTDs that ap-



Cognac demand collapsed in China where consumer sentiment is weak.

peal to younger drinkers.

Major alcohol companies have massive gluts on their balance sheets. **Pernod Ricard**, the maker of Jameson whiskey and Martell cognac, had maturing inventory worth €7.2 billion sitting in barrels in warehouses at the end of June, or \$8.4 billion. That is up 78% from levels at the end of 2019.

Cognac giant Rémy Cointreau has €1.9 billion of inventory on its books, which is equivalent to three-quarters of the company’s entire market capitalization.

The risk for investors is that the aged-spirits glut sparks a price war as alcohol companies try to unload the excess. For now, the big names are scaling back pro-

54%
Share of Americans who said they drink alcohol in 2025, a record low.

duction rather than cutting prices.

Diageo is reducing the amount it distills by 50% over the next three years, while it works through an \$8.5 billion backlog of aging inventory. Carrying that much stock is expensive, so the company is trimming costs where it can.

A silver lining is that free cash flow at listed distillers should improve as they invest less in laying down new barrels. Bernstein analysts point out that Rémy’s free cash flow conversion was as low as 5% in years when the company was heavily stocking its warehouses.

The shares of alcohol companies are cheap at the moment. Diageo and Pernod Ricard are trading at earnings multiples last seen during the global financial crisis. Patient investors who believe that demand for aged spirits will eventually recover might be tempted to own these stocks.

An analysis of maturing inventories expressed as a percentage of annual sales provides some clues about which companies are likely to work through their glut fastest—although demand for different categories of aged spirits and how many innovative new products they launch will play a role too.

Diageo and Davide-Campari Milano look healthiest on this metric. The aging stock on their books is worth 31% and 39% of their last full-year sales, respectively. Inventory at Brown Forman and Pernod Ricard is worth more than 60% of sales. Rémy Cointreau’s maturing inventories are double its latest annual sales tally.

A look inside distillers’ warehouses can help investors to pick their poison wisely.

—Carol Ryan

Do you think paralyzed Veterans deserve accessible cars and homes?

Marco B.
U.S. Army Veteran & PVA Member

PVA.org

At PVA, our mission is clear – accessibility. With PVA staff working inside VA hospitals, no other nonprofit Veteran Service Organization provides more immediate and ongoing support for paralyzed Veterans and their families. They deserve the accessible homes and cars they need, the jobs they want, the benefits they’ve earned, and so much more.

Our nation’s heroes fought for your independence, join PVA in the fight for theirs.*